First Edition:

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PREFACE

Welcome to "Business Accounting "Essential Principles and Practices," a comprehensive guide designed to provide you with a solid understanding of the fundamental concepts and practices of accounting in a business context. Whether you are a business owner, a manager, an aspiring accountant, or a finance professional, this book will serve as a valuable resource to enhance your knowledge and skills in the field of business accounting.

Accounting plays a critical role in the success and sustainability of any business. It enables organizations to track and analyze financial transactions, make informed decisions, and communicate financial information to stakeholders. Building upon this foundation, we delve into various aspects of accounting, including terminology, standards, and best practices. You will learn the language of accounting and gain familiarity with commonly used terms and concepts, ensuring effective communication within the accounting profession and beyond.

We then explore the process of recording transactions through journal entries and how these entries are summarized in the general ledger. You will understand the importance of accuracy and attention to detail in maintaining reliable financial records.

Cash management is a critical component of business accounting, and we dedicate a section of this book to the management of cash receipts and payments. You will learn how to maintain cash books, perform bank reconciliations, and ensure effective cash flow management within your organization. We delve into the concepts of capital and revenue expenditure, depreciation, provisions, and reserves. These topics are essential for understanding the financial impact of long-term investments, the allocation of costs, and the recognition of assets and liabilities. The preparation and analysis of financial statements are crucial aspects of business accounting, and we provide a comprehensive overview of balance sheets, income statements, and cash flow statements. You will learn how to interpret these statements to assess financial performance and make informed decisions. Ratio analysis is an invaluable tool for evaluating business performance and financial health. We guide you through the calculation and interpretation of key financial ratios, enabling you to assess liquidity, profitability, and efficiency. Throughout this book, we emphasize practical learning through examples, exercises, and real-world scenarios. Our goal is to provide you with a practical understanding of business accounting principles and practices that can be applied in real-life situations.

The content development team of GJK has put in tremendous effort in bringing out this publication and the team looks forward to your valuable suggestions and recommendations for the improvement of this book.

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Basic of Accounting

Meaning

Accountancy is a broad concept and Book-Keeping is the recording branch of Accounting. Accounting includes recording of transactions, classifying them in different books of accounts, summarizing the transactions in the form of reports and interpreting them in financial statements. Accountancy helps management in decision making. Accountancy starts when Book-Keeping ends.

Definitions:

An act of recording, classifying and summarising the business transactions, balancing of accounts, drawing conclusions and interpreting the results thereof.

Kohler: Accountancy refers to the entire body of the theory and process of accounting.

Prof. Robert N. Anthony: Nearly every business entrerprise has an accounting system. It is a means of collecting, summarising, analysing and reporting in monetary terms information about the business transactions.

etc

Objectives of Accountancy:

The objectives of accountancy are as follows:

1. Ascertain the Profit or Loss of a business for a particular accounting period.
2. To establish the financial position of a business during a given accounting period
3. Arrive at the Total Capital on any given date.
4. Determine the positions of Assets and Liabilities on any given date.
5. Identify and keep a check on any frauds and misappropriations of money.
6. Spot the various errors and rectify them by passing the necessary entries.
7. Verify the arithmetic accuracy of the books of accounts.
8. Compute the cost of production.
9. Facilitate the management in decision making by providing accounting ratios, reports and relevant data.
10. Facilitate the management in preparing, analysing and controlling the cash flows of the business.
11. Help the management form policies for controlling cost, preparation of quotation for competitive supply

Basis of Accounting

There are two basic methods for accounting as stated below:

Cash Basis: All the transactions of business which take place in cash are called Cash transactions. In Cash basis of accounting, only cash transactions are recorded. This is a very

popular form of Accounting. In this method, an expense is recorded only when it is actually paid in cash. Similarly, an income is booked only when it is actually received in cash. The specific reason of the cash inflow or cash outflow is recorded with every transaction.

Accural Basis: Both Cash and Credit transactions are recorded in this system of accounting. In the Accrual basis of accounting, transactions are recorded as and when they occur. Incomes are recorded when they are earned, irrespective of whether the cash has been received or not and Expenses are recorded when they become payable, irrespective of whether they have been actually paid in cash or not. Accrual Basis of Accounting is also known as 'Mercantile Basis of Accounting'

Qualitative Characteristics of Accounting Information

Accounting information recorded in books of accounts must possess the below mentioned qualitative characteristics:

1. Reliability: This is a very important characteristic of accounting information. Accounting information should be recorded on the basis of documentary evidence which is verifiable and reliable. The accounting facts should be presented in an unbiased (impartial) manner. As per this characteristic, accounting information should be verifiable, neutral and faithful.
2. Relevance: All the accounting information which is useful and relevant should be included in the books of accounts. Relevant information is any information which may change the results of the business if disclosed. Every such information should be included in the books of accounts. At the same time, any irrelevant or unnecessary information should be ignored. Accounting information should have timelessness and feedback value and it should be dedicative.
3. Understandability: Accounting information is utilized by various parties such as Customers, Investors, Government, Workers, Employees, Analysts, Economists, Researchers etc. Accounting information should therefore, be recorded, presented and interpreted in a manner that can be understood easily by all its users. It should be brief, clear, concise, exact and suitable to all its users.
4. Comparability: It is essential to have accuracy in the comparison methods and the practice of recording and presenting accounting information every year. Accounting information should be recorded and presented in a consistent manner so that it can be easily compared year after year. Comparability is an important characteristic of accounting information as it helps in effective decision making.

Accounting Terminologies

1. **Business Transations:** Every transaction of a business, which deals in buying and selling of goods in exchange of money is called a Business Transaction. Every transaction should have a financial impact and it should be measurable in terms of money.

   There are two main types of Transactions:

   - Monetary Transactions: The transactions which involve an exchange of money or money's worth, directly or indirectly, are called as Monetary Transactions. Only Monetary transactions are recorded in books of accounts. These can be further classified into two types :

     1. Cash Transactions: Cash transactions are those transactions where the payment / receipt of cash occurs at the time of transaction only.
     2. Credit Transactions: Credit Transactions are those transactions where the payment or receipt of cash takes place after a specified period of time.

   - Non-Monetary Transactions: The transactions carried out without the involvement of money or money's worth, directly or indirectly, are called Non-Monetary transactions. These transactions are not recorded in the books of accounts.
   - Barter System: Barter System is when goods and services are exchanged against other goods and services.
   - Entry: Entry is a first record of a business transaction in the books of accounts. To pass an entry means to record a transaction in a proper form by using the correct technique in the books of accounts.
   - Narration: Narration is a short explanation of the business transaction for an entry. It starts with the word 'Being' and is written in brackets below the entry.

2. **Goods:** Goods are commodities or articles bought or sold by a businessman with the motive to earn profit. The businessman may manufacture the goods himself or he may purchase them for the purpose of sale.

3. **Profit / Loss:**
   - Profit: The excess of Income over Expenses during an accounting year is known as 'Profit'.
   - Loss: The excess of Expenses over Income during an accounting year is known as 'Loss'.
   - Gross Profit: Gross profit is the excess of the Net Sales over the Cost of Goods Sold.

   Net Sales is the revenue (income) received after deducting the goods returned by the customer out of the total goods sold

   Cost of Goods Sold includes the direct expenses related to the manufacture or purchase of goods.

Net Sales = Cash Sales + Credit Sales – Sales Return

Gross Profit = Net Sales – Cost of Goods Sold

- Operating Profit: The excess of Gross Profit over Operating Expenses is known as Operating Profit. Operating Profit is a result of conducting the Operational Activities of a business. Operational activities are the activities performed to generate revenue for the business.

  Operating Expenses are the expenses incurred for Administration of Office, Selling and Distribution of goods and the Financial Expenses of a business.

  Operating Profit = Gross Profit – Operating Cost

- **Operating Cost = Administration and Office Expenses + Selling and Distribution Expenses + Financial Expenses**

- Non-Operating Profit: Non-Operating Profit is generated from activities which do not involve any production of goods or services. It is the profit arising out of the Non Operational activities of a business

  Non-Operating Profit = Non-Operating Income – Non-Operating Expenses

- Normal Gain: When goods are manufactured they pass from various processes. Every process has a defined output. Output of one process becomes input of another process. If the quantity of output increases during the normal course, it is called 'Normal Gain'. Normal Gain is when the actual output is equal to the expected output. It happens under normal circumstances and does not affect the cost of production

- Abnormal Gain: During the production process, when the goods are transferred from one process to another, there is a possibility that the quantity may increase to much more than what is expected. Such an unexpected increase in the quantity is known as 'Abnormal Gain'. The actual output in this situation, is much higher than the expected output of production. Abnormal Gain may also arise when there is reduction of wastage. When the actual wastage is lesser than the normal wastage, it is also termed as Abnormal Gain. Abnormal Gain is essentially a result of an increase in the efficiency of the production department.

- Income: The revenue arising from the sale of goods or services is called Income. It also includes revenues from other sources, common to most businesses such as Interest on Investments, Dividend, Rent, Commission etc.

4. **Assets, Liabilities and Net Worth:**

- Assets: An Asset is any property owned by a business unit. Assets can be classified in three types:

i. Fixed Assets: Assets which are purchased for the purpose of long term use and are not usually sold until they are worn out are called Fixed Assets. They provide long term benefits to the Business.

ii. Current Assets: Current Assets are the assets which remain in the business for a short period of time (usually less than a year) and can be converted into cash easily.

iii. Fictitious Assets: Fictitious Assets are intangible in nature. These assets cannot be seen or touched. They can only be felt. They do not have any physical form of existence but they can be valued in terms of money. They are imaginary assets and generally do not have any exchange value.

- Liabilities: The amount payable by business to outsiders is known as Liability. It is the amount due from the business to various parties for the benefits received by the business unit.

  i. Fixed Liabilities: Fixed Liabilities, also known as Long Term Liabilities, are funds made available to business units from various sources for long term use. They are the major source of funds for the business.

  ii. Current Liabilities: Liabilities which are payable in a short period of time (generally within a year) are called Current Liabilities. These are sources of short term finance for business units.

- Net Worth / Owners Equity or Capital: Capital is the money invested by the proprietor of a firm to start a business. Additionally, the excess of the Assets over Liabilities is also known as 'Capital' or 'Net Worth' of a business. As per the business entity concept, business and its owner are separate entities.

Net worth = Owners Equity = Capital

Owner's Equity = Total Equity (Assets) – Creditors Equity (Liabilities)

Net Worth = Capital + Reserves

Capital = Total Assets – Total Liabilities

Total Assets = Fixed Assets + Current Assets

- Contingent Liabilities: Contingent Liability is a liability which may have to be paid at a future date, depending upon the happening or non-happening of a certain event. It does not affect the financial position of a business and hence it is not recorded in the books of accounts till the event actually occurs. A contingent liability is stated as a foot note to the Balance sheet, simply for information.

- Capital and Drawings:

  i. Capital: Total amount of funds invested by proprietor in the business is called capital. In accounting sense, the excess of Assets over Liabilities is called capital. Capital is a liability of the business as the amount is repayable to the owner of the business unit. Given below is the equation for the calculation of Capital:

  Capital = Assets – Liabilities

  ii. Drawings: Any goods or amount withdrawn by the proprietor from the business for his personal use is called Drawings.

- Debtors and Creditors:

  i. Debtors: A person who pays money to the business for goods and services purchased by him on credit is called a Debtor. A Debtor is a person who owes money to the business.

  ii. Creditors: A person to whom money is payable for goods and services purchased or received by the business is known as a Creditor. A creditor is a person to whom business owes money. .

- Expenditure: The amount paid by a business to receive any services or purchase goods is called Expenditure. When a consideration is received against a payment, the amount paid is known as Expenditure.

  i. Capital Expenditure: The amount paid to acquire an Asset or to increase the value of Fixed Assets is called Capital Expenditure. This type of expenditure is non-recurring in nature and the benefits can be availed over a longer period of time. It increases the earning capacity of a business.

  ii. Revenue Expenditure: Revenue Expenditure is expenditure from which the benefit is received immediately or for a short term, generally less than one year. It is expenditure incurred on operating expenses / day to day expenses of a business which are recurring in nature. Such expenses do not increase the profit earning capacity of a business. Revenue expenditures appear on the debit side of the Trading Account or Profit and Loss Account.

  iii. Deferred Revenue Expenditure: Expenditure incurred which is revenue in nature and provides benefit for more than one year is called Deferred Revenue Expenditure. This expenditure is written off in Profit and Loss A/c over a period of time. Amount written off is shown in debit side of Profit and Loss Account and amount which is not written off yet is shown in the Balance sheet – Asset side.

- Cash Discount and Trade Discount: Discount is a concession on payment given by the seller to the buyer.

i. Cash Discount: Cash discount is an allowance or concession provided to customers for prompt payment of debt. It is deducted from the amount receivable or payable at the time of payment and is given for either spot payment or payment made within a specified time period. Cash discount is given on the price calculated after the deduction of Trade Discount. Cash Discount is a loss to seller and gain for the buyer and hence, it is always recorded in books of accounts.

ii. Trade Discount: Trade Discount is an allowance or concession given to the buyer on list price of goods at the time of sale. Trade discount is not recorded in books of accounts as it helps the retailer to sell the goods on printed price and yet make profit

- Solvent and Insolvent:

  i. Solvent: A Solvent person is someone who is financially sound and is in a position to pay off all his debts. The Assets of a Solvent person are equal to or more than his Liabilities.

  ii. Insolvent: An Insolvent person is someone who is not in a position to pay off his Total Debts from his Total Assets and who is not in a financially sound position. The Assets of an Insolvent person are less than his Liabilities.

- Accounting Year: In order to find out the financial position and performance of the Business, preparation of financial statements is essential. Financial statements are prepared for a period of 12 months. In earlier times, businessmen were allowed to prepare or close the accounts as per their traditional calendars. However, now, in India, as per the Income Tax rules, an accounting year should be of 12 months starting from 1st April to 31st March. A Businessman is required to prepare the Trading Account, Profit and Loss Account and Balance sheet to ascertain the financial position of the business.

- Trading Concern and Non Trading Concern:

  i. Trading Concern: A business or a firm established to perform trading activities, with the objective of earning profit is called a Trading Concern. A Trading Concern is also known as a Profit Making Organization or Commercial Organization.

  ii. Non Trading Concern: An organization which is established for rendering services to the society and does not operate with the objective of earning profit is known as a Non Trading Concern. A Non Trading Concern may be formed with the objective of promoting a useful object such as art, science, sports, culture, and charity etc. xiii.

- Goodwill: Reputation of the business in the market, valued in terms of money, is called Goodwill. It is an Intangible Asset. An Intangible asset is one which cannot be seen or

touched. It can only be felt. Goodwill is the name established by the business in the market, measured in monetary terms. It adds value to the business in addition to the value of the Tangible Assets however, Goodwill does not have any physical existence. It is recorded on the Asset side of the Balance sheet.

Accounting Concepts, Conventions and Principles

Professional Accounting bodies have developed the Generally Accepted Accounting Principles (GAAP) which confirm the established practices and principles for recording transactions. All accountants are expected to follow these accounting principles while preparing accounts as they facilitate ease of comparison of accounts between different organizations. It is also beneficial for auditors to check accounts of various organizations as the basic concepts followed while preparing the accounts are standardized.

Meaning of Accounting Concepts:

Accounting concepts are the general rules of accounting to be followed and practiced by an accountant while preparing the accounts of a firm. Accounting is the language of business and this language needs to be consistent for all businesses else it would be difficult for the various interested parties to interpret the accounts of a business. In order to standardize this language, accounting concepts have been developed over the years. Accounting Concepts are general guidelines for sound accounting practices.

Accounting Concepts:

1 **Business Entity:** The concept of Business Entity states that a Business and its Owner are two separate entities. As per this concept, a business should record transactions only related to business. Proprietor's personal transactions are not to be recorded in the books of the business. For e.g.: Payment of the Electricity bill for the residence of the owner will not be recorded as an expense in the books of accounts. It will simply be deducted from the capital account of the owner.

2 **Money Measurement Concept:** Business transactions need to be recorded in a common unit of measurement. Money is used as a common measurement unit to record all the business transactions. As a result of this concept, only monetary transactions are recorded in the books of accounts. In India, transactions can only be recorded in Indian currency. i.e. 'Rupee' (`).

3 **Cost Concept:** The Cost concept states that all the assets purchased should be recorded at cost price and the cost paid will be the base for further accounting. Market price of an asset keeps fluctuating. Hence, it becomes necessary to record the transactions at cost price.

4 **Consistency Concept:** The consistency concept states that any policies adopted for accounting should not change frequently unless it is the demand of the changing

circumstances. Poilicies adopted for accounting should be consistent and continuous. This concept does not prevent introduction of any new techniques or the improvement of any existing techniques but any deviations from the existing methods should be disclosed separately as a note.

5. **Conservatism Concept:** In accounting, a business should not anticipate future profits but anticipate future losses and make provisions for all the possible expenses. This helps create some reserves in the books of accounts which can absorb the unexpected expenses, if any. The Profit and Loss Account may show lower income and in Balance sheet may overstate the Liabilities and understate the Assets. This policy of recording is asking the accountant 'to play safe' while recording transactions in the books of accounts.

6. **Going Concern Concept:** Going Concern Concepts states that a business should function for a long period of time. It should not be closed down in a short period of time. If a new business suffers losses, it should not be closed but given a chance to make profits in the long run. This concepts builds confidence in Investors, Creditors, Customers and Employees.

7. **Realization:** This concept states that an income is realized only when it is received or earned. Similarly, revenues are recorded only when goods are sold or services are provided. Sales revenues are considered as recognized when sales are effected during the accounting period, irrespective of whether the payment has been received or not.

8. **Accrual:** Expenses are recorded when they are accrued i.e. when they become payable. Similarly, Income is also recorded when it is accrued i.e. when it becomes receivable. Actual payment and receipts are not concerned with recording of the expenses or incomes. As per the Accrual concept, Incomes and Expenses related to the specific accounting period should be recorded in the books of accounts, irrespective of whether they have been paid or not.

9. **Dual Aspect Concept:** Every business transaction has two effects and involves exchange of benefits. Benefit received and benefit given, both the aspects should be recorded in the books. The system which records such dual aspects in the books of accounts is known as Double Entry System. This principle is also referred to as the Debit and Credit concept. The account where the benefit comes in is debited and the account where the benefit goes out is credited.

10. **Disclosure:** This concept states that the accounts must disclose all the material information. Accounts should disclose true, fair and complete information to all the related parties. The Balance sheet and the Profit and Loss Account should present the true picture of the financial performance and the financial position of the business. The information disclosed should possess the qualities of relevance, reliability, comparability and it should be easy to understand for all the concerned authorities.

11. **Materiality Concept:** As per this concept, it would not be very economical for a business to record all the small details in accounting. This concept states that rather significant and

important monetary matters need to be recorded in the books of accounts. The utility of the transaction and information should be related to the time, efforts and the cost involved in accounting of such transactions. Items with value/weightage on the financial condition of a business need to be recorded and disclosed. The remaining information can be merged with other items or it may be shown as foot notes.

12. Revenue Recognition Principle: Revenue is the gross inflow of cash receivable by the business. It also includes the other considerations (cash inflows) arising out of the ordinary activities of the business. This principle states that the revenue earned in a particular accounting period should be recognized and recorded in the books of accounts irrespective of whether it has been received during that period or not.

13. Matching Principle: Matching principle states that all the income received or earned in an accounting year should be matched with the expenses incurred in that accounting year. This concept considers the accrual basis of accounting. Therefore, it includes all the adjustments related to Prepaid Expenses, Outstanding Income, Outstanding Expense and Perceived Income. The matching principle does not enforce that each expense should be matched with or linked to every revenue. Expenses incurred may or may not be directly attributable to the revenue. In cases where relevant, the appropriate expenses should be matched against the appropriate revenues as per this concept.

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Accounting Standards

Concepts and Objectives

In the words of Kohler, "Accounting standards are codes of conduct imposed by customs, law or professional bodies for the benefit of public accountants and accountants generally."

1 **Concepts:** Standards of Accounting are recommended by the Institute of Chartered Accountants of India (I.C.A.I.) and prescribed by the Central Government in consultation with the National Advisory Committee of Accounting Standards (N.A.C.A.S.).

Accounting standards are written policy documents issued by the expert accounting body or by Government or other regulatory body covering following aspects:

a. Recognition b. Measurement c. Treatment d. Presentation

2 **Objectives:** The objective of accounting standards is to standardize the diverse accounting policies and practices with a view to eliminate the non-comparability of financial statements and add reliability to the financial statements.

3 **Some Accounting Standards (AS):**

The Council of the Institute of Chartered Accountants of India has so for issued thirty one accounting standards. Some of these accounting standards are explained below:

- AS-1 Disclosure of Accounting Policies: (1-4-1991)

  Accounting to this standard, the accounting policies followed in the preparation and presentation of financial should form a part of the financial statement and normally be disclosed in one place.

- AS-2 Valuation of Inventories: 1-4-2000)

  According to this standard, inventories in general should be valued at lower of historical cost and net realisable cost.

- AS-3 Cash Flow Statements: (1-4-2000)

  According to this standard, a cash flow statement is prepared and presented for the period for which the profit and loss account is prepared.

- AS-6 Depreciation Accounting: (1-4-1995)

  According to this standard, the depreciation amount of an asset should be allocated on a systematic basis for each accounting period during the useful life of an asset.

- AS-8 Accounting for Research and Development: (1-4-1991)

  According to this standard, the amount of research and development costs should be charged as an expense of the period in which they are actually incurred.

- AS-9 Revenue Recognition: (1-4-1991)

  This standard deals with the basis required for recognition of revenue items in the Profit and Loss Account of an enterprise. It lays down conditions to recognize revenues that arise from the various transactions of an enterprise.

- AS-10 Accounting for Fixed Assets: (1-4-1991)

  According to this standard, the cost of fixed assets should comprise of the purchase price and any attributable cost of bringing the asset to its working conditions for its intended use. The fixed assets should be eliminated from the financial statement on disposal or when no further benefit is expected from their use.

- AS-12 Accounting for Government Grants: (1-4-1995)

  According to this standard, government grants should be recognised when there is an assurance that the enterprise will comply with the conditions attached to them.

- AS-13 Accounting for Investments: (1-4-1995)

  According to this standard, an enterprise should disclose the current and long-term investments distinction in its financial statements. Current investments should be carried in the financial statements at the lower cost or fair value. However, long-term investments should always be carried in the financial statement at the cost price.

- AS-22 Accounting for Taxes on Income: (1-4-2001)

  According to this standard, tax expenses for the period comprising current tax and deferred tax should be included in the determination of the net profit or loss for the period.

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Distinguish Between

i. Profit and Income:

	Profit	Income
	Meaning	
a.	The amount of income earned over and above the expenses incurred is known as Profit.	Income is amount received from the sale of goods or services rendered or any other revenue receipt.
	Formula	
b.	Profit = Selling price – Cost price	No formula is required to calculate Income.
	Example	
c.	Goods costing ₹ 10,000, sold to Raj for ₹ 12,000. Profit earned = ₹ 2,000	A section of office is given on Rent for ₹ 2,000 per month. ₹ 24,000 will be the income for the year on account of Rent received.

ii. Trade Discount and Cash Discount:

	Trade Discount	Cash Discount
	Meaning	
a.	Trade discount is an allowance on the list price of the goods.	Cash discount is an allowance on the amount to be paid in cash.
	Calculation	
b.	Trade discount is calculated on Gross Price or List Price.	Cash discount is calculated on the Net Price.
	Given by	
c.	Trade discount is provided by manufacturers or wholesalers to the retailers.	Cash discount is given by the person receiving cash payment to the person making the cash payment.
	Purpose	
d.	Trade discount allows businessmen to sell goods at the list price and yet earn profit.	Cash discount is given to encourage buyers to make early and prompt payment.
	Recording	
e.	Trade discount is not recorded in the books of accounts.	Cash discount is recorded in the books of accounts.

Journal Entries

In the preceeding lessons you have learnt about various business transactions and Book keeping i.e. recording these transactions in the books of accounts in a systematic manner. Curosity may arise in your mind that what are these books? Why businessman keeps many books? How does he enter various transactions in these books? You have learnt about the double entry system of maintaining accounts i.e. rules of debit and credit in relation to various accounts. A book that is prepared by every businessman small or big is a book in which business transactions are recorded datewise and in the order in which these transactions take place is known as journal. In this lesson you will learn about its meaning, objective and its preparation.

OBJECTIVES

After studying this lesson, you will be able to :

- explain the meaning of journal;
- draw journal as per format;
- explain the process of journalising;
- journalise the simple and compound transactions;
- classify journal into Special Journals and Journal Proper.

Meaning and Format

Journal is a book of accounts in which all day to day business transactions are recorded in a chronological order i.e. in the order of their occurrence. Transactions when recorded in a Journal are known as entries. It is the book in which transactions are recorded for the first time. Journal is also known as 'Book of Original Record' or 'Book of Primary Entry'.

Business transactions of financial nature are classified into various categories of accounts such as assets, liabilities, capital, revenue and expenses. These are debited or credited according to the rules of debit and credit, applicable to the specific accounts. Every business transaction affects two accounts. Applying the principle of double entry one account is debited and the other account is credited. Every transaction can be recorded in journal. This process of recording transactions in the journal is' known as 'Journalising'.

In small business houses generally, one Journal Book is maintained in which all the transactions are recorded. But in case of big business houses as the transactions are quite large in number, therefore journal is divided into various types of books called Special Journals in which transactions are recorded depending upon the nature of transaction i.e. all credit sales in Sales Book, all cash transactions in Cash Book and so on.

Format of Journal

Every page of Journal has the following format. It is a columnar book. Each column is given a name written on its top. Format of journal is given below:

Journal

Date	Particulars	Ledger Folio	Dr. Amount (Rs.)	Cr. Amount (Rs.)
(1)	(2)	(3)	(4)	(5)

Column wise details of journal is as :

1 **Date:** In this column, we record the date of the transactions with its month and accounting year. We write year only once at the top and need not repeat it with every date.

Example :

Date
2017
April 15

2 **Particulars:** The accounts affected by a transaction i.e the accounts which have to be debited or credited are recorded in this column. It is recorded in the following way :

In the first line, the account which has to be debited is written and then the short form of Debit i.e. Dr. is written against that account's name in the extreme right of the same column.

In the second line after leaving some space from the left of the entry in the first line, the account which has to be credited is written starting with preposition 'To' then in the third line, Narration for that entry which explains the transaction, the affected accounts of which are entered, is written within Brackets. Narration should be short, complete and clear. After every journal entry, horizontal line is drawn in the particulars column to separate one entry from the other.

Example : Rent paid in cash on 1st April, 2017

Date	Particulars	
2017	Rent A/c.....	Dr
April 1	To Cash A/c	
	(Rent paid in cash)	

3 **Ledger Folio:** The transaction entered in a Journal is posted to the various related accounts in the 'ledger' (which is explained in another lesson). In ledger-folio column we enter the page-number where the account pertaining to the entry is opened and posting from the Journal is made.

4 **Dr. Amount:** In this column, the amount to be debited is written against the same line in which the debited account is written.

5 **Cr. Amount:** In this column, the amount to be credited. is written against the same line in which the credited account is written.

Example :

Journal

Date	Particulars	Ledger Folio	Dr. Amount (Rs.)	Cr. Amount (Rs.)
2017 April 1	Rent A/c ..... Dr To Cash A/c (Rent paid in Cash)		4000	4000

- At the end of each page, both the Dr. and Cr. columns are totalled up. The total of both these columns should be equal as the same amount is entered in the debit as well as in the credit columns. The totals are carried forward to the next page with the words 'total carried forward (c/f) and then at the top of the next page in Particulars column, we write totals brought forward (b/f) and the amount of totals is written in the respecive amount columns.

PROCESS OF JOURNALISING

Following steps are taken for the preparation of a journal :

- **Identify the Accounts:** First of all, the affected accounts of an accounting transaction are identified. For example, if the transaction of "goods worth Rs.10000 are purchased for Cash", then 'Purchases' A/c and 'Cash' A/c are the two affected accounts.
- **Recognise the type of Accounts:** Next we determine the type of the affected accounts e.g. in the above case, 'Purchases A/c and Cash A/c are both asset accounts.
- **Apply the Rules of Debit and Credit:** Then the rules of 'debit' and 'credit' are applied to the affected accounts. You are aware of these rules. However, for the revision purposes, these are given below :
  a. Assets and Expenses Accounts are debited if there is an increase and credited if there is decrease :
  b. Liability, Capital and Revenue Accounts are debited if there is decrease and credited if there is increase.

In the example given when goods are purchased, as the assets are increasing, therefore, Purchases Account will be debited and as payment is made in cash assets are decreasing, Cash Account will be credited.

Now, the journal entry will be made in the Journal along with a brief explanation i.e. narration. The corresponding amounts will be written in the debit and credit columns. After completing one entry, a horizontal line is drawn before entry for the next transaction is made in the journal.

The transaction, given above in the example, is journalised in the following manner :

Date	Particulars	Dr. Amount (Rs.)	Cr. Amount (Rs.)
	Purchase A/c..... Dr To Cash A/c Goods purchased for Cash)	1000	1000

Illustration 1

Enter the following transactions in the Journal of Bhagwat and sons..

2018		**Amount (Rs)**
January 1	Tarun started business with cash	1,00,000
January 2	Goods purchased for cash	20,000
January 4	Machinery Purchased from Vibhu	30,000
January 6	Rent paid in cash	10,000
January 8	Goods purchased on credit from Anil	25,000
January 10	Goods sold for cash	40,000
January 15	Goods sold on credit to Gurmeet	30,000
January 18	Salaries paid.	12,000
January 20	Cash withdrawn for personal use	5,000

Solution.

As explained above, before making the journal entries, it is very essential to determine the kind of accounts to be debited or credited. This is shown in the Table :

Tabular Analysis of Business Transactions

Date	Transaction	Affected Accounts	Kind of Accounts	Increase or Decrease in Accounts	Debited Accounts Dr.	Credited Accounts Cr.
2018						
January 1	Cash received from the owner Tarun	Cash Capital	Asset Capital	Increase Increase	Cash A/c	Capital A/c
January 2	Goods purcha-sed for cash	Goods Cash	Asset Asset	Increase Decrease	Purchase A/c	Cash A/c
January 4	Machinery purchased on Credit from Vibhu	Machin-ery Vibhu	Asset Liability	Increase Increase	Machinery A/c	Vibhu A/c
January 6	Rent paid in cash	Rent Cash	Expense Asset	Increase Decrease	Rent A/c	Cash A/c
January 8	Goods purchased on Credit from Anil	Purchases Anil (creditor)	Asset Liability	Increase Increase	Purchase A/c	Anil A/c
January 10	Goods sold for Cash	Cash sales	Asset revenue	Increase Increase	Cash A/c	Sales A/c
January 15	Credit sales to Gurmeet	Gurmeet (Debtor) Goods	Asset revenue	Increase Increase	Gurmeet	Sales A/c
January 18	Salaries paid in cash	Salaries Cash	Expense Asset	Increase Decrease	Salaries A/c	Cash A/c
January 20	Cash withdrawn for personal use	Drawings Cash	Capital Asset	Decrease Decrease	Drawings A/c	Cash A/c

On the basis of the above table, following entries can be made in the Journal

Journal of Tarun

Date	Particulars		L.F.	Dr. Amount Rs.	Cr. Amount Rs.
2018					
January 1	Cash A/c	Dr.		1,00,000	
	To Tarun Capital A/c				1,00,000
	(Capital brought in by Tarun)				
January 2	Purchase A/c	Dr.		20,000	
	To Cash A/c				20,000
	(Goods purchased for Cash)				
January 4	Machinery A/c	Dr.		30,000	
	To Vibhu's A/c				30,000
	(Machinery purchased from Vibhu on credit)				
January 6	Rent A/c	Dr.		10,000	
	To cash A/c				10,000
	(Rent paid)				
January 8	Purchases A/c	Dr		25000	
	To Anil's A/c				25000
	(Good purchased on credit)				
January10	Cash A/c	Dr		40,000	
	To Sales A/c				40000
	(Goods sold for Cash)				
January15	Gurmeet's A/c	Dr		30,000	
	To Sales A/c				30,000
	(Goods sold on credit to Gurmeet)				
January18	Salaries A/c	Dr.		12,000	
	To Cash A/c				12,000
	(Salaries paid)				
January20	Drawings A/c	Dr		5,000	
	To Cash A/c				5,000
	(Cash withdrawn by the owner for personal use)				
	Total			2,72,000	2,72,000

COMPOUND AND ADJUSTING ENTRIES

The journal entries that you have learnt so far are simple and affect two accounts only. There can be entries that affect more than two accounts; such entries are called compound or combined entries.

A simple journal entry contains only one debit and one credit. But if an entry contains more than one debit or credit or both, that entry is known as a compound journal entry. Actually, a compound journal entry is a combination of two or more simple journal entries.

Thus, a compound journal entry can be made in the following three ways:

(i) By debiting one account and crediting more than one account.
(ii) By debiting more than one account and crediting one account.
(iii) By debiting more than one account and also crediting more than one account.

Two simple journal entries are as :

Journal

Date	Particulars	L.F.	Dr. Amount Rs.	Cr. Amount Rs.
2017 November 30	Salary A/c Dr. To Cash A/c (Salary paid in Cash)		6000	6000
November 30	Rent A/c Dr. To Cash A/c (Rent paid in Cash)		12,000	12,000

The above two simple entries have been converted into compound Journal entry as under :

2017 November 30	Salary A/c Dr. Rent A/c To Cash A/c (Rent paid in Cash)		6000 12,000	18,000

Note : To make the compound entry it is necessary that the transactions must be of the same date and one account is common.

If you match the first two simple entries with the converted compound entry, you will find that there is no difference between them so far as the accounting effect is concerned. The compound entries save time and space. Such compound entries are made in the following cases:

(a) When two or more transactions occur on the same day.
(b) One aspect i.e. either the Debit account or Credit account is common.

A few more examples of compound entries are :

1. **Bad debt :** When a debtor fails to pay the full amount due to him, the unpaid amount is known as bad debt.

   For example, A business concern receives Rs 8000 of Rs10,000 due from Harish. He is unable to pay the balance amount, thus, the remaining amount becomes a bad debt for the business.

   The compound entry for this transaction will be :

Bank A/c	Dr.	8000	
Bad Debts A/c	Dr.	2000	
To Harish's A/c			10,000

   (Receipt of Rs8000 from Harish and remaining due amount of Rs2000 is treated as bad debts)

2. **Discount Allowed and Received :** To encourage a customer to pay the amount due before due date, discount is allowed. This is called cash discount. If such discount is received the compound entry will be :

Creditor A/c	Dr.	
To Bank A/c		
To Discount A/c		

3. **Similarly, when cash discount is allowed, the journal entry will be**

Bank A/c	Dr.	
Discount A/c	Dr.	
To customer's (Debtors) A/c		

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Note : When the customer buys goods in bulk or in large quantity some discount may be allowed to him. This is to encourage him to buy more and more. This discount is called Trade Discount. When the bill is prepared for the purchase of goods, the amount of trade discount is deducted from the total amount payable. No entry is made for this type of discount in the journal i.e. it is not recorded in the books of accounts.

Illustration 2

Enter the following transactions in the books of Supriya, the owner of the business.

2018

January 8	Purchased goods worth Rs.5,000 from Sarita on credit.
January 12	Neha Purchased goods worth Rs.4,000 from Supriya on credit.
January 18	Received a Cheque from Neha in full settlement of her account Rs.3,850. Discount allowed to her Rs.150
January 20	Payment made to Sarita Rs.4,900. Discount allowed by him Rs.100.
January 22	Purchased goods for cash Rs.10,000.
January 24	Goods sold to Kavita for Rs.15,000. Trade discount @ 20% is allowed to her.
January 29	Payment received from Kavita by Cheque.

Solution

The above transactions will be entered in the journal as follows :

Journal of Supriya

Date	Particulars		L.F.	Dr. Amount Rs.	Cr. Amount Rs.
2018					
Jan.8	Purhcases A/c	Dr.		5,000	
	To Sarita A/c				5,000
	(Goods Purchased on credit from Sarita)				
Jan. 12	Neha's A/c	Dr.		4,000	
	To Sales A/c				4,000
	(Goods sold on credit to Neha)				
Jan. 18	Bank A/c	Dr.		3,850	
	Discount A/c	Dr.		150	
	To Neha's A/c				4,000
	(Payment recived from Neha and discount allowed)				
Jan. 20	Sarita's A/c	Dr.		5,000	
	To Cash A/c				4.900
	To Discount A/c				100
	(Payment made and discount allowed by Sarita)				
Jan. 22	Purhcases A/c	Dr.		10,000	
	To Cash A/c				10,000
	(Goods purchased for cash)				
Jan. 24	Kavita A/c	Dr		12000	
	To Sales A/c				12000
	(Sold good to Kavita on credit of Rs15000 less Trade Discount @20%)				
Jan. 29	Bank A/c	Dr.		12000	
	To Kavita's A/c				12000
	(Payment received from Kavita by Cheque)				
		Total		52000	52000

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Adjusting Entry

To satisfy the principle of matching cost and revenue, amount of every expense and revenue should pertain to the period for which accounts are being prepared. Thus, there can be two situations : (a) Amount has been received or paid which belongs to more than one accounting year (b) amount of expense or of revenue for the current year stands due and not paid. In the above two cases adjustments need to be made. Any journal entry made to adjust these amounts is called adjusting journal entry.

Journal entries made to adjust for outstanding expenses such as rent outstanding, prepaid expenses such as insurance premium paid in advance, accrued income such as rent (income) has beocme due but not received and income received in advance such as commission has been received though not yet due are examples of adjusting journal entries.

Following are the items for which adjustment is required :

1. Outstanding Expenses

An expense for the current accounting peirod should be debited (as increase in expense is to be debited). It is immaterial whether it is paid in that accounting period or not. In case the same expense is not paid during the year, it becomes outstanding for that particular year. It is the liability of the business for that year and, thus, expense outstanding account will be credited, because liabilities are credited for increase.

For example, if salaries are outstanding for Rs.5,000 for December 2006 then the entry will be made as follows:

Salaries A/c	Dr.	5,000	
To Salaries outstanding A/c			5,000

(Salaries remaining unpaid for the month of December)

2. Prepaid Expenses

This is an expense relating to the next year that has been paid in advance during the current year. Thus, in such a case, this amount should not be treated as an expense for this year. It should be treated as an asset in the current year as the services will be received only in the next year (but the payment has been made in this year). As an increase in asset is debited, so prepaid expense account will also be debited.

If, for example, Insurance is prepaid for 2007 in 2006 for Rs.3,000 then entry will be made as follows:

Prepaid Insurance A/c	Dr.	3,000	
To Insurance Premium A/c			3,000

(insurance paid in advance)

<u>Accrued Income</u>

In case, income has been earned but it has not been recieved till now, it is an accrued income. Accrued Income is an asset, as there will be an increase in the asset, it will be debited.

For example, Rent (receivable) is outstanding for the month of November Rs.4,000. The entry in such a case will be:

Accrued Rent A/c Dr. 4,000

To Rent A/c 4,000

(Being Rent due but not yet received for the period)

Note : Here Rent Income A/c has been credited for the increase to be made in the amount of Rent for the period of November, which has to be included in the total Rent Income.

Income received in advance

Whenever Income is received in advance during the current year i.e. it is received for the next year, it should not be included in the current year's income. As this income pertains to the next year, it cannot be treated as income in the current year, so it becomes a liability. As there is an increase in the liability, it should be credited.

For example, if Rent is received in advance for the period January and February 2007 in December 2006, Rs.9,000. Then the entry will be

Rent A/c Dr. 9,000

To Rent Received in Advance A/c 9,000

(Rent received in advance for January and February in the month of December 2006)

Note : Here Rent Income A/c has been debited as it has to be decreased by Rs.9,000 being Rent in advance for January and February 2007 which should not be included in the month of December 2006 as the services have not yet been rendered.

Miscellaneous entries

Depreciation

Depreciation means decline in the value of an asset due to its wear and tear. It is an expense for the business. Increase in expenses and losses are debited, so depreciation is also to be debited. The value of the asset will also be reduced because of depreciation. As decrease in assets is credited, so the same asset account will be credited.

For example, Depreciation on furniture Rs.3,000 is charged for the year, Journal entry will be:

Depreciation A/c Dr. 3,000

To Furniture A/c 3,000

(Depreciation charged on furniture)

Interest on capital

Business may allow interest to its proprietor on his/her capital. It is an expense for the business. As the expense is debited for the increase, interest on capital will be debited. The other account involved here is capital account. As Capital is increasing, it will be credited with the amount of interest on capital.

For exmaple, Interest allowed on capital is Rs.2,500. Thus, the journal entry will be

Interest on Capital A/c Dr. 2,500

To Capital A/c 2,500

(Interest on Capital is allowed)

Drawings

When the proprietor withdraws some money from the business for his personal or domestic use, it is known as Drawings. Drawings reduce the amount of Capital. As decrease in Capital is debited, drawings will also be debited. As Cash will be decreased as an asset, it will be credited.

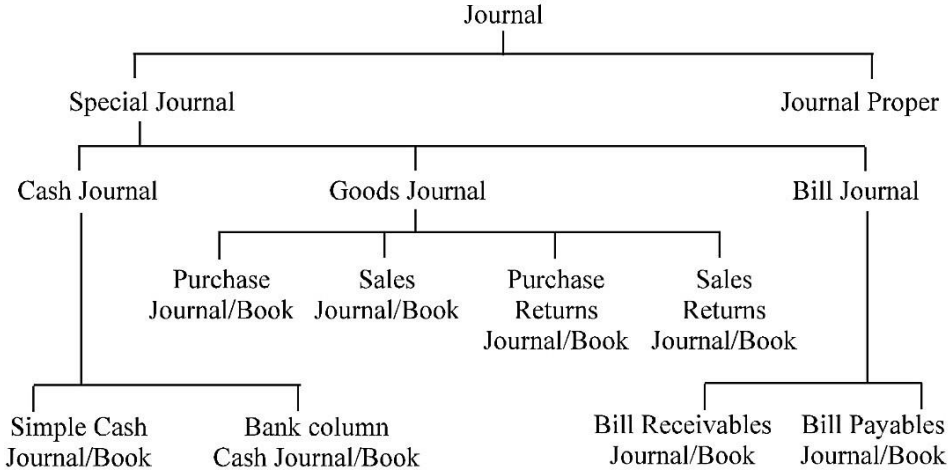
For example, Cash withdrawn by the proprietor for his peronal use is Rs.4,000. So the journal entry will be :

Drawings A/c	Dr.	4000	
To Cash A/c			4000

CLASSIFICATION OF JOURNAL

Journal is a book in which transactions are recorded in chronological order/date wise, therefore it will be practically difficult to record if the number of transactions is large. To take the benefit of division of labour, journal should be divided into number of journals. Journal can be classified into various special journals and Journal proper. Special journals are also known as special purpose books.

Classification of Journal can be explained with the help of the following chart:



These journals are explained below :

1. **Special Journal** : Special journals are those journals which are meant for recording all the transactions of a repetitive nature of a particular type. For example, all cash related transactions may be recorded in one book, all credit purchases in another book and so on. These are :

   a Cash Journal/Cash Book : Cash Journal or Cash Book is meant for recording all cash transactions i.e., all cash-receipts and all cash payments of the 'business. This book he1ps us to know the balance of Cash in hand at any point of time. It is of two types :

- Simple Cash Book: It records only receipts and paymetns of cash. It is like an ordinary Cash Acocunt.
- Bank Column Cash Book : This type of Cash Book contains one more column on each side for the Bank transactions. This Book provides addtiional information about the Bank transactions.

You will learn more details about the Cash Book in the lesson on Cash Book.

b. Purchases Journal/Purhcases Book: This journal is meant for recording all credit purchases of goods only as Cash purhcases of goods are recorded in the Cash Book. In this journal, purchases of other things like machinery, typewriter, stationery, etc. are not recorded. Goods means articles meant for trading or the articles in which the business deals.

c. Sales Journal/Sales Book : This journal is meant for recording all credit sales of goods made by the firm. Cash Sales are recorded in the Cash Book and not in the Sales Book. Credit Sale of items other than the goods dealt in like sale of old furniture, machinery, etc. are not entered in the Sales Journal.

d. Purchase Returns or Returns Outward Journal : Whenever, the goods are not as per the specifications, the buyer may return these goods to the supplier. These returns are entered in a book known as Purhcase Returns Book. It is also known as Returns Outward Journal Book.

e. Sale Returns or Returns Inward Journal : Sometimes, when the goods are sold to the customer and they are not satisfied with the goods, they may return these goods to the businessman. Such returns are known as Sales Returns. Just like Purchase Returns, they are also recorded in a separate Book which is known as Sales Returns or Returns Inward Journal/Book.

Note : You will learn more details about these Special journals in the subsequent lessons.

f. Bill Receivables Journal/Book : When goods are sold on credit and the date and period of payment is agreed upon between the seller and the buyer, this is duly signed by both the parties. This written document is called a Bill of exchange. For the seller it is a bill receivable and for the buyer it is a bill payable. Bills Receivable Journal/ Book and Bills Payable journal Book are two journals prepared by a businessman.

For example : Pranaya sells goods to Gunakshi on credit for Rs 5000 payable after three months. A document is prepared containing these facts and is duly signed by Pranaya and Gunakshi. For Pranaya it is a Bills Receivable and she will record this transaction in Bill Receivable Book. For Gunakshi it is a Bill Payable and she will record the transaction in her Bill Payable Book.

- Bill Payable Journal : This is a journal in which record of those bills is kept on which the firm has given its acceptance for making payments on later dates.

Note : Bill books are not now in practice.

2. **Journal Proper :** This journal is meant for recording all such transactions for which no special journal has been maintained in the business. Therefore, in this journal, all such transactions are recorded which do not occur frequently and for these transactions no special journal is required. For example, if Machinery is purchased on credit, it will be recorded in the journal proper, because in the Cash Book, we will record only cash purchases of machinery. Similarly, many other transactions, which do not find their place in the special journals will be recorded in the General Journal such as
   - Outstanding expenses – Salaries outstanding, Rent outstanding, etc.
   - Prepaid expenses – Prepaid Rent, Salaries paid in advance
   - Income received in advance – Rent received in advance, interest received in advance, etc.
   - Accrued Incomes – Commission yet to be received, interest yet to be received.
   - Interest on Capital
   - Depreciation
   - Credit Purchase and Credit Sale of fixed Assets – Machinery, Furniture.
   - Bad debts.
   - Goods taken by the proprietor for personal use.

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Cash Book

INTRODUCTION

Every entrepreneur should have knowledge of cash book and pass book as from these books, he may check how much balance is available to him for meeting his expenses and liabilities and what are the details of receipts and payments of a particular period. With the details of payments it can be checked that whether the payments are of reasonable amount or not. If the expanses are unreasonably high he may take steps to control them. An entrepreneur who regularly checks his cash and bank balances would never face problems like dishonor of cheques or cash crisis etc. Entrepreneur, who doesn't distinguish between his revenue and profits, may spend all his receipts for his personal purposes subsequently resulting in deficiency of cash for business purposes and lead to cash crisis.

OBJECTIVES

After going through this lesson you should be able to

- Explain the meaning of Cash Book, Pass Book, and Petty Cash Book.
- Discuss the types of cash book.
- Enter the transactions in Cash Book.
- Explain the meaning, need and importance of bank reconciliation statement.
- Discuss the causes for difference between the balances of Pass Book and Cash Book.
- Prepare bank reconciliation statement.

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CASH BOOK

In business most of the transactions relate to receipt of cash, payments of cash, sale of goods and purchase of goods. So it is convenient to have separate books for each such class of transaction, one for receipts and payments of cash, one for purchase of goods and one for sale of goods. These books are called subsidiary books.

Cash book is a subsidiary book which records the receipts and payment of cash. With the help of cash book cash and bank balance can be checked at my point of time.

(Ref.: T.S. Grewal, "Double Entry Book Keeping")

TYPES OF CASH BOOK

Cash book can be of four types:

1. Simple Cash Book.
2. Two column cash book.
3. Three column cash book.
4. Petty cash book

SIMPLE CASH BOOK

A simple cash book is prepared like any ordinary account. The receipts are recorded in the Dr Side and the payments are recorded in the Cr side of the cash book. The specimen Performa of a simple cash book is given as follows:

Simple Cash Book

Dr. Receipts Payments **Cr.**

Date	Particulars	Amt. Rs.	Date	Particulars	Amt. Rs.

Balancing the Cash Book

The Cash book is balanced like any other account. The receipts column total will be more than the payments column total. The difference will be written on the Cr. Side as "By Bal c/d".

Example 1

Enter the following transactions in a simple cash Book.

2018		Rs.
Jan 1	Cash in hand	12,000
Jan 5	Received from Ram	3,000
Jan 7	Paid Rent	300
Jan 8	Sold goods	7000
Jan 10	Paid Shyam	2000

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Simple Cash Book

Dr. Receipts Payments **Cr.**

Date	Particulars	Amt. Rs.	Date	Particulars	Amt. Rs.
2018			2018		
Jan 1	To Bal b/d	12,000	Jan 7	By Rent	300
Jan 5	To Ram	3,000	Jan 10	By Shyam	2,000
Jan 8	To Sales	7,000	Jan 31	By Bal C/d	17,000
		22,000			22,000

TWO COLUMN CASH BOOK

A two - column cash back records discount allowed and discount received along with the cash payments and cash receipts.

Discount allowed is the concession given by the businessman to its customers or debtors e.g. if a debtor has to pay Rs. 10,000 and he is allowed 10% discount, now he will pay only Rs. 9000 to the firm. This is called discount allowed, it is a type of loss for the business so it is to be debited and recorded in Dr. Side of the cash book. Discount received is the concession received by the business man from the creditors. e.g. if a firm has to pay Rs. 50,000 to its

creditors and discount received is 20% then the firm has to pay only Rs. 40,000 to the creditor. This is called discount received, it is a gain or profit for the firm so it is to be credited and recorded in the Cr. side of the cash book the specimen Performa of a two column cash Book is given as under –

Two Column Cash Book

Dr. Receipts Payments **Cr.**

Date	Particulars	Amt. Dis.	Amt. Cash	Date	Particulars	Amt. Dis.	Amt. Cash

Note: Discount columns are not balanced they are merely totaled.

Example 2:

Enter the following transactions in a two column ash Book.

2018		Rs.
Jan 1	Cash in hand	15,000
Jan 5	Paid to Ram	3,000
Jan 5	Discount allowed by him	100
Jan 6	Purchased goods	4,000
Jan 10	Received from R. Gupta	9,800
Jan 10	Discount allowed	200
Jan 11	Sold goods	4,000
Jan 12	Paid to S. Sharma	2,950
	Discount received Rs. 50	50
Jan 13	Paid wages	500
Jan 14	Paid to Naresh in full settlement of his Account which shows a Cr. Balance of Rs. 4000	3900

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Two Column Cash Book

Dr. Receipts Payments **Cr.**

Date	Particulars	Amt. Dis.	Amt. Cash	Date	Particulars	Amt. Dis.	Amt. Cash
2018				2018			
Jan 1	To Bal b/d	-	15,000	Jan 5	By Ram	100	3,000
Jan 10	To R. Gupta	200	9,800	Jan 6	Purchases	-	4,000
Jan 11	To sales	-	4,000	Jan 12	By S. Sharma	50	2,950
				Jan 13	By Wages		500
				Jan 14	By Naresh	100	3,900
				Jan 31	By Bal c/d		14,450
		200	28,800			250	28,800

THREE COLUMN CASH BOOK

A three column cash Book is a cash book which contains bank column along with cash and discount columns.

A firm normally keeps the bulk of its funds at a Bank; money can be deposited and withdrawn at will if it is a current account. Probably payments into and out of the bank will be more numerous than strict cash transactions. They're in only a little difference between cash in hand and cash at bank. Therefore it is very convenient if in the cash book on each side another column is added – to record moneys deposited at bank and payments out of the bank. The specimen Performa of a three column cash book is given as under: -

Three Column Cash Book

Dr. Receipts Payments **Cr.**

Date	Particulars	Dis. Rs.	Cash Rs.	Bank Rs.	Date	Particulars	Dis. Rs.	Cash Rs.	Bank Rs.

Balancing: The discount columns are totaled but not balanced. The cash columns are balanced exactly in the same manner as indicated for the simple cash book. The process is similar for balancing the bank columns also. It is possible, however, that the bank may allow the firm to withdraw more than the amount deposited, i.e. to have an overdraft. In such a case the total of the bank column on the credit side will be bigger than the one on the debit side. The difference is written on the debit side as "To Bal c/d". Then the totals are written on the two sides opposite one another; the balance is then entered on the credit side as "By Bal b/d".

However the usual case is that payments into the bank will exceed the withdrawals or payments out of the bank. Then the bank columns are balanced just like the cash columns.

(Ref.: T.S. Grewal, "Double Entry Book Keeping")

Example 3:

Enter the following transactions in a Three-column cash book. Cheques are first treated as cash receipts

2018		Rs.
Jan 1	Cash in hand	20,000
Jan 2	Paid into Bank	19,000
Jan 3	Receives cheques from Kirti and Co.	600
Jan 4	Pays into bank Kirti and Co's Cheque	600
Jan 5	He pays Ratan and Co. by Cheque and is allowed discount of Rs. 20	330

Solution

Three Column Cash Book

Dr. Receipts Payments **Cr.**

Date 2018	Particulars	Dis. Rs.	Cash Rs.	Bank Rs.	Date 2018	Particulars	Dis. Rs.	Cash Rs.	Bank Rs.
Jan 1	To Bal b/d	-	20,000	-	Jan 2	By Bank	-	19,000	-
Jan 2	To Cash	-	-	19,000		A/C (c)			
	A/C (C)				Jan 4	By Bank	-	600	-
Jan 3	To Kirti	-	600	-		A/C (c)			
	and Co				Jan 5	By Ratan	20	-	330
Jan 4	To Cash	-	-	600		and Co (c)			
	A/C (c)				Jan 31	By Bal C.d	-	1000	18670
			20,600	19,600			20	20,600	19,600

Note:

1) When cash is paid into bank the entry passed is

Bank A/C Dr. (Bank balance increased)

To Cash A/C (Cash balance decreased)

This type of transaction affects both cash and bank, these are called contra transactions

2) When cheque is received two entries are passed

Cash A/C Dr. (When cheque is received)

To Debtors

Bank A/C Dr. (When cheque is deposited into Bank)

To Cash

PETTY CASH BOOK

A business house makes a number of small payments like telegram, textiles, cartage etc. If all these transactions are recorded in cash book the cash bank may become bulky and the main cashier's work will also increase therefore usually firms appoint a petty cashier who makes these small payments and keep record of these payments in a separate cash book which is called Petty Cash book.

IMPREST SYSTEM OF PETTY CASH BOOK.

The petty cashier is given a sum of money in the beginning of the period. During the period he makes payment out of this money. At end the firm reimburses him the amount paid by him so that the balance of cash with him remains same in the beginning of the period as well as at the end of the period. This is called the Imprest system of petty cash Book. The specimen Performa of a petty cash book is given as under.

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Petty Cash Book

Receipts	Date	Voucher No.	Particular	Total	Conveyance	Cartage	Stationery	Postage and Tele Gram	Sundries

Example 4

Prepare a petty cash book on the Imprest system from the following:

2018		Rs.
March 1	Received Rs. 1000 for petty cash	
March 2	Paid bus fare	10
March 3	Paid Cartage	25
March 4	Paid for postage and telegram	50
March 5	Paid for stationery	40
March 6	Paid for postage and telegram	50
March 7	Paid for sundry exp.	40

Solution

Petty Cash Book

Receipts	Date	V. No.	Particulars	Total Rs.	Conveyance	Cartage	Stationary	Postage Telegram	Sundries
	2018								-
1000	March-1	1	To Cash A/C						-
	March-2	2	By conveyance	10	10	-	-	-	-
	March-3	3	By cartage	25	-	25	-	-	
	March-4	4	By postage and telegram	50	-	-	-	50	-
	March-5	5	By stationary	40	-	-	40	-	-
	March-6	6	By postage and telegram	50	-	-	-	50	-
	March-7	7	By sundry exp.	40	-	-	-	-	40
1000	March 31		By Bal c/d	215	10	25	40	100	40
====				785	===	===	====	====	====

785	April 1		To Bal b/d						
215			To Cash						

ADVANTAGES OF PETTY CASH BOOK

There are mainly four advantages:

(i) Saving of time – Saving of time of the chief cashier.
(ii) Saving of labour – saving in labour in writing up the cash book.
(iii) Control – It provides control over small payments.
(iv) Convenience in preparing ledger amounts.

(Ref.: T.S. Grewal, "Double Entry Book Keeping")

PASS BOOK

Pass Book is a book issued by Bank to an accountholder. It is almost a copy of the account of the customer in the books of bank. The bank keeps the customer informed of the entries made in his account through Pass Book. It is the customer's duty to check the entries and immediately inform the bank of any error that he may have noticed. The form of the Pass Book is given as below

PASS BOOK

Messers .....

Date	Particulars	Withdrawals Dr	Deposits Cr.	Dr or Cr	Balance

BANK RECONCILIATION STATEMENT

It may be illustrated under following heads

MEANING

The cash Book and Pass Book are prepared separately. The Businessman prepares the Cash Book and the Pass Book is prepared by the Bank (here by cash book we mean three column cash Book). But as both the books are related to one person and same transactions are recorded in both the books so the balance of both the books should match i.e. the balance as per Pass Book should match to balance at bank as per cash book. But many a times these two balances do not agree then, it becomes necessary to reconcile them by preparing a statement which is called Bank Reconciliation Statement. A BANK RECONCILIATION STATEMENT may be defined as a statement showing the items of differences between the cash Brook balance and the pass book balance, prepared on any day for reconciling the two balances.

CAUSES FOR DIFFERENCES

A transaction relating to bank has to be recorded in both the books i.e. Cash Book and Pass Book but sometimes it happens that a bank transaction is recorded only in one book and not recorded simultaneously in other book this causes difference in the two balances. The causes for difference may be illustrated in detail as follows:

	Causes	Cash Book	Pass Book
1.	Cheques issued but not yet presented for payment	Entry is made Balance =Decreased	No entry is made till the cheques are presented for payment. Balance= Same as before
2.	Cheques paid into the bank but not yet cleared.	Entry is made Balance = Increased	No entry is made till the cheques are cleared Balance = same
3.	Interest allowed by the Bank	No entry is made till the Pass Book is checked Balance = Same	Entry is made Balance = Increased
4.	Interest and Expenses Charged by the Bank	No entry is made till the Pass Book is checked Balance = Same	Entry is made Balance = Decreased
5.	Interest and dividends collected by Bank	No entry is made till the Pass Book is checked Balance = Same	Entry is made Balance = Increased

6.	Direct payments by the bank	No entry is made till the Pass Book is checked Balance = Same	Entry is made Balance = decreased
7.	Direct payments into the bank by a customer	No entry is made till the Pass Book is checked Balance = Same	Entry is made Balance = Increased
8.	Dishonor of a bill discounted with the bank	No entry is made till the pass Book is checked Balance = Same	Entry is made Balance = decreased
9.	Bills collected by the bank on behalf of the customer	No entry is made till the Pass Book is checked Balance = Same	Entry is made Balance = Increased
10	Errors committed either in Cash Back or Pass Book		

NEED AND IMPORTANCE OF BANK RECONCILIATION STATEMENT

The need and importance of the bank reconciliation statement may be given as follows:

1. The reconciliation process helps in bringing out the errors committed either in cash Book or Pass Book.
2. Bank reconciliation statement may also show any undue delay in the clearance of cheques.
3. Sometimes the cashier may have the tendency of cheating like he may made entries in the Cash Book only but never deposit the cash into bank. These types of frauds by the entrepreneur's staff or bank staff may be detected only through bank reconciliation statement. So this way bank reconciliation statement acts as a control technique too.

(Ref.: T.S. Grewal, "Double Entry Book Keeping")

PROCEDURE FOR PREPARATION OF BANK RECONCILIATION STATEMENT

A. bank reconciliation statement is prepared to reconcile the two balances of Cash Book and Pass Book. So, when you will prepare a bank reconciliation statement you will start it with one balance make adjustments and then you will reach to the other balance. This way both the balances will agree. The way the adjustments should be made may be illustrated as follows:

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	Particulars		Amount
			Rs.
	Balance at Bank as Per Cash Book		Xxx
Add			
(i)	Cheques issued but not yet presented for payment	Xx	
(2)	Interest allowed by the bank	Xx	
(3)	Interest and dividend collected by the bank	Xx	
(4)	Direct payments into the bank by a customer	Xx	
(5)	Bills collected by the bank on behalf of the customer	Xx	(+) xx
Less :			
(1)	Cheques paid into the bank but not yet cleared	Xx	
(2)	Interest and expenses charged by the bank	Xx	
(3)	Direct payment by the Bank	Xx	
(4)	Dishonor of a bill discounted with the bank	Xx	(-) xx
	Balance as per Pass Book		Xxx

Note: If you start the question with balance as per pass book all the adjustments will be reversed.

Example 5. :

From the following prepare a bank reconciliation statement on 31st March 2018.

1. Balance as per Cash Book	1,80,000
2. Cheques paid into Bank March 2005 but credited by the bank in April 2018	7,900
3. Cheques issued in March 2018 but cashed in April 2005	11,000
4. Cheques entered in the Cash Book in March 2005 but paid into bank in April 2018	1,000
5. Interest allowed by the bank	2500
6. Interest charged by the bank	500

Solution

Bank Reconciliation Statement

As on March 31, 2018

	Particulars		Amount
	Balance as per Cash Book		1,80,000
Add. 1.	Cheques issued but not cashed	11,000	
2.	Int. allowed by bank	2500	+ 13,500
			1,93,500
Less: 1.	Cheques paid into bank but not yet cleared	7,900	
2.	Cheques entered into Cash Book	1,000	
3.	Interest charged by Bank	500	9,400
	Balance as per Pass Book		1,84,100

SUMMARY

Cash book is the record of cash and bank transaction prepared by the entrepreneur and the pass book is the statement of accounts prepared by the bank. There are a lot of reasons due to which the balances of cash book and pass book do not match, and then bank reconciliation statement is prepared to reconcile both the balances.

Preparation of cash book, petty cash book and pass book helps the entrepreneur to exercise control over the expenses, the bank reconciliation statement facilitates checking of errors and frauds in these books.

GLOSSORY

Presentation of cheque – Depositing the cheque into bank for receiving payment.

Clearing of cheque – Collection of the amount of cheque by the bank.

Bills Receivable - An instrument in writing containing an unconditional order, signed by the maker directing a certain person to pay a certain sum of money to certain person or the bearer of the instrument.

Dishonor of Bill – A situation when the acceptor of the bill refuse to pay the amount or otherwise unable to do so.

Capital Expenditure and Revenue Expenditure

When preparing final accounts it is important to distinguish between capital expenditure and revenue expenditure.

Capital Expenditure

Capital expenditure can be defined as expenditure incurred on the purchase, alteration or improvement of fixed assets. For example, the purchase of a car for use in the business is capital expenditure. Included in capital expenditure are such costs as:

- Delivery of fixed assets
- Installation of fixed assets
- Improvement (but not repair) of fixed assets
- Legal costs of buying property

Revenue Expenditure

Revenue expenditure is expenditure incurred on running expenses. For example, the cost of petrol or diesel for the car (above) is revenue expenditure. Included in revenue expenditure are the costs of:

- Maintenance and repair of fixed assets
- Administration of the business
- Selling and distributing the goods or products in which the business trades

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Capital Expenditure and Revenue Expenditure - The Differences

Capital expenditure is shown on the balance sheet, while revenue expenditure is an expense in the profit and loss account. It is important to classify these types of expenditure correctly in the accounting system. For example, if the cost of the car was shown as an expense in profit and loss account, then net profit would be reduced considerably, or a net loss recorded; meanwhile, the balance sheet would not show the car as a fixed asset - clearly this is incorrect as the business owns the asset.

Study the following examples and the table on the next page; they both show the differences between capital expenditure and revenue expenditure.

- **cost of building an extension to the factory ` 30,000, which includes ` 1,000 for repairs to the existing factory**
  - capital expenditure, ` 29,000
  - revenue expenditure, ` 1,000 (because it is for repairs to an existing fixed asset)
- **a plot of land has been bought for ` 20,000, the legal costs are ` 750**
  - capital expenditure ` 20,750 (the legal costs are included in the capital expenditure, because they are the cost of acquiring the fixed asset, ie the legal costs are capitalised)

- **the business' own employees are used to install a new air conditioning system: wages ` 1,000, materials ` 1,500**
  - capital expenditure ` 2,500 (an addition to the property); note that, in cases such as this, revenue expenditure, ie wages and materials purchases, will need to be reduced to allow for the transfer to capital expenditure
- **own employees used to repair and redecorate the premises: wages ` 500, materials ` 750**
  - revenue expenditure ` 1,250 (repairs and redecoration are running expenses)
- **purchase of a new machine ` 10,000, payment for installation and setting up ` 250**
  - capital expenditure ` 10,250 (costs of installation of a fixed asset are capitalised)
  - Only by allocating capital expenditure and revenue expenditure correctly between the balance sheet and the profit and loss account can the final accounts reflect accurately the financial state of the business. The chart below shows the main items of capital expenditure and revenue expenditure associated with three major fixed assets - buildings, vehicles and computers.

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Depreciation* Provisions and Reserves

Depreciation: An Introduction

Suppose you have purchased a car. Alter some time you noticed that if you want lo sell this car. Its values is less than us cost price. Similarly value of all fixed assets are decreased due **10** passage of time and some other reasons. **The reduction in value of fixed assets is known as depreciation.**

Expenditure on fixed assets of the business like furniture, futures and fillings of the shop, motor vans, machines and equipments are neither expenditure on purchase of goods nor expenses.

Expenditure of this nature give service lo the business **for many years** and thus called Capital Expenditure. Would you like to deduct the expenditure on the fixed assets from the profit of any one year? It would be wrong to do so since their benefit is enjoyed by the business for more than one year. The correct thing will be to distribute their cost over the years of their useful life to the business. The portion of the cost of fixed assets charged each year as expense is known as depreciation.

Depreciation: Concept

Business enterprises require fixed assets for their business operations such as furniture and fixtures, office equipments, plant and machinery, motor vehicles, land and building etc. In the process of converting **Raw material into finished products, the fixed assets depreciate in value over a period of time, I.e. Its useful lire. Depreciation is a part of the cost of a fixed asset which has expired:**

- On account of usage;
- Lapse of time.
- Obsolescence
- Accident

In other words, the process of allocation of the cost of a fixed asset over its useful life is known as depreciation.

1. **Ascertaining true profit & loss:**
    a. The Profit & Loss of an enterprises can be ascertained when all costs incurred for the purpose of earning revenue have been debited to the profit and loss account.
    b. Fall in the value of assets use in business operations is a part of a cost and should be shown in the profit and loss account of concerned accounting period.
    c. Keeping this view, depreciation must be debited to profit and loss account, since loss in value of fixed assets is also an expenses like other expenses.
2. **Presentation of true & Fair value of assets**
    If depreciation is not provided, the value of assets shown in balance sheet will not present the true and fair value of assets because assets are shown at the cost price but actual value is less than cost price of the assets.
3. **To ascertain the accurate cost of the production**

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Depreciation is an item of expenses, the correct cost of production cannot be calculated unless it is also taken into consideration. Hence, Depreciation must be provided to ascertain the correct cost of production.

4. **Computation of correct Income Tax**
   a. Income tax of an enterprise is determined after charging all the cost of production.
   b. If depreciation is not charged, the profit will be higher & Income Tax will also be higher.
   c. If depreciation is charged, tax liability is reduced.
5. **Provision of funds & replacement of assets**

   Depreciation is a non-cash expenses. So that amount of depreciation charged to profit and loss account is retained in business every year. These funds are available for replacement of the assets when its useful life is over.

Methods of providing depreciation:

1. **Straight line Method**
   a. This method is also known as "original cost method"
   b. Under this method, depreciation is charged at fixed percentage on the original cost of the asset. Throughout its estimated life.
   c. Under this method the amount of depreciation is uniform form year to year. That is why this method is also known as "Fixed Installment Method" or "Equal Installment Method."
   d. The annual amount of depreciation can be easily calculated by the following formula:

$$\text{Annual Depreciation} = \frac{\text{Original Cost - Estimated scrap value}}{\text{Estimated Life}}$$

For Example :

A Firm purchases a machine for Rs. 2,25,000 on 1st April, 2011. The Expected life of this machine is 5 years. After 5year the scrap of this machine would be realized Rs. 25000. Under straight Line method, the amount of depreciation can be calculated as under

$$\text{Annual Depreciation} = \frac{2,25,000\text{-}25000}{5} = \text{Rs. } 40,000$$

Hence, Rs. 40,000 will be charged each year as depreciation on this machine.

2. **Diminishing Balance Method :**

   Under this method, depreciation is charged as fixed percentage on the book value of the assets every year. In first year the depreciation will be charged at the end of the year, on the total cost of the asset.

   For Example:

   A Machine is purchased for ` 20,000 on April 1st, 2008. It is decided to change depreciation on this machine @ 10% p.a. on diminishing balance method. The

amounts of depreciation goes on decreasing every year. Therefore, this method is also known as "Written down Value Method" and "Reducing Installment Method'.

Illustration 1

On January 1st 2018, a firm bought a machine for Rs. 90,000 and spent Rs. 6000 on its installation and Rs. 4000 on its carriage. It is decided to charge depreciation @ 10% on straight line method. Books are closed ion December 31, each year.

Show Machinery Account for the year 2008 to 2010.

Solution

Machinery Account

Dr. **Cr.**

Date	Particulars	J. F	Rs.	Date	Particulars	J. F	Rs.
2018				2018			
Jan. 1	To Bank A/c		90,000	Dec 31	By Deprecation A/c		10,000
Jan. 1	To Cash A/c		6,000	Dec 31	By Balance c/d		90,000
Jan. 1	To Cash A/c		4,000				
							1,00,000
2019				2019			
Jan. 1	To Balance b/d		90,000	Dec 31	By Depreciation		10,000
				Dec 31	A/c		80,000
			90,000		By Balance c/d		90,000
2020				2020			
Jan. 1	To Balance b/d		80,000	Dec 31			10,000
				Dec 31	By Depreciation		70,000
					A/c		
			80,000		By Balance c/d		80,000

Illustration 2

On The basis of information given in illustration 1, Show Machinery Account for the year 2018 to 2020. If Depreciation is charged @ 10% on diminishing balance method.

Solution

Machinery Account

Dr. **Cr.**

Date	Particulars	J. F	Rs.	Date	Particulars	J. F	Rs.
2018				2018			
Jan. 1	To Bank A/c		90,000	Dec 31	By Depreciation A/c		10,000
Jan. 1	To Cash A/c		6,000	Dec 31	By Balance c/d		90,000
Jan. 1	To Cash A/c		4,000				
			1,00,000				1,00,000
2019				2019			
Jan. 1	To Balance b/d		90,000	Dec 31	By Depreciation A/c		9,000
				Dec 31	By Balance c/d		81,000
2020							90,000
Jan. 1	To Balance b/d		81,000	2020			
				Dec 31	By Depreciation A/c		8,100
				Dec 31	By Balance c/d		72,900
			81,000				81,000

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Illustration 3

On April 1, 2018 Prakash & Sons bought furniture costing Rs. 60,000. On July 1, 2010. Furniture was sold for 30,000.

Prepare Furniture Account assuming depreciation was charged @ 10% per annum on March 31 each year.

Solution

Machinery Account

Date	Particulars	J. F	Amount	Date	Particulars	J. F	Amount
2018				2019			
Apr. 1	To Bank A/c		60,000	Mar. 31	By Depreciation A/c		6,000
					By Balancec/d		
				Mar. 31			54,000
			60,000				60,000
2019				2020	By Depreciation A/c		
Apr. 1.	To Balance b/d		54,000	Mar. 31	By Balancec/d		6,000
				Mar. 31			48,000
			54,000		By Bank A/c		54,000
2020				2020	By Depreciation A/c		
Apr. 1	To Balance b/d		48,000	Jul. 1	By Loss on Sale of		30,100
				Jul. 1	Machinery		1,500
				Jul. 1			16,500
			48,000				48,000

On the basis of information given in Illustration 3, Prepare Furniture Account assuming depreciation was charged @15% per annum on reducing installment method.

Solution:

Machinery Account

Date	Particulars	J. F	Amount	Date	Particulars	J. F	Amount
2018				2019			
Apr. 1	To Bank A/c		60,000	Mar. 31	By Depreciation A/c		9,000
				Mar. 31	By Balance c/d		51,000
			60,000				60,000
2019				2020			
Apr. 1	ToBalancec/d		51,000	Mar. 31	By Depreciation A/c		7,650
				Mar. 31	By Balance c/d		43,350
			51,000				51,000
2020				2020			
Apr. 1	ToBalanceb/d		43,350	Jul. 1	By Bank A/c		30,000
				Jul. 1	By Depreciation A/c		1,626
				Jul. 1	By Loss on Sale of Machinery		11,724
			43,350				43,350

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CREATION OF PROVISION FOR DEPRECIATION ACCOUNT:

There is another treatment for charging Depreciation. In this treatment, Provision for Depreciation Account is opened and depreciation charged in this account instead of Asset Account. Following Journal entries are passed at the end of each accounting period.

Date	Particulars	L. F	Dr. (Rs.)	Cr. (Rs.)
	Depreciation Account Dr. To Provision for Depreciation Account			
	Profit & Loss Account Dr. To Depreciation Account			

In this treatment the balance of Asset Account remains same throughout its useful life. Provision for Depreciation is shown in the liabilities side f Balance Sheet.

Illustration 5

Krishna lifestyle limited purchased a machine for Rs. 1,25,000 including installation cost on January 1, 2018. On October 1, 2020, Machine was sold for RS. 50,000. Depreciation was provided @20% p.a. on Fixed Installment Method and accounts are closed on December 31 each year.

Show the Machinery Account and Provision for Depreciation Account for the year 2018 to 2020.

Solution:

Machinery Account

Date	Particulars	J. F	Amount	Date	Particulars	J. F	Amount
2018				2018			
Jan. 1	To Bank A/c		1,25,000	Dec. 31	By Balance c/d		1,25,000
2019				2019			
Jan. 1	To Balance b/d		1,25,000	Dec. 31	By Balance c/d		1,25,000
2020				2020			
Jan. 1	To Balance b/d		1,25,000	Oct. 1	By Provision for Dep. A/c		68,750
				Oct. 1	By Bank A/c		50,000
				Oct. 1	By Loss on Sale on Machinery		6,250
			1,25,000				1,25,000

Provision for Depreciation Account

Date	Particulars	J F.	Rs.	Date	Particulars	J F.	Rs.
2018				2018			
Dec. 31	To Balance c/d		25000	Dec. 31	By Deprecation A/c		25000
				2019			
				Jan. 1	By Balanceb/d		25000
2019	To Balance c/d		50000	Dec. 31	By Depreciation A/c		25000
Dec. 31							
			50000				50000
2020				2020			
Oct. 1	ToMachineryA/c		68,750	Jan. 1	By Balanceb/d		50000
				Oct. 1	By Depreciation A/c		18,750
			68,750				68,750

Important Point : Total Depreciation charged on Machine : 25,000+18,750 = 68,750

Illustration 6

On the basis of information given in Illustration 5, show the Machinery Account and Provision for Depreciation is provided @20%p.a. on Written Down Value Method.

Solution :

Machinery Account

Date	Particulars	J. F	Rs.	Date	Particulars	J. F	Rs.
2018				2018			
Jan. 1	To BankA/c		1,25,000	Dec. 31	By Balancec/d		1,25,000
2019				2019			
Jan. 1	To Balance b/d		1,25,000	Dec. 31	By Balancec/d		1,25,000
2020				2020			
Jan.1	To Balance b/d		1,25,000	Dec. 31	By Provision for Dep. A/c		57,000
				Oct. 1	By Bank A/c		50,000
				Oct. 1	By Loss on Sale on Machinery A/c		18,000
			1,25,000				1,25,000

Provision of Depreciation Account

Date	Particulars	J. F	Rs.	Date	Particulars	J. F	Rs.
2018				2018			
Dec. 31	To Balance c/d		25000	Dec. 31	By Deprecation A/c		25000
2019				2019			
Dec. 31	To Balance c/d		45000	Jan. 1	By Balanceb/d		25000
				Dec. 31	By Depreciation A/c		20000
							45000
			45000				45000
2020				2020			
Oct. 01	To Machinery A/c		57,000	Jan. 1	By Balanceb/d		45000
				Oct. 1	By Depreciation A/c		12000
			57,000				57000

Important Point :

Total Depreciation is charged on Machine : 25,0000+20,000+12,000 = 57,000

Illustration 7

A Company purchased a machine for Rs. 40,000 on January 1, 2017. On July 1, 2018 it was sold for Rs. 13000. The company charges Depreciation @10%p.a. on Straight Line Method. Show Machinery Account, Provision for Depreciation Account and Machinery Disposal account if books are closed on December 31 each year.

Solution :

Machinery Account

Date	Particulars	J. F	Rs.	Date	Particulars	J. F	Rs.
2017				2017			
Jan. 01	To CashA/c		40,000	Dec. 31	By Balance c/d		40,000
2018	To Balance b/d		40,000	2018	By Machinery		40,000
Jan. 01				July 01	Disposal A/c		

Provision of Depreciation Account

Date	Particulars	J. F	Rs.	Date	Particulars	J. F	Rs.
2017				2017			
Dec. 31	To Balance c/d		4,000	Dec. 31	By Depreciation A/c		4,000
2018				2018	By Balance b/d		
Dec. 31	To Machinery Disposal A/c		6,000	Jan. 01	By Depreciation A/c		4,000
				July 01			2,000
			6,000				6,000

Machinery Disposal Account

Dr. **Cr.**

Date	Particulars	J.F	Rs.	Date	Particulars	J.F	Rs.
2017				2017			
July 01	To Machinery A/c		40,000	July 01	By Prov. For Dep. A/c		6,000
					By Cash A/c		
				July 01	By Loss on Sale of		13,000
				July 01	Machinery A/c		21,000
			40,000				40,000

Important Point : Total Depreciation charged on Machine : 4000+2000 = 6000.

Illustration 8 :

On July 1, 2018, Porwal Auto Limited purchased Furniture for Rs. 1,00,000 and spend Rs. 4000 towards its installation. On April 1, 2019, The furniture was disposed off for Rs. 59, 820 and on the same day furniture costing Rs. 160000 were purchased. Show the Furniture Account, Provision for Depreciation Account and Furniture Disposal Account for the year 2018, 2019 and 2020 if the rate of Depreciation is 15% per annum by Diminishing Balance method.

Furniture Account

Dr. **Cr.**

Date	Particulars	J. F	Rs.	Date	Particulars	J. F	Rs.
2018				2018			
July 01	To BankA/c		1,00,000	Dec. 31	By Balance c/d		1,04,000
	To CashA/c		4,000				
			1,04,000				1,04,000
2019				2019			
Jan. 01	To Balance b/d		1,04,000	Apr. 01	By Furniture Disposal A/c		1,04,000
Apr. 01	To bankA/c		1,60,000	Dec. 31	By Balance c/d		1,60,000
			2,64,000				2,64,000
2020				2020			
Jan. 01	To Balance b/d		1,60,000	Dec. 31	By Balance c/d		1,60,000

Provision of Depreciation Account

Dr. **Cr.**

Date	Particulars	J.F	Rs.	Date	Particulars	J.F	Rs.
2018				2018			
Dec. 31	To Balance c/d		7,800	Dec.31	By Depreciation A/c		7,800
2019				2019			
Apr. 31	To Furniture Disposal A/c		11,408	Jan. 1	By Balance b/d		7,800
	To Balance c/d		18,000				
				Apr. 1	By Depreciation A/c		3,608
				Dec. 31	By Depreciation A/c		18,000
			29,408				29,408
2020				2020			
Dec. 31	To Balance c/d		39,300	Jan. 1	By Balance b/d		18,000
				Dec. 31	By Depreciation A/c		21,300
			39,300				39,300

Furniture Disposal Account

Dr. **Cr.**

Date	Particulars	J.F	Rs.	Date	Particulars	J.F	Rs.
2019				2019			
Apr. 01	To Furniture A/c		1,04,000	Apr. 01	By Prov. For Dep. A/c		11,408
				Apr. 01	By Bank A/c		59,820
				Apr. 01	By Loss on Sale of Furniture A/c		32,772
			1,04,000				1,04,000

Important point :

Total Depreciation charged on Machine sold : Rs. 7800+ Rs. 3608 = Rs. 11, 408

Illustration 9 :

A Machine was purchased on 1st January, 2018 for Rs. 1,00,000. On 1st July 2020, machinery purchased on 1st January, 2018 was sold for Rs. 60,000 at 20% Profit on book value.

The Following balances appear in the books of the Co. as on 1st January 2020 :

Machinery Account 5,00,000

Provision for Depreciation Account 1,50.000

You are required to prepare the machinery A/c and provision for Depreciation A/c for the Year of 2020.

Note : Depreciation is charged @20% per annum on Fixed Installment Method.

Solution :

Machinery Account

Date	Particulars	J. F	Amount	Date	Particulars	J. F	Amount
2020 Jan. 01 July. 01	To Balance b/d To Profit on Sale of Machinery A/c		5,00,000 10,000 5,10,000	2020 July 01 July 01 Dec. 31	By Bank A/c By Prov. Dep. A/c By Balance c/d		60,000 50,000 4,00,000 5,10,000

Provision for Depreciation Account

Dr. **Cr.**

Date	Particulars	J. F	Amount	Date	Particulars	J. F	Amount
2020 Jul 01 Dec. 31	To Machinery A/c To Balance c/d		50,000 1,90,000 2,40,000	2020 Jan. 1 July 1 Dec. 31	By Balance b/d By Depreciation A/c (Machinery Sold) By Depreciation A/c		1,50,000 10,000 80,000 2,40,000

Working Note:

1. Calculation of Depreciation on Machinery sold:
   Depreciation for the year of 2018 20,000
   Depreciation for the year of 2019 10,000
   Depreciation for the year of 2020 50000
   (5 Months)
2. Profit on Sale of Machinery : (Rs. 60000 X 20/120) = Rs, 10,000

Provision :

1. Provision is to be made **in respect of liability**, which is **certain** to be incurred, but its **accurate amount is not known.**
2. A provision is created to meet a known depletion or diminution in the value of asset.
3. It is charged in the profit and loss Account on estimate basis. It should be clearly understood that if the amount of a known liability can be determined with reasonable accuracy, it can not be a provision.

Note: Provision is a charge against profits it means provision has to be made irrespective of business enterprise is earning enough profit or loss.

Examples of Provisions :

1. Provision for Depreciation of assets.
2. Provision for Repairs and Renewals of assets.
3. Provision for Taxation.
4. Provision for Discount on Debtors.
5. Provision for Bad and doubtful Debts.

Reserves :

- Reserves are the amount set aside out of profits. It is an appropriation of profits and not a charge on the profits. The amount of profit retained is used in the business when difficult time comes.
- Since reserves are neither expenses nor losses, so these are not charged to Profit & Loss Account rather these are debited to Profit & Loss Appropriation Account which is prepared after Profit and Loss Account.
- Reserves are also known as "Ploughing Back of Profits". Reserves are created for strengthening the financial positions of the business enterprise. Examples are General Reserve, Dividend Equalization Reserves etc.
- If the amount of reserve is invested outside the business then, it is called 'Reserve Fund'.
- Creation of reserve does not reduce the net profit but only reduces the divisible profits.

Types of Reserve

General Reserve :

If the purpose of creating the reserve is to meet any unforeseen contingency (Liability which is not known) in future, the reserve is called "General Reserve". These are retained for strengthening the financial position of the enterprise.

Specific Reserve:

Specific Reserve are those reserve which are created for a specific purpose and can be utilized only for that purposed. "Dividend Equalization Reserve" and "Reserve for Replacement of Asset" are the examples of Specific Reserve.

Capital Reserve:

In addition to the normal profits, capital profits are also earned in the business from many sources. Reserves created out of capital profits which are.

1. Not of recuuring nature
2. Not readily available for distribution as dividend among the shareholders.
3. These reserve can be utilized for writing off capital losses.

Capital Reserves may be created out of such profits as:

I. Profit on sale of any fixed asset.
II. Profit from forfeiture of shares.
III. Profit prior to incorporation of company.
IV. Profit n redemption of debentures.

Secret Reserve:

A secret reserve is created by undervaluing the fixed assets. Existence of secret reserve.

1. Reduce the profits of the business enterprise and
2. Reduces its tax liability.
3. Secret reserve is secret in the sense that it is not known to the outsiders.
4. Such reserves are created by showing the assets at a lower amount and liabilities at a higher amount.

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Difference between Provisions and Reserve

Sr. No.	Basis	Provision	Reserve
1	Meaning	It is created to meet a known liability.	It is created to strengthen the financial position of business enterprise.
2	Charge or Appropriation	Provisions are charge against profits.	Reserve is an appropriation of profit.
3	Objective	The objective is to provide for known liability but cannot be calculated accurately.	It is created to strengthen the financial position and to meet unforeseen ability.
4	Effect on Profit	It is debited to the Profit & Loss Account, Hence, profit is reduced.	It is debited to Profit & Loss Appropriation Account. Reserve reduces divisible profits.
5	Creation	Provisions are to be created even if there are insufficient profit only	Reserve is created out of adequate profits only.
6	Mode of Creation	Provisions are created by debiting the profit & loss account.	It is created through Profit & Loss Appropriation Account.
7	Investment	It cannot be invested outside the business.	Reserve can be invested outside the business.
8	Necessity	Creation of provision is necessary as per law.	Its creation is not necessary. It is created as a matter of prudence.

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FINANCIAL STATEMENTS

Final Account

The financial statements are the end products of the accounting process which summaries the financial position and performance of a business concern in an organized manner. Financial Statements provide a summarized view of the operations of the business. They serve as an important medium in communicating accounting information to various users of accounts.

If you can read a cricket scoreboard, you can learn to read basic financial statements. Let's begin by looking at what financial statements do.

Financial Statements of a company

Financial Statements show you where a company's money came from, where it went, and where it is now.

Financial statements are the basic and formal annual reports through which the corporate management communicates financial information to its owners and various other external parties which include-investors, tax authorities, government, employees, etc.

There are two main financial statements. They are: (1) balance sheets; (2) income statements.

Balance sheets show what a company owns and what it owes at a fixed point in time.

Income statements show how much money a company made and spent over a period of time.

Let's look at the Balance Sheet in more detail.

USERS OF FINANCIAL STATEMENTS

Investors and potential investors

The present investors want to decide whether they should hold the securities of the company or sell them.

Potential investors, on the other hand, want to know whether they should invest in the shares of the company or not.

Investors (Shareholders or owners) and potential investors, thus, make use of the financial statements to judge the present and future earning capacity of the business, to judge the operational efficiency of the business and to know the safety of investment and growth prospects.

Lenders/long term creditors

Financial statement helps lenders such as debenture holders, suppliers of loans and leases in ascertaining the long term and short term solvency of the business. They like to know the

financial soundness of the business i.e. the ability of the business to repay debt on maturity and whether the enterprise earns sufficient profits so as to pay interest regularly.

Management

Analysis of financial statements enable the management to evaluate the overall efficiency of the firm. It helps to ascertain the solvency of the enterprise; to know about its viability as a going concern and to provide adequate information for planning and controlling the affairs of the business. Future forecasts can easily be made by analyzing the past date.

Suppliers/short term creditors

Creditors/suppliers supplying goods to a business are interested to know as to whether the business would be in a position to pay the amounts on time. They are interested in short-term solvency i.e. the liquidity of the business.

They are more interested in current assets and current liabilities of the business. If current assets are sufficient, say, twice the current liabilities, they are satisfied that the business would be able to discharge the short-term debts on time.

Employees and Trade Unions

Employees are interested in better emoluments, bonus and continuance of business and whether the dues like provident fund, ESI et., have been deposited with the authorities.

They would therefore, like to know its financial performance and profitability and operating sustainability.

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Government and its agencies

Financial statements are used by government and its agencies to formulate policies to regulate the activities of business, to formulate taxation policies, to compile national income accounts.

Taxation authorities such as income tax department use the financial statements for determination of income tax; sales tax department is interested in sales while the excise department is interested in production.

Stock exchange

Stock exchange uses the financial statements to analyze and thereafter, inform its members about the performance, financial health, etc. of the company, to see whether financial statements prepared are in conformity with the specified laws and rules and to see whether they safeguard the interest of various concerned agencies.

Other Regulatory authorities (such as, Company Law Board, SEBI, Stock Exchanges, Tax Authorities etc.) would like that the financial statements prepared are in conformity with the specified laws and rules, and are to safeguard the interest of various concerned agencies. For example, taxation authorities would be interested in ensuring proper assessment of tax liability of the enterprise as per the laws in force from time to time.

Customers

Customers are interested to ascertain continuance of an enterprise.

For example, an enterprise may be supplier of a particular type of consumer goods and in case it appears that the enterprise may not continue for a long time, the customer has to find an alternate source.

BALANCE SHEET- MEANING AND PURPOSE

Balance Sheet is a financial statement that summarizes a company's assets, liabilities and shareholders' equity at a specific point in time. These three balance sheet segments give investors an idea as to what the company owns and owes, as well as the amount invested by the shareholders.

The balance sheet show: **Assets = Liabilities + Shareholders' Equity**

A balance sheet thus, provides detailed information about a company's assets, liabilities and shareholders' equity.

Assets are things that a company owns that have value. This typically means they can either be sold or used by the company to make products or provide services that can be sold. Assets include physical property, such as plants, trucks, equipment and inventory. It also includes things that can't be touched but nevertheless exist and have value, such as trademarks and patents. And cash itself is an asset. So are investments a company makes.

Liabilities are amounts of money that a company owes to others. This can include all kinds of obligations, like money borrowed from a bank to launch a new product, money owed to suppliers for materials, payroll a company owes to its employees, taxes owed to the government. Liabilities also include obligations to provide goods or services to customers in the future.

Shareholders' equity is sometimes called capital or net worth. It's the money that would be left if a company sold all of its assets and paid off all of its liabilities. This leftover money belongs to the shareholders, or the owners, of the company.

A company has to pay for all the things it has (assets) by either borrowing money (liabilities) or getting it from shareholders (shareholders' equity).

The purpose of a Balance Sheet is to report the financial position of a company at a certain point in time. It is divided into two columns. The first column shows what the company owes (liabilities and net worth). The second shows what the company owns (assets) on the right. At the bottom of each list is the total of that column. As the name implies, the bottom line of the balance sheet must always "balance." In other words, the total assets are equal to the total liabilities plus the net worth.

The balance sheet is one of the most important pieces of financial information issued by a company. It is a snapshot of what a company owns and owes at the point in time. The income statement, on the other hand, shows how much revenue and profit a company has generated over a certain period.

Neither statement is better than the other-rather, the financial statements are built to be used together to present a complete picture of a company's finances.

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CONTENTS OF BALANCE SHEET

The prescribed form of the Balance Sheet is given in Part I of Schedule VI of the Companies Act, 1956.

The Companies Act has laid down two forms of the Balance Sheet known as :

(i) Horizontal form

(ii) Vetical form

FORMAT OF SUMMARISED BALANCE SHEET(HORIZONTAL FORM)

SCHEDULE VI PART I

Balance Sheet of …. CO.LTD.
As at …

Figures for the previous year Rs.	Liabilities	Figures for the current year Rs.	Figures for the previous year Rs.	Assets	Figures for the current year Rs.
	1. Share Capital 2. Reserves and surplus 3. Secured Loans 4. Unsecured Loans 5. Current Liabilities and Provisions (a) Current Liabilities (b) Provisions			1. Fixed Assets 2. Investments 3. Current Assets, Loans and Advances (a) Current Assets (b) Loans and Advances 4. Miscellaneous Expenditure 5. Profit and Loss A/c	

Note: A footnote to the Balance Sheet may be added to show the contingent liabilities.

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The format of the detailed Balance Sheet of a company in a horizontal form is given below:

FORMAT OF THE DETAILED BLANCE SHEET IN A HORIZONTAL FORM

Horizontal Form of Balance Sheet

Balance Sheet of ….(Name of the Company) as on …..

Figures for the previous year Rs.	Liabilities	Figures for the current year Rs.	Figures for the previous year Rs.	Assets	Figures for the current year Rs.
	Share Capital Authorised …shares of Rs…. Each Preference Equity Issued: Preference Equity Less: Calls Unpaid: Add: Forfeited Shares **Reserves and Surplus:** Capital Reserve Capital Redemption Reserve Securities Premium Other Reserves Profit and Loss Account **Secured Loans:** Debentures Loans and Advance from Banks Loans and Advance from Subsidiary Companies Other Loans and Advances			**Fixed Assets:** Goodwill Land Building Leasehold Premises Railway Sidings Plant and Machinery Furniture Patents and Trademarks Live Stock Vehicles **Investments:** Government or Trust Securities, Shares, Debentures, Bonds **Current Assets, Loans and Advances:** **(A) Current Assets:** Interest Accrued Stores and Spare parts Loose Tools Stock in Trade Work in Progress Sundry Debtors Cash and Bank balances **(B) Loans and Advances:** Advances and Loans to Subsidiary Bills Receivable	

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	Unsecured Loans: Fixed Deposits Loans and Advances from Subsidiaries Companies Short Term Loans and Advances Other Loans and Advances **Current Liabilities and Provisions:** **A. Current Liabilities** Acceptances Debentures Sundry Creditors Outstanding Expenses **B. Provisions:** For Taxation For Dividends For Contingencies For Provident Fund Schemes For Insurance, Pension and Other similar benefits			Advance Payments **Miscellaneous-Expenditure:** Preliminary Expenses Discount on Issue of Shares and other Deferred Expenses **Profit and Loss Account (debit Balance: if any)**	

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Format of the Balance Sheet in vertical form

Balance Sheet of …. As on ……

Particulars	Schedule Number	Figures as at the end of current financial year	Figures as at the end of previous financial year
I. Source of Funds:			
1. Shareholder's Funds:			
(a) Share Capital			
(b) Reserves and Surplus			
2. Loan Funds:			
(a) Secured loans			
(b) Unsecured loans			
Total(Capital Employed)			
II. Application of Funds			
1. Fixed Assets:			
(a) Gross block			
(b) Less : depreciation			
(c) Net block			
(d) Capital work-in-progress			
2. Investments:			
3. Current Assets, Loans and Advances:			
(a) Inventories			
(b) Sundry Debtors			
(c) Cash and Bank Balances			
(d) Other Current Assets			
(e) Loans and Advances			
Less: Current Liabilities and Provisions:			
(a) Current liabilities			
(b) Provisions			
Net Current Assets			
4. (a) Miscellaneous expenditure to the extent not written-off or adjusted.			
(b) Profit and Loss account (debit balance, if any)			
TOTAL			

Note: A footnote to the Balance Sheet may be added to show the contingent liabilities.

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HOW TO READ A COMPANY'S BALANCE SHEET

(i) LIABILITIES SIDE

1 **Share Capital:** Unlike the non corporate entities were the entire capital is brought in by the proprietors or the partners, in the case of a company, it is brought in by the promoters, their friends, relatives as well as the general public in case of listed companies. The capital is known share capital and shareholders get dividend out of the profits of the company as return on their investment.

Share Capital is broadly divided into: Authorised Capital, Issued Capital, Subscribed Capital, Called up and Paid up capital.

Authorised Capital is the maximum share capital that a company is allowed to issue during its lifetime. It is stated in the Memorandum of Association.

Issued Capital is that part of authorized capital, which is offered to the public for subscription, including shares offered to the vendors for subscription other than cash (i.e. issue of shares in consideration for some other asset purchased).

Called-up capital means that part of subscribed capital which is called-up by the company for payment by the subscribers to the shares.

Paid up capital The amount that the shareholders have actually paid to the company is called as paid up capital of the company.

Calls in arrears must be shown by the way of deduction from the called up capital and

Forfeited shares account by the way of addition to the paid up capital.

2 **Reserves and Surplus:** Reserves represent that portion of earnings and receipts of a company which are set apart by the management for a general or a specific purpose. This item includes accumulated profits, reserves and funds- such as capital reserves, capital redemption reserve, balance of securities premium account, general reserve, credit balance of profit and loss account, and other reserves specifying the nature of each reserve and the amount in respect thereof including the additions during the current year.

3 **Secured Loans:** Long-term loans, which are taken against security of one or more assets of the company, are included under this head. Debentures and secured loans and advances from banks, subsidiary companies, etc., fall under this category. Likewise interest accrued and due on secured loans is also recorded under the same head.

4 **Unsecured Loans:** Loans and advances which are not backed by any security in the form of assets of the company are shown under this heading. This item includes fixed deposits, unsecured loans and advances from subsidiary companies, short-term loans and advances from banks and other sources.

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5 **Current Liabilities and Provisions** : Current liabilities refer to such liabilities, which mature within a period of one year. They include bills payable, sundry creditors, advance payments and unexpired discounts, unclaimed dividends, Interest accrued but not paid, and other liabilities. Provisions refer to the amounts set aside out of revenue profits for some specific liabilities payable within a period of one year. Those include provision for taxation, proposed dividends, provision for contingencies, provision for provident fund, provision for insurance; pension and similar staff benefit schemes, etc. Both the sub headings current liabilities as well as provisions must be shown separately under two sub-heads- (a) Current liabilities (b) Provisions.

Contingent liabilities

These are the liabilities which may arise in future on the happening of some event. Contingent liabilities are not included in the total of the liability side. These are shown as a footnote to the Balance Sheet.

Following are the usual types of contingent liabilities:

(i) Claims against the company not acknowledged as debt.

(ii) Uncalled liability on shares partly paid.

(iii) Arrears of fixed cumulative dividend.

(iv) Estimated amount of contracts remaining to be executed on capital account and not provided for.

(v) Bills discounted not yet matured.

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ASSETS SIDE

1 **Fixed Assets** : These are assets which are meant for use in business and not for sale. These assets provide a long term economic benefit, usually for more than one year to the firm. These include goodwill, land, buildings, leaseholds, plant and machinery, railway sidings, furniture and fittings, patents, livestock, vehicles, etc. These assets are shown at cost less depreciation till the date.

2 **Investments:** Business is supposed to great profit. When generated, this profit in excess of what is required for the business can be invested into say, shares or debentures of various companies. Investments thus represent assets held by an enterprise for earning income. Under this head, various investments made such as investment in government securities or trust securities; investment in shares, debentures, and bonds of other companies, immovable properties, etc., are shown.

3 **Current Assets, Loans and Advances** : One the fixed assets are in a state of readiness to produce or provide goods and services, the company needs current assets to carry out

business operations. These assets are held for consumption of for sale and are expected to be realized in cash during the normal operating cycle. Current assets include inventories, debtors, cash etc. Loans and advances refer to those assets which are held for a short term and are expected to be realized within one year. These include advance payments, loans to subsidiary companies etc. Both the sub headings- current assets as well as loans and advances must be shown separately under two sub-heads- (a) Current Assets (b) Loans and Advances. It includes interest accrued on investment, inventories, sundry debtors, bills receivable, cash and bank balances while loans and advances and other advances like prepaid expenses, etc.

4 Miscellaneous Expenditure: The expenditure which has not been fully written off shown under this heading. It includes preliminary expenses, advertisement expenditure, discount on issue of shares and debentures, share issue expenses, etc.

5 Profit and Loss Account: When the Profit and Loss account shows a debit balance, i.e., loss which could not be adjusted against general reserves, is shown on the asset side of the Balance Sheet.

Illustration 1.

Give three examples of each of the following (1) current liabilities; (2) contingent liabilities; (3) current assets; (4) miscellaneous expenditure; (5) provisions.

Solution :

Headings	**Examples**
1. Current liabilities	1. Sundry creditors 2. Bill payable 3. Unclaimed dividend
2. Contingent liabilities	1. Claims against company not acknowledge as debt 2. Uncalled liability on partly paid shares 3. Estimated amount of contract remaining to be executed.
3. Current assets	1. Stock in trade. 2. Cash at bank 3. Stores and spare parts
4. Miscellaneous Expenditure	1. Preliminary expenses 2. Discount allowed on issue of shares and debentures 3. Underwriting commission
5. Provisions	1. Provision for taxation 2. Proposed dividend 3. Provident fund.

Illustration 2.

Under which heading and sub-heading will you show the following items:

(1) Share forfeited account; (2) Securities premium account; (3) Unclaimed dividend (4) Proposed dividend (5) Arrears of fixed cumulative dividend on preference shares.

Solution :

S.No.	Items	Heading	Sub-heading
1.	Share forfeited account	Share Capital	--
2.	Securities premium account	Reserves and surplus	--
3.	Unclaimed dividend	Current Liabilities and provisions	Current liability
4.	Proposed dividend	Current Liabilities and Provisions	Provisions
5	Arrears of fixed cumulative Dividend on preference shares	Contingent liability	--

Illustration 3.

Give the headings and sub-headings under which the following will be shown in a company's balance sheet as per Schedule VI Part I of the Company's Act 1956. (i) 10% debentures (ii) preliminary expenses (iii) Plant and Machinery (iv) Capital reserve (v) bills payable (vi) general reserve (vii) interest paid out of capital during construction (viii) railway sidings (ix) stores & spare part (x) fixed deposits.

Solution:

S.No.	Items	Headings	Sub-Headings
(i)	10 % Debentures	Secured Loans	--
(ii)	Preliminary expenses	Miscellaneous Expenditure	--
(iii)	Plant &Machinery	Fixed assets	--
(iv)	Capital Reserve	Reserves and Surplus	--
(v)	Bills Payable	Current liabilities and provisions	Current liabilities
(vi)	General reserve	Reserves & surplus	--
(vii)	Interest paid out of capital during construction	Miscellaneous expenditure	--
(viii)	Railway sidings	Fixed assets	--
(ix)	Store and spare parts	Current assets, loans & advances	Current assets
(x)	Fixed deposits	Unsecured loans	--

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Illustration 4.

The following figures were extracted from the trial balance of X Ltd. share capital 10,000 equity shares of Rs. 10 each fully paid :

Securities premium	Rs. 10,000
12% Debentures	Rs. 50,000
Fixed deposits	Rs. 25,000
Creditors	Rs. 5,000

You are required to draw up the liabilities side of the balance sheet, according to the requirements of the Companies Act.

Solution :

AN EXTRACT OF BALANCE SHEET OF X LTD. AS AT ……

Liabilities	**Rs.**
SHARE CAPITAL:	
Authorized Capital	
……equity shares of Rs. 10 each	
Issued and subscribed	1,00,000
10,000 equity shares of Rs. 10 each	
RESERVES AND SURPLUS:	10,000
Securities premium	
SECURED LOANS:	50,000
12% DEBENTURES	
UNSECURED LOANS:	10,000
Fixed deposits	
CURRENT LIABILITIES AND PROVISIONS:	
(A) Current liabilities	5,000
Sundry creditors	---
(B) Provisions	

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Illustration 5.

The following ledger balances were extracted from the books of Rushil Ltd.

On 31st March, 2017.

Land and Building Rs. 2,00,000; 12% debentures Rs. 2,00,000; Share Capital 1,00,000 equity shares Rs. 10 each fully paid; Plant and Machinery Rs. 8,00,000; Goodwill Rs. 2,00,000; Investments in shares of Raja Ltd. Rs. 2,00,000; Bills Receivable Rs 50,000; Debtors Rs. 1,50,000; Creditors Rs 1,00,000; Bank Loan (Unsecured) Rs 1,00,000; Provision for taxation Rs. 50,000; Discount on issue of 12% debentures Rs. 5000; Proposed dividend Rs. 55,000. Stock Rs. 1,00,000 General Reserve Rs 2,00,000.

You are required to prepare the Balance Sheet of the company as per schedule VI Part I of the Companies act 1956.

Solution:

RUSHIL LTD.

BALANCE SHEET AS AT 31ST MARCH,2017

Liabilities	Rs.	Assets	Rs.
SAHRE CAPITAL:		FIXED ASSETS:	
Authorized Capital	?	Goodwill	2,00,000
Issued Capital	10,00,000	Land and Building	2,00,000
Subscribed Capital		Plant and Machinery	8,00,000
1,00,000 Equity shares of Rs.10 each	10,00,000	INVESTMENTS:	
		Shares of Raja Ltd.	2,00,000
RESERVES AND SURPLUS:			
General reserve	2,00,000	CURRENT ASSETS, LOANS AND ADVANCES:	
SECURED LOANS:	2,00,000	(A) Current assets:	
12% Debentures		Stock-in-Trade	1,00,000
		Debtors	1,50,000
UNSECURED LOANS:	1,00,000	(B) Loans and Advances	
Bank Loan		Bill Receivables	50,000
CURRENT LIABILITIES AND PROVISIONS:	1,00,000	MISCELLANEOUS EXPENDITURE:	
(A) Current liabilities		Discount on issue of 12% Debentures	5,000
Creditors			
(B)Provisions			
Proposed dividend	55,000		
Provision for taxation	50,000		
	17,05,000		17,05,000

Illustration 6.

X Ltd. has an authorized capital of Rs. 10,00,000 divided into Equity Shares of Rs. 10 each. The company invited applications for 50,000 shares. Applications for 45,000 shares were received. All calls were made and were duly received except the final call of Rs. 2 per share on 1,000 shares. 500 of the shares on which the final call was not received were forfeited. Show how share capital will appear in the Balance Sheet of the Company as per schedule VI part I of the Companies Act 1956?

Solution:

X LTD.

BALANCE SHEET AS ON ……

Liabilities	Amount Rs.	Assets	Amount Rs.
SAHRE CAPITAL:			
Authorized Capital			
1,00,000 Equity Shares of Rs. 10 each	10,00,000		
Issued Capital :			
50,000 Equity Shares of Rs. 10 each	5,00,000		
Subscribed Capital:			
44,500 Equity Shares of Rs. 10 each 4,45,000			
Less: Calls in Arrears 1,000			
4,44,000			
Add: Share Forfeited A/c 4,000	4,48,000		

Illustration 7.

From the following balances taken from the books of Gujarat Exports Ltd. prepare Company's Balance Sheet in Horizontal Form:

	Rs.		Rs.
Land and Buildings	3,25,000	Patents	7,200
Plant and Machinery	2,90,000	Investments	20,000
Sundry Debtors	65,000	Preliminary Expenses	2,000
8,000 Equity Shares of Rs. 100		Securities premium	20,000
each Rs. 50 called up	4,00,000	Provision for Income tax	24,000
15% debentures	1,00,000	Closing Stock	1,28,000
Debenture Redemption Reserve	50,000	Cash	12,000
Prepaid Insurance	4,800	Advance Income	
Tax		4,000	
Profit & Loss (Cr.)	1,13,000	Sundry Creditors	15,200
Bills Payable	15,000	Outstanding expenses	4,800
General Reserve	1,00,000	Proposed Dividend	16,000

Investments are in partly-paid shares on which calls of Rs. 10,000 have not been made.

Solution:

BALANCE SHEET OF GUJARAT EXPORTS LTD.
As at.....in horizontal form

Liabilities	Rs.	Assets	Rs.
SAHRE CAPITAL:		FIXED ASSETS:	
Authorized Capital	?___	Land and Building	3,25,000
Issued Capital		Plant and Machinery	2,90,000
8,000 Equity shares of Rs.100 each		Patents	7,200
Subscribed Capital	8,00,000	INVESTMENTS:	20,000
8,000 Equity shares of Rs.100 each, Rs. 50 called up	4,00,000		
		CURRENT ASSETS, LOANS AND ADVANCES:	
RESERVES AND SURPLUS:			
Securities Premium	20,000	(A) Current assets:	
General Reserve	1,00,000	Closing Stock	1,28,000
Profit & Loss A/c	1,13,000	Sundry Debtors	65,000
Debenture Redemption Reserve	50,000	Cash	12,000
		(B) Loans and Advances	
SECURED LOANS:	1,00,000	Prepaid Insurance	4,800
15% Debentures	15,000	Advance Income Tax	4,000
UNSECURED LOANS:	--	MISCELLANEOUS EXPENDITURE:	2,000
		Preliminary Expenses	
CURRENT LIABILITIES AND PROVISIONS:	15,000		
(A) Current liabilities	15,200		
Bills payable	4,800		
Sundry Creditors			
Outstanding Expenses			
(B)Provisions	24,000		
Provision for Income tax	16,000		
Proposed dividend			
	8,58,000		8,58,000

Note: Contingent Liabilities: For partly-paid shares Rs. 10,000

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RATIO ANALYSIS

Ratio analysis is not just comparing different numbers from the balance sheet, income statement and cash flow statement. It is comparing the number against previous years , other companies, the industry , or even the economy in general. Ratios look at the relationships between individual values and relate them to how a company has performed in the past and might perform in the future.

For example current assets alone don't tell us a whole lot , but when we divide them by the current liabilities we are able to determine whether the company has enough money to cover short debts. Therefore we can say that when one figure is expressed in terms of another figure by dividing each other the relation which is established between them is called ration.

Meaning of Ratio Analysis

Ratio Analysis is the relationship between two terms of financial data expressed in the form of ratios and then interpreted with a view to evaluating the financial condition and performance of a firm.

Ratio Analysis can also help us to check whether a business is doing better this year than it was last year; and it can tell us if our business is doing better or worse than similar type of business.

Example :

Firm A earns a profit of Rs. 50,000 while Firm B earns a profit of Rs. 1,00,000. Which of them is more efficient? We could tend to believe that firm B is more efficient than firm A. But in order to understand correctly , we need to find out their sales figure. Say firm A's sales are Rs. 5,00,000 while firm B's sale are Rs. 50,00,000. Now let's compare the percentage of profit earned by them on sales.

For A: $\frac{50,000}{5,00,000} \times 100 = 10\%$

For B: $\frac{1,00,000}{50,00,000} \times 100 = 2\%$

This clearly shows that firm A is doing better than Firm B.

This example shows that figure assumes significance only when expressed in relation to other related figures.

Objective of Ratio Analysis :

The main objective of analyzing financial statement with the help of ratios are:

1. The analysis would enable the calculation of not only the present earning capacity of the business but would also help in the estimation of the future earning capacity.
2. The analysis would help the management to find out the overall as well as the department – wise efficiency of the firm on the basis of the available financial information.
3. The short term as well as the long tem solvency of the firm can be determined with the help of ration analysis.
4. Inter – firm comparison becomes easy with the help of ratios.

Advantages of Ration Analysis:

Financial statement prepared at the end of the year do not always convey to the reader the real profitability and financial health of the business. They contain various facts and figures and it is for the reader to conclude what these figures indicated. Ratio Analysis is an important tool for analyzing these financial statements .Some important advantage derived by the firm by the use of accounting ratios are:

1 **Help in Financial statement analysis:** It is east to understand the financial position of a business enterprise in respect of short term solvency, liquidity and profitability with the help of ratio. It tells us the changes taking place in the financial condition of the business.

2 **Simplified accounting figures :** Absolute figures are not of mush use. They become important when relationships are established say between gross profit and sales.

3 **Helps in calculating operation efficiency of the business enterprise :** Ratio enable the user of financial information to determine operating efficiency of a firm by relating the profit figure to the capital employed for a given period.

4 **Facilities inter- firm comparison :** Ratio analysis provides data for inter- firm comparison. It revels strong and weak firms, overvalues and undervalues firms as well as successful and unsuccessful firms.

5 **Makes inter- firms comparison possible :** Ratio Analysis helps the firm to compare its own performance over a period of time a swell as the performance of different divisions of the firm. It helps in deciding which division are more efficient than other.

6 **Helps in forecasting :** Ratio Analysis helps in planning and forecasting . Ratios provides clues on trends and futures problems . e.g if the sales of a firm during the year are Rs. 10 lakhs and he average stock kept during the year Rs. 2 lakhs, it must be ready to keep a stock of Rs. 3 lakhs which is 20 % of the Rs. 15 lakhs.

Limitations of Ratio Analysis

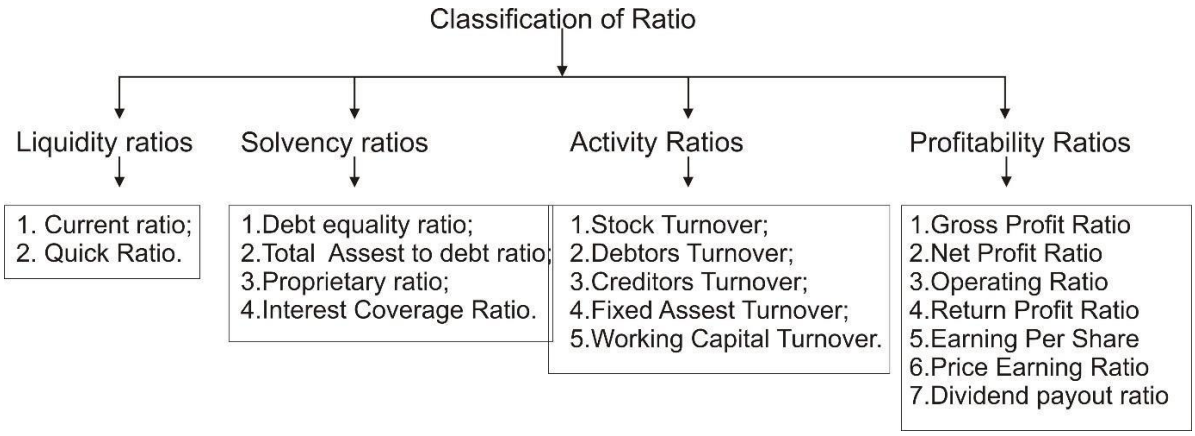
Ratio Analysis is a useful technique to evaluate the performance and financial position of any business unit but it does suffer from a number of limitations. These must be kept in mind while analysing financial statements.

1. **Historical Analysis:** Ratio Analysis is historical in nature a the finicial statement on the basis of which ratios are calculated are historical in nature.
2. **Price Level Change:** Changes in price level often make comparison of figures of the previous years difficult. E.g ratio of sales to fixed assets in 2006 would be much higher than in 2000 due to rising prices, fixed assets being expressed on cost.
3. **Not Free from bias:** In many situations, the accountant has to make a choice out of the various alternatives available . e.g choice of the method depreciation, choice in the method of inventory valuation etc. Since there is a subjectivity inherent in the choice , ratio analysis cannot be said to be free from bias.
4. **Window dressing:** Window dressing is slowly the position better than what it is. Some companies , in order to cover up their bad financial position resort to window dressing. By hiding important facts, they try to depict a better financial position.
5. **Qualitative factors ignored:** Ratio Analysis is a quantitative analysis. It ignores qualitative factors like debtors character, honesty, past record etc.
6. **Different accounting practices render ratios incomparable:** The result of two firms are comparable with the help of accounting ratios only if they follow the same accounting methods. e.g. if one firm changes depreciation on straight line method while another is charging on diminishing balance method, accounting ratios will not be strictly comparable.

Classification of Ratios

Different types of ratios are computed depending on the purpose for which they are needed. Broadly speaking ,they are grouped under four heads:

1. Liquidity ratios
2. Solvency ratios
3. Turnover or Activity ratios
4. Profitability ratios



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LIQUIDITY RATIOS

Liquidity is the short term solvency of the enterprise. I.e. the ability of the business enterprise to meet its short term obligation as and when they are due. The liquidity ratios, therefore , are also called the short- term solvency ratios.

The most common ratios which measures the extent of liquidity or the lack of it are:

a) Current ratio
b) Quick ratio/ Acid test ratio

Current Ratio

Current ratio establishes the relationship between current assets and Current liability. It measures the ability of the firm to meet its short term obligation as and when they become due. It is calculated as:

$$\text{Current ratio} = \frac{\text{Current Assets}}{\text{Current liabilities}}$$

Current assets include cash and those assets which can be converted into cash within a year. Current assets will therefore include cash , bank, stick(raw materials , work in progress and finished goods), debtors(less provision), bills receivable, marketable securities, prepaid expenses, short term loans and advances and accrued incomes.

Current liability include all those liabilities maturing with in one year.

Current liabilities include creditors, bills payable, outstanding expenses, income received in advance, bank overdraft, short-term loans, provision for tax , proposed dividend and unclaimed dividend.

Generally , a current ratio of 2:1 is considered satisfactory.

Interpretation: It provides a measure of degree to which current assets cover current liabilities. The higher the ratio , the greater the margin of safety for the short term creditors. However, the ratio should neither be very high nor very low. A very high

current ratio indicates idle funds , piled up stocks, locked amount in debtors while a low ratio puts the business in a situation where it will not be able to pay its short- term debt on time.

Illustration 1

Calculate current ratio from the following information:

Stock Rs .60,000 ; Cash 40,000; Debtors 40,000; Creditors 50,000

Bills Receivable 20,000; Bills Payable 30,000; Advance Tax 4,000

Bank Overdraft 4,000; Debentures Rs. 2,00,000; Accrued interest Rs. 4,000.

Solution

Current Assets = Rs.60,000 + Rs.40,000 + Rs.40,000 + Rs.20,000 + Rs.4,000 + Rs.4,000

= Rs.1,68,000

Current Liabilities = Rs.50,000 + Rs.30,000 + Rs.4,000 = Rs. 84,000

Current Ratio = Rs.1,68,000 : Rs.84,000 = 2 : 1.

Illustration 2

Current Assets of a company are Rs. 10,00,000 and current liabilities are Rs. 6,00,000. The management is interested in making the ratio 2:1 by making payment of certain current liabilities. Advise the management as to how much of current liabilities should be paid to attain the desired ratio.

Solution

Let the current liabilities to be paid = x

$$\frac{10,00,000-x}{6,00,000-x} = 2$$

$10,00,000-x = 2(6,00,000-x)$

$10,00,000-x = 12,00,000-2x$

$x = 2,00,000$

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Quick Ratio / Acid test ratio/Liquid ratio

Quick ratio establishes the relationship between quick/ liquid assets and current liabilities. It measures the ability of the firm to meet its short term obligations as and when they become due without relying upon the realization of stock. It is calculated as:

$$\text{Quick ratio} = \frac{\text{Quick Assets}}{\text{Current Liabilities}}$$

The quick assets are defined as those assets which can be converted into cash immediately or reasonably soon without a loss of value. For calculating quick assets we exclude the closing stock and prepaid expenses from the current assets.

Generally, a liquid ratio of 1:1 is considered satisfactory.

Interpretation: Quick ratio is considered better than current ratio as a measure of liquidity position of the business because of exclusion of inventories. The idea behind this ratio is that stock are sometimes a problem because they can be difficult to sell or use. That is , even through a supermarket has thousand of people walking through its doors every day, there are still items on its shelves that don't sell as quickly as the supermarket would like. Similarly, there are some items that will sell very well. Nevertheless , there are some business whose stocks will sell or be used slowly and if those businesses needed to sell some of their stocks to try to cover an emergency, they would be disappointed. It us a more penetrating test of liquidity than current ratio yet it should be used cautiously as all debtors may not be liquid or cash may be required immediately for certain expenses.

Illustration 3

Calculate quick ratio from the information given in illustration 1.

Solution

Quick Assets = Current Assets – Stock – Advance Tax

Quick Assets = Rs. 1,68,000 – (Rs. 60,000 + Rs. 4,000) = Rs. 1,04,000

Current Liabilities = Rs. 84,000

Quick ratio = Quick Assets / Current Liabilities

= Rs. 1,04,000 : Rs. 84,000

= 1.23:1

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Illustration 4

X Ltd. has a current ratio of 3.5:1 and quick ratio of 2:1. If excess of current assets over quick assets represented by stock is Rs. 1,50,000, calculate current assets and current liabilities.

Solution

Let Current Liabilities = x

Current Assets = 3.5x

And Quick Assets = 2x

Stock = Current Assets – Quick Assets

1,50,000 = 3.5x – 2x

1,50,000 = 1.5x

x = Rs.1,00,000

Current Assets = 3.5x = 3.5 × 1,00,000 = Rs. 3,50,000.

Illustration 5

Calculate the current ratio from the following information :

Working capital Rs. 9,60,000; Total debts Rs.20,80,000; Long-term Liabilities Rs.16,00,000; Stock Rs. 4,00,000; prepaid expenses Rs. 80,000.

Solution

Current Liabilities = Total debt- Long term debt

= 20,80,000 – 16,00,000

= 4,80,000

Working capital = Current Assets – Current liability

9,60,000 = Current Assets – 4,80,000

Current Assets = 14,40,000

Quick Assets = Current Assets – (stock + prepaid expenses)

= 14,40,000 – (4,00,000 + 80,000)

= 9,60,000

Current ratio = Current Assets / Current liabilities

= 14,40,000/4,80,000

= 3:1

Quick ratio = Quick Assets / Current liabilities

= 9,60,000/4,80,000

= 2:1

Solvency Ratios

Solvency ratio are used to judge the long term financial soundness of any business. Long term Solvency means the ability of the

Enterprise to meet its long term obligation on the due date. Long term lenders are basically interested in two things: payment of interest periodically and repayment of principal amount at the end of the loan period. Usually the following ratios are calculated to judge the long term financial solvency of the concern.

1. Debt equity ratio;
2. Total Assets to Debt Ratio;
3. Proprietary ratio;
4. Interest Coverage Ratio.

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Debt-Equity Ratio

Debt Equity Ratio measures the relationship between long-term debt and shareholders' funds. It measures the relative proportion of debt and equality in financing the assets of a firm.

It is computed as follows:

Debt-Equity ratio = Long-term Debt's / Share holder funds

Where –

Long-term Debt = Debentures + Long – term loans

Shareholders Funds = Equity Share Capital + Preference Share Capital +
Reserves and Surplus– Fictitious Assets

Interpretation: A low **debt** equity ratio reflects more security to long term creditors. From security point of view, capital structure with less debt and more equity is considered favourable as it reduces the chances of bankruptcy.

A high ratio, on the other hand, is considered risky as it may put the firm into difficulty in meeting its obligations to outsiders. However, from the perspective of the owners, greater use of debt, firm can enjoy the benefits of trading on equity which help in ensuring higher returns for them if the rate of earning on capital employed is higher than the rate of interest payable. But it is considered risky and so , with the exception of a few business , the prescribed ratio is limited to 2:1.

Illustration 6

Calculate Debt Equity , from the following information:

10,000 preference share of Rs. 10 each	Rs. 1,00,000
5,000 equity shares of Rs. 20 each	Rs. 1,00,000
Creditors	Rs. 45,000
Debentures	Rs. 2,20,000
Profit and Loss accounts(Cr.)	Rs. 70,000

Solution

Debt = Debentures = Rs. 2,20,000

Equity = Equity share capital + Preferences Share Capital + profit and Loss accounts

= Rs. 1,00,000 + Rs. 1,00,000 + Rs. 70,000

= Rs. 2,70,000

Debt Equity Ratio = Long term debt/ shareholders' funds

= Rs. 2,20,000 / Rs. 2,70,000

= 0.81:1

Illustration 7

Calculate Debt Equity Ratio, from the following information :

Total Debts Rs. 3,00,000 ; Total assets Rs. 5,40,000; Current liabilities Rs. 70,000.

Solution

Long-term Debt = Total Debt – Current Liabilities

= Rs. 3,00,000 – Rs. 70,000 = Rs. 2,30,000

Shareholders Funds = Total Assets – Total Debts

= Rs. 5,40,000 – Rs. 3,00,000

= Rs. 2,40,000

Debt Equity Ratio = Long term debt/ Shareholders' funds

= Rs. 2,30,000/Rs. 2,40,000

= 0.96:

Total Assets to Debt Ratio

This Ratio established a relationship between total assets and long debts. It measures the extend to which debt is being covered by assets. It is calculated as

$$\text{Total Assets to Debt Ratio} = \frac{\text{Total assets}}{\text{Long-term Debt}}$$

Interpretation: This ratio primarily indicated the use of external funds in financing the assets and the margin of safety to long-term creditors. The higher ratio indicated that assets have been mainly financed by owners' funds , and the long- tem debt is adequately covered by assets. A low ratio indicated a grater risk to creditors as it means insufficient assets for long term obligations.

Illustration 8

Shareholders' funds Rs. 80,000; Total debts Rs. 1,60,000; Current liabilities Rs. 20,000. Calculate Total assets to debt ratio.

Solution

Long term debt = Total Debt - Current liabilities

= Rs. 1,60,000- Rs. 20,000

= Rs. 1,40,000

Total Assets = Shareholders' funds + Total debt

= Rs. 80,000 + Rs. 1,60,000

= Rs. 2,40,000

Total Assets to debt ratio = Total Assets/ Debt

= Rs. 2,40,000 / Rs. 1,40,000

= 12:7

= 1.7:1

Proprietary Ratio

Proprietary ratio establishes a relationship between shareholders' funds to total assets. It measures the proportion of assets financed by equity. It is calculated as follows :

Proprietary Ratio = Shareholders Funds/ Total assets

Interpretation: A higher proprietary ratio indicated a larger safety margin for creditors. It tests the ability of the shareholders' funds to meet the outside liabilities. A low Proprietary Ratio , on the other hand , indicated a grater risk to the creditors. To judge whether a ratio is satisfactory or not, the firm should compare it with its own past ratios or with the ratio of similar enterprises or with the industry average.

Based on data of Illustration 8, it shall be worked out as follows:

Rs. 80,000 / Rs. 2,40,000 = 0.33: 1

Illustration 9

From the following balance sheet of a company, calculate debt equity ratio, total assets to debt ratio and proprietary ratio

Balance Sheet of X ltd as on 31.12.2017

Preference Share Capital	7,00,000	Plant and Machinery	9,00,000
Equity ShareCapital	8,00,000	Land and Building	4,20,000
Reserves	1,50,000	Motor Car	4,00,000
Debentures	3,50,000	Furniture	2,00,000
Current Liability	2,00,000	Stock	90,000
		Debtors	80,000
		Cash and Bank	1,00,000
		Discount on Issue of Shares	10,000
	22,00,000		22,00,000

Solution

Debt equity Ratio = Long-term Debt/Equity

Total Assets Ratio= Total Assets / long term Debt

Proprietary Ratio = Shareholders Funds/Total assets

Debt equity ratio = Rs. 3,50,000/Rs. 16,40,000 = 0.213

Total Assets Ratio= Rs. 21,90,000/ Rs. 3,50,000 = 6.26

Proprietary Ratio = Rs. 16,40,000/Rs. 21,90,000 = 0.749

Illustration 10

From the following information, calculate Debt Equity Ratio, Debt Ratio,Proprietary Ratio and Ratio of Total Assets to Debt.

Balance Sheet as on December 31, 2018

Equity share Capital	3,00,000	Fixed Assets	4,50,000
Preference Share Capital	1,00,000	Current Assets	3,50,000
Reserves	50,000	Preliminary Expenses	15,000
Profit & loss A/C	65,000		
11 % Mortgage Loan	1,80,000		
Current liabilities	1,20,000		
	8,15,000		8,15,000

Solution

Shareholders Funds = Equity Shares capital + Preference Shares capital + Reserves + profit % loss A/C - Preliminary Expenses

= Rs. 3,00,000 + Rs. 1,00,000 + Rs.50,000 + Rs. 65,000- Rs. 15,000

= Rs. 5,00,000

Debt Equity Ratio = Debt / Equity

= Rs. 1,80,000/Rs. 5,00,000 = 0.36: 1

Proprietary Ratio = Proprietary funds / Total Assets

= Rs. 5,00,000/Rs. 8,00,000

= 0.625:1

Total Assets to Debt Ratio = Total Assets / Debt

= Rs. 8,00,000/Rs. 1,80,000

= 4.44:1

Illustration 11

The debt equity ratio of X Ltd. is 1:2. Which of the following would increase/ decrease or not change the debt equity ratio?

a. Issue of new equity shares
b. Cash received from debtors
c. Sale of fixed assets at a profit
d. Redemption of debentures
e. Purchase of goods on credit.

Solution

a) The ratio will decrease. This is because the debt remains the same, equity increases.
b) The ratio will not change . This is because neither the debt nor equality is affected.
c) The ratio will decrease . This is because the debt remains unchanged while equity increases by the amount of profit.
d) The ratio will decrease . This is because debt decreases while equity remains same .
e) The ratio will not change . This is because neither the debt nor equity is affected.

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Interest Coverage Ratio

Interest Coverage Ratio established a relationship between profit before interest on long-term debt and taxes and the interest on long term debts. It measures the debt servicing capacity of the business in respect of fixed interest on long term debts. It generally expressed as ' number of times'.

It is calculated as follows:

Interest Coverage Ratio = Net Profit before Interest and Tax / Interest on long term debt

Interpretation : It reveals the number of times interest on long-term debt is covered by the profits available for interest. It is a measure of protection available to the creditors for payment of interest on long term loans. A higher ratio ensures safety of interest payment debt and it also indicates availability of surplus for shareholders.

Illustration 12

Net Profit as per Profit & Loss A/C Rs. 5,40,000;
Provision for tax Rs, 2,10,000;
Interest on Debentures and other long terms loans Rs. 1,50,000
Calculate interest coverage ratio.

Solution

Profit before interest and tax = Rs. 5,40,000 + Rs. 2,10,000 + Rs. 1,50,000 = Rs. 9,00,000
Interest coverage Ratio = Net Profit before Interest and Tax / interest on long term debt
= Rs. 9,00,000 / Rs. 1,50,000
= 6 times.

Illustration 13

Calculate interest coverage ratio from the following information:
Net Profit after tax Rs. 30,000; 15% Long-term Debt 10,00,000; and Tax Rate 60%.

Solution

Net Profit after tax = Rs. 30,000
Tax Rate = 60%.
Net Profit before tax = Net Profit after tax X 100 / (100 – tax rate)
= Rs. 30,000 X 100 / (100- 60)
= Rs. 75,000
Interest on Long Term Debt = 15% of Rs. 10,00,000 = Rs. 1,50,000
Net profit before interest and tax = Net profit before tax + Interest
= Rs. 75,000 + Rs. 1,50,000
= Rs. 2,25,000
Interest Coverage Ratio = Net Profit before Interest and Tax/Interest on long term debt
= Rs. 2,25,000/Rs. 1,50,000
= 1.5 times.

Activity (or Turnover) Ratios

The Activity (or Turnover) Ratios measures how well the facilities at the disposal of the concern are being utilized. They are known as turnover ratios as they indicates the speed with which the assets are being converted or turned over into sales. A proper balanced between sales and assets generally reflects tat assets are being managed well. They are expressed as 'number of times'. Some of the important activity ratios are:

1. Stock Turn-over;
2. Debtors (Receivable) Turnover;
3. Creditors (Payable) Turnover;
4. Fixed Assets Turnover;
5. Working Capital Turnover.

Stock (or Inventory) Turnover Ratio

It establishes a relationship between cost of goods and average inventory. It determines the efficiency with which stock is converted into sales during the accounting period under consideration. It is calculated as:

Stock Turnover Ratio = Cost of Goods Sold / Average Stock

Where - Average stock = (opening + closing stock) /2 and

Cost of goods sold = Net Sales - gross profit **or**

Cost of goods sold = opening stock + net purchases + direct expenses – closing stock

Interpretation : It indicates the speed with which inventory is converted into sales. A higher ratio indicated that stock is selling quickly. Low stock turnover ratio indicates that stock is not selling quickly and remaining idle resulting in increased storage cost and blocking of funds. High turnover is good but it must be carefully interpreted as it may be due to buying in small lots or selling quickly at low margin to realize cash. Thus , a firm should have neither a very high nor a vet low stock turnover ratio.

Illustration 14

From the following information, calculate stock turnover ratio :

Opening Stock Rs.20,000;Closing Stock Rs.10,000;Purchases Rs. 50,000 Wages Rs. 13,000; sales Rs. 80,000 ; Carriage Inwards Rs. 2,000 ; Carriage outwards Rs. 6,000

Solution

Stock Turnover Ratio = Cost of Goods Sold/ Average Stock

Cost of Goods Sold = Opening Stock + Purchases – Closing Stock + Direct Expenses

= Rs. 20,000+ Rs.50,000+ Rs.15,000–Rs.10,000

= Rs. 75,000

Average Stock = (Opening Stock + Closing Stock) /2

= (Rs. 20,000 + Rs. 10,000) /2

= Rs. 15,000

Stock Turnover Ratio = Rs. 75,000/Rs. 15,000 = 5 Times.

Illustration 15

From the following information, calculate stock turnover ratio.

Opening stock Rs 58,000; Excess of Closing stock opening stock Rs. 4,000; sales Rs. 6,40,000; Gross Profit @ 25 5 on cost

Solution

Cost of goods Sold = Sales - Gross Loss

= Rs. 6,40,000 - 25/125(6,40,000) = Rs. 5,12,000

Closing stock = Opening stock + Rs. 4000

= Rs. 58,000 + Rs 4,000 = Rs. 62,000

Average stock = (Opening stock + Closing Stock)/2

= (58,000 +62,000)/2 = Rs. 60,000

Stock Turnover Ratio = Cost of Goods Sold/ Average Stock

= Rs.5,12,000/Rs. 60,000 = 8.53 times.

Illustration 16

A trader carries an average stock of Rs. 80,000. His stock turnover is 8 times. If he sells goods at profit of 20% on sales. Find out the profit.

Solution

Stock Turnover Ratio = Cost of Goods Sold/ Average Stock

= Cost of Goods Sold/Rs. 80,000

Cost of Goods Sold = Rs. 80,000 × 8 = Rs. 6,40,000

Sales = Cost of Goods Sold × 100/80

= Rs. 6,40,000 × 100/80 = Rs. 8,00,000

Gross Profit = Sales – Cost of Goods Sold

= Rs. 8,00,000 – Rs. 6,40,000 = Rs. 1,60,000.

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Debtors Turnover Ratio or Receivables Turnover Ratio

It establishes a relationship between net credit sales and average debtors or receivables. It determine the efficiency with which the debtors are converted into cash.

It is calculated as follows :

Debtors Turnover ratio = Net Credit sales/ Average Accounts Receivable

Where Average Account Receivable = (Opening Debtors and Bills Receivable + Closing Debtors and Bills Receivable)/2

Note: Debtors should be taken before making any provision for doubtful debts.

Interpretation : The ratio indicated the number of times the receivables are turned over and converted into cash in an accounting period. Higher turnover means that the amount from debtors is being collected more quickly. Quick collection from debtors increases the liquidity of the firm. This ratio also helps in working out the average collection period as follows:

Debt collection period

This shows the average period for which the credit sales remain outstanding or the average credit period enjoyed by the debtors. It indicates how quickly cash is collected from the debtors.

It is calculates as follows:

$$\text{Debt collection period} = \frac{\text{12 months/52 weeks/365 days}}{\text{Debtors' turnover ratio}}$$

Illustration 17

Calculate the Debtors Turnover Ratio and debt collection period (in months) from the following information:

Total sales = Rs. 2,00,000

Cash sales = Rs. 40,000

Debtors at the beginning of the year = Rs. 20,000

Debtors at the end of the year = Rs. 60,000

Solution

Average Debtors = (Rs. 20,000 + Rs. 60,000)/2 = Rs. 40,000

Net credit sales = Total sales - Cash sales

= Rs.2,00,000 - Rs.40,000

= Rs. 1,60,000

Debtors Turnover Ratio = Net Credit sales/Average Debtors

= Rs. 1,60,000/Rs. 40,000

= 4 Times.

$$\text{Debt collection period} = \frac{\text{12 months/52 weeks/365 days}}{\text{Debtors' turnover}}$$

= 12/4

= 3 months

Creditors Turnover Ratio or Payable Turnover Ratio

This ratio establishes a relationship between net credit purchases and average creditors or payables. It determine the efficiency with which the Creditors are paid.

It is calculated as follows :

Creditors turnover ratio = Net credit purchase / Average accounts payable.

Where Average accounts payable = (Opening Creditors and Bills Payable + Closing Creditors and Bills Payable)/2

Interpretation: It indicated the speed with which the creditors are paid. A higher ratio indicates a shorter payment period. In this case, the enterprise needs to have sufficient funds as working capital to meet its creditors. Lower ratio means credit allowed

by the supplier is for a long period or it may reflect delayed payment to suppliers which is not a very good policy as it may affect the reputation of the business. Thus , an enterprise should neither have a very high nor a very low ratio.

Debt payment period/Creditors collection period

This shows the average period for which the credit purchases remain outstanding or the average credit period availed of. It indicate how quickly cash is paid to the creditors.

It is calculated as follows:

$$\text{Debt collection period} = \frac{\text{12 months/52 weeks/365 days}}{\text{Debtors' turnover}}$$

Illustration 18

Cash purchased ratio Rs. 1,00,000; cost of goods sold Rs. 3,00,000; opening stock Rs. 1,00,000 and closing stock Rs. 2,00,000. Creditors turnover ratio 3 times. Calculate the opening and closing creditors if the creditors at the end were 3 times more than the creditors at the beginning.

Solution

Total Purchase = Cost of goods sold + closing stock - opening stock

= Rs. 3,00,000 + Rs. 2,00,000 - Rs. 1,00,000

= Rs. 4,00,000

Credit purchases = Total Purchase - cash purchase

= Rs. 4,00,000- Rs. 1,00,000

= Rs. 3,00,000

Creditor Turnover Ratio = Net Credit Purchase / Average Creditor

Average Creditor = Rs. 3,00,000/ 3

= Rs. 1,00,000

(opening Creditor + Closing Creditor)/2 = Rs. 1,00,000

opening Creditor + Closing Creditor = Rs. 2,00,000

opening Creditor + (opening Creditor + 3opening Creditor) = Rs. 2,00,000

opening Creditor = Rs. 40,000

Closing Creditor = Rs. 40,000 +(3 X Rs. 40,000)

= Rs. 1,60,000

Fixed Assets Turnover Ratio

This ratio establishes a relationship between net sales and net fixed assets. It determined the efficiency with which the firm is utilizing its fixed assets.

It iscomputed follows

Fixed Assets Turnover= Net sales/ Net Fixed Assets

Where Net Fixed Assets =Fixed Assets- Depreciation

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Interpretation: This ratio reveals how efficiently the fixed assets are being utilised. It indicates the firms' ability to sales per rupee of investment in fixed assets. A high ratio indicates more efficient utilization of fixed assets.

Illustration 19

From the following information, calculate Fixed Assets Turnover Ratio:

Gross fixed asset Rs. 4,00,000; Accumulated Depreciation Rs. 1,00,000; Marketable securities Rs. 20,000; Current Assets Rs. 1,30,000; Miscellaneous expenditure Rs, 20,000; Current Liabilities Rs. 50,000; Gross sales Rs. 18,30,000; sale return Rs. 30,000

Solution

Net fixed asset = Gross fixed asset - Depreciation

= Rs. 4,00,000 - Rs. 1,00,000 = Rs.3,00,000

Net Sale = Gross sale – Sale Returns

= Rs. 18,30,000 - Rs. 30,000 = Rs. 18,000

Fixed Asset Turnover Ratio = Net Sale / net Fixed assets

= Rs. 18,30,000/ Rs.3,00,000 = 6 times.

Working Capital Turn Over Ratio

This ratio establishes the relationship between net Sale and working capital. It determines the efficiency with which the working capital is being utilised.

It is calculated as followers:

working capital Turnover = Net Sale/ working Capital

Interpretation: This ratio indicates the firms' ability to generate sales per rupee of working . A higher ratio would normally indicate more efficient utilized of working capital ; through neither a very high nor a very low ratio is desirable.

Illustration 20

From the following information, calculate (i) Fixed Assets Turnover and (ii) Working Capital Turnover Ratios :

Preference Shares Capital	6,00,000	Plant and Machinery	6,00,000
Equity Share Capital	4,00,000	Land and Building	7,00,000
General Reserve	2,00,000	Motor Car	2,50,000
Profit and Loss Account	2,00,000	Furniture	50,000
15% Debentures	3,00,000	Stock	1,70,000
14% Loan	1,00,000	Debtors	1,20,000
Creditors	1,40,000	Bank	90,000
Bills Payable	30,000	Cash	20,000
Outstanding Expenses	30,000		
	20,00,000		**20,00,000**

Sales for the year were Rs. 60,00,000.

Solution

Sales = Rs 60,00,000

Fixed Assets = Rs. 6,00,000 + Rs.7,00,000 + Rs. 2,50,000 + Rs. 50,000

Working capital = Current Assets - Current Liabilities

Current Assets = Stock + Debtors + bank + cash

Rs. 1.70,000 + Rs. 1.20,000 + Rs. 90,000 + Rs. 20,000

Rs. 4,00,000

Current Liabilities = Creditors + BIP + OIS Exp

= Rs. 1,40,000 + Rs. 30,000 + Rs. 30,000

= Rs. 2,00,000

Working capital = Rs. 4,00,000 + Rs. 2,00,000

= Rs. 2,00,000

Fixed Turn over Ratio = Net sale / Fixed assests

= Rs. 60,00,000/ Rs. 16,00,000 = 3.75 times

Working capital Turnover = Net Sale / Working Capital

= Rs. 60,00,000/ Rs. 2,00,000 = 30 times.

Profitability Ratios

Every business must earn sufficient profits to sustain the operations of the business and to fund expansion and growth.

Profitability ratios are calculated to analysis the earning capacity of the business which is the outcome of utilisation of resources employed in the business. There is a close relationship between the profit and the efficiency with which the resources employed in the business are utilised. There are two major types of Profitability Ratios.

- Profitability in relation to sales
- Profitability in relation to investment.

Following are the important Profitability ratio

1. Gross Profit Ratio
2. Net profit Ratio
3. Operating Ratio
4. Operating Profit Ratio
5. Return on Investment (ROI) or Return on Capital Employed (ROCE)
6. Earnings per Share
7. Price Earning Ratio.
8. Dividend Payout Ratio

Gross Profit Ratio or Gross margin

Gross profit ratio establishes relationship between **Gross Profit and net sale. It determines the efficiency with which production,** purchase and selling operations are being carried on. **It is calculated as** percentage of sales. It is computed as follows:

Gross Profit Ratio = Gross Profit/Net Sales × 100

Interpretation: Gross Profit is the difference between sale and cost of good sold. Gross Profit margin reflect the efficiency with which the management produces each unit of output. It also include the margin available to cover operating expenses and non operating expenses. A high Gross Profit margin relative to the industry average employees that the firm is able to produced at comparatively at lower cost.

Illustration 21

Following information is available for the year 2006, calculate gross profit ratio:

Sales	Rs. 1,20,000
Gross Profit	Rs. 60,000
Return inwards	Rs 20,000

Solution

Net Sales = Sales - Return inwards

= Rs. 1,20,000- 20,000

= Rs. 1,00,000

Gross Profit Ratio = Gross Profit/Net Sales × 100

= Rs.60,000/Rs.1,00,000 × 100 = 60%.

Illustration 22

Calculate Gross Profit ratio from the following information:

Opening stock Rs. 50,000; closing stock Rs. 75,000; cash sale Rs. 1,00,000; credits sales Rs 1,70,000; Returns outwards Rs. 15,000; purchased Rs. 2,90,000; advertisement expenses Rs. 30,000; carriage inwards Rs. 10,000.

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Solution

Cost of goods sold = Opening stock + net purchases + direct expenses – closing stock

= Rs. 50,000 + (Rs. 2,90,000- Rs. 15,000) + Rs. 10,000 - Rs. 75,000

= Rs. 2,60,000

Total Sales = Cash Sales + Credits Sales

= Rs. 1,00,000 + Rs 1,70,000

= Rs. 2,70,000

Gross profit = Total Sales - Cost of goods sold

= Rs. 2,70,000- Rs. 2,60,000

= Rs. 10,000

$$\text{Gross profit Ratio} = \frac{10,000}{2,70,000} \times 100$$

= 3.704 %

Net Profit Ratio or Net Margin

This ratio establishes the relationship between net profit and net sale . It indicates managements' efficiency in manufacturing, administering and selling the product. It calculates as a percentage of sale. it is computed as under:

Net Profit Ratio = Net profit / Net Sales × 100

Generally, net profit refers to Profit after Tax (PAT).

Interpretation: This ratio measures the firms' ability to turn each rupee sales into net profit. A firm with high net profit margin would be in an advantageous position to survive in the face of falling selling prices, rising cost of production or declining demand for the product.

Illustration 23

Sales Rs. 6,30,000; sales Returns Rs. 30,000; Indirect expenses Rs. 50,000; cost of goods sold Rs.2,50,000. Calculate Net Profit Ratio.

Solution

Net Sales = Total Sales – sales Returns
= Rs. 6,30,000 – Rs. 30,000
= Rs.6,00,000

Gross Profit = Net Sales – Cost of goods sold
= Rs. 6,30,000 - Rs.2,50,000
= Rs. 3,50,000

Net Profit = Gross Profit - Indirect expenses
= Rs. 3,50,000 – Rs. 50,000
= Rs. 3,00,000

$$\text{Net Profit Ratio} = \frac{\text{Net Profit}}{\text{Net sale}}$$

$$= \frac{\text{Rs. 3,00,000}}{\text{Rs. 6,00,000}} \times 100$$

= 50 %

Illustration 24

Gross profit ratio is 25 % . Cost of goods sold is Rs. 3,00,000. Indirect expenses Rs. 60,000. Calculate Net Profit Ratio.

Solution

Sales = 100/(100 – 25) X Rs. 3,00,000 = Rs. 4,00,000

Gross profit = Sale- cost of goods sold
= Rs. 4,00,000 – Rs.60,000
= Rs. 40,000

$$\text{Net Profit Ratio} = \frac{\text{Net profit}}{\text{Net Sale}} \times 100$$

= Rs. 40,000/ Rs. 4,00,000 x 100
= 10 %

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Operating Ratio

Operating Ratio establishes relationship between operating cost and net sales. It determine the operational efficiency with the production , purchase and selling operations are being carried on. It is calculated as follows:

Operating Ratio = (Cost of Sales + Operating Expenses)/ Net Sales × 100

Operating expenses include office expenses, administrative expenses, selling expenses and distribution expenses.

Interpretation: Operating Ratio indicates the Operating cost incurred is computed to express Cost of operation excluding financial charge in relation to sales. A corollary of it is ' Operating Profit Ratio'. It helps to analyse the performance of business and throw light on the operations efficiency of the business. It is very useful for inter- firm as well as intra firm comparisons. Lower operating ratio is a very healthy sign.

Operating Profit Ratio

Operating Profit Ratio establishes the relationship between Operating Profit and net sales. It can be computed directly or as a residual of operating ratio.

Operating Profit Ratio = Operating Profit / Sales × 100

Where Operating Profit = Sales – Cost of Operation

Interpretation: Operating Ratio determine the operational efficiency of the management . It helps in knowing the amount of profit earned from regular business transactions on a sale of Rs. 100. It is very useful for inter firm as well as intra firm comparisons. Higher operating ratio indicates that the firm has got enough margins to meet its non operating expenses well as to create reserve and pay dividends.

Illustration 25

Calculate the operating ratio from given the following information:

Sales Rs. 2,00,000; Sales returns Rs. 30,000; operating expenses Rs. 55,000; Cost of goods sold Rs. 1,70,000

Solution

$$\text{Operating Ratio} = \frac{\text{Cost of goods sold + Selling Expenses}}{\text{Net Sales}} \times 100$$

$$= \frac{\text{Rs. 1,70,000 + 55,000}}{\text{Rs.1,70,000 (2,00,000- 30,000)}} \times 100$$

$$= 132.35\ \%$$

Illustration 26

Calculate the Gross profit Ratio, Net Profit Ratio and Operating Ratio from the given the following information:

Sales	Rs. 4,00,000
Cost of Goods Sold	Rs. 2,20,000
Selling expenses	Rs. 20,000
Administrative Expenses	Rs. 60,000

Solution

Gross Profit = Sales – Cost of goods sold

= Rs. 4,00,000 – Rs. 2,20,000

= Rs. 1,80,000

Gross Profit Ratio = Gross s Profit X 100

Sales

= Rs. 1 ,80,000 X 100

Rs 4 ,00,000

= 45 %

Net Profit = Gross Profit – Indirect expenses

= Rs. 1,80,000 – (Rs. 20,000 + Rs. 60,000)

= Rs. 1,00,000

Net Profit Ratio = Net profit / Sales × 100

= Rs.(1,00,000/ 4,00,000) X 100

= 25 %

Operating Expenses = Selling Expenses + Administrative Expenses

= Rs. 20,000 + 60,000

= Rs. 80,000

Operating Ratio = Cost of goods + Operating Expenses X 100

Net Sa les

= Rs. 2 ,20,000 + Rs. 80,000 X 100

Rs4, 00,000

= 75 %

Return on Capital Employed or Return on Investment (ROCE or ROI)

This ratio establishes the relationship between net profit before Interest and Tax and capital employees. It measures how efficiently the long-term funds supplied by the long-term creditors and shareholders are being used. It is expressed as a percentage.

Thus, it is computed as follows:

Return on Investment = Profit before Interest and Tax/Capital Employed × 100

Where capital employed = Dept + equity

Or

Capital Employed = Fixed Assets + Working Capital

Interpretation : It explains the overall utilisation of fund by a business. It reveals the efficiency of the business in utilisation of funds entrusted to it by, share holders , debenture-holders and long-term liabilities. For inter-firm comparison, it is considered good measure of profitability.

Illustration 27

Liabilities	Rs.	Assets	Rs.
Equity Share Capital (1,00,000 equity share of Rs. 10 each)	10,00,000	Fixed assets (Net)	14,00,000
Reserves	2,50,000	Current Assets	12,50,000
10 % Debentures	5,00,000	Preliminary Expenses	1,00,000
Current Liability	7,50,000		
Profit for the year	2,50,000		
	27,50,000		27,50,000

Calculate Return on Capital employed

Solution

Return on Investment = Profit before Interest and Tax / Capital Employed × 100

Profit before Interest and Tax:

Profit for the year = Rs. 2,50,000

Add interest (10% of 5,00,000) = Rs. 50,000

Profit before interest and tax = 3,00,000

Capital Employes = NetAssets + working Capital

= Rs. 14,00,000 + Rs(12,50,000 - Rs. 7,50,000)

= Rs. 19,00,000

Earnings Per Share

This ratio measures the earning available to an equity shareholders per share. Itb indicates the profitability of the firm on a per share basis.

The ratio is calculated as -

Earning Per Share = Profit available for equity shareholders / No. of Equity Shares

In this context, earnings refer to profit available for equity shareholders which is worked out as Profit after Tax - Dividend on Preference Shares.

Interpretation : This ratio is very important from equity shareholders point of view and so also for the share price in the stock market. This also helps comparison with other firm's to ascertain its reasonableness and capacity to pay dividend. But increase in Earning per share does not have always indicate increase in profitability because sometimes , when bonus shares are issued , earning per share would decrease . In these cases, the earning per share is misleading as the actual earning have not decreased.

Illustration 28

Calculate earning per share from the following information:

50,000 equity shares of Rs. 10 each Rs 5,00,000

10% Preference share capital	Rs 1,00,000
9 % Debentures	Rs. 2,00,000
Net Profit after tax	Rs. 2,00,000

Solution

Earning per share = Profit available for equity shareholders/ No. of Equity Share

= Rs(1,10,000 – 10,000) / 50,000

= Rs. 2 per share

Price Earning Ratio

This ratio establishes a relationship between market price per share and earning per share. The objective of this ratio is to find out the expectations of the shareholders.

This ratio is calculated as –

P/E Ratio = Market price of a Share/Earnings per Share

Interpretation : It indicates the numbers of times of EPS the share is being quoted in the market. It reflects investors' expectation about the growth in the firms' earning and reasonableness of the market price of its shares. P/E ratios vary from industry to industry and company to company in the same industry depending upon investors perception of their future.

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Illustration 29

Earning per share Rs. 150 . market price per share Rs. 3000. Calculate price Earning ratio.

Solution:

P/E Ratio = Market price of a Share/Earnings per Share

= Rs. 3,000/ Rs. 150

= Rs. 20

Illustration 30

Calculated price earning ratio from the following information:

Equity share capital(Rs. 10 per Share)	Rs 2,50,000
Reserves (including current year's profit)	Rs 1,00,000
10 % Preference Share Capital	Rs 2,50,000
9 % Debentures	Rs 2,00,000
Profit before interest	Rs 3,30,000
Market Price per Share	Rs 50.
Tax rate	50 %

Solution

P/E Ratio = Market price of a Share/Earnings per Share

Earning per share = Profit available for equity shareholders / No. of Equity Share

Profit available for equity shareholders:

Profit before interest =	Rs. 3,30,000
Less interest on debentures =	Rs 18,000
	Rs 3,12,000
Less tax (50% of Rs. 3,12,000) =	Rs. 1.56,000
Less preference dividend =	Rs. 25,000
Earning after Tax =	Rs 1,31,000

Earning per share = Earning after tax / No.of equity shares

= Rs 1,31,000/ 25,000

= Rs. 5.24

P/E Ratio = Market price share / Earning per share

= Rs. 50/ Rs. 5.24

= Rs. 9.54

Dividend Payout Ratio

This refers to the proportion of earning that are distributed against the shareholders. It is computed as –

Dividend Payout Ratio = Dividend Per Share / Earnings Per Share

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Interpretation : It expresses the relationship between what is available per share and what is actually paid in the form of dividends out of available earnings. This ratio reflects company's' dividend policy. A higher payout ratio may mean lower retention or a deteriorating liquidity position.

Illustration 31

Calculate dividend payout ratio., If dividend paid per share Rs. 2.62 per share from the information of Illustration 30

Solution:

From the above Illustration , earning per share= Rs. 5.24

Dividend paid per share = Rs. 2.62 per Share

So. Dividend payout Ratio= Dividend per share / Earning per ratio

= Rs. 2.62 / Rs. 5.24

= Rs. 0.50

Cash Flow Statement

Cash flow is made up of two words i.e. Cash and Flow, whereas Cash means cash balance in hand including cash at bank balance, and Flow means changes (which may be + or - increase or decrease) in the cash movements of the business.

Cash Flow Statement deals with only such items, which are connected with cash i.e., items relating to inflow and outflow of cash. In other words, it is prepared to study the changes in cash, or to show impact of various transactions on the cash. In short, it is a statement, which is prepared to show the flow of cash in the business during a particular period. It thus, tells about the changes in cash position of a business. The changes may be related either with the cash receipts or cash payments or disbursements of cash. Thus, Cash Flow Statement is a summary of cash receipts and payments whereby reconciling the opening cash balance with the closing cash including bank balances in done. It also explains the reasons for the changes in the cash position of the business on account of the Decrease in the cash position is termed as outflow of cash and increase is termed in flow. Cash flow statement also tells about various sources in cash such as cash from operations, sale of current and fixed Assets, issue of shares/debentures, also termed as inflow of cash whereas loss from operations, purchase of current and fixed assets, redemption of preference shares/debentures and other long term loans etc are also termed as outflow of cash.

The Cash Flow Statement is prepared because of number of merits, which are offered by it. Such merits are also termed as its objectives. The important **objectives** are as follows :

1. **To Help the Management in Making Future Financial Policies –** Cash Flow statement is very helpful to the management. The management can make its future financial policies and is in a position to know about surplus or deficit of cash. Accordingly, management can think of investing surplus funds, if nay, in either short term or long term investments. Thus, cash is the center of all financial decisions.
2. **Helpful in Declaring Dividends etc. –** Cash Flow Statement is very helpful in declaring dividends etc. This statement can supply information regarding to understand the liquidity. It must be paid within 42 days.
3. **Cash Flow Statement is Different than Cash Budget :-** Cash budget is prepared with the help of inflow and outflow of cash. If there is any variation, the same can be corrected.
4. **Helpful in devising the cash requirement :-** Cash flow statement is helpful in devising the cash requirement for repayment of liabilities and replacement of fixed assets.
5. **Helpful in finding reasons for the difference -** Cash Flow Statement is also helpful in finding reasons for the difference between profits/losses earned during the period and the availability of cash whether cash is in surplus or deficit.
6. **As per AS-3, Cash Flow Statement :-** Cash Flow Statement is prepared with a view to highlight the cash generated from recurring activities or cash loss if any where as net profit is calculated after making adjustments on account of non cash items in the profit and loss account.

Helpful in predicting sickness of the business:- Cash flow is helpful in predicting sickness of the business with the help of different ratios.

USES OF CASH FLOW STATEMENT

(i) **Short-Term Planning :** The Cash Flow Statement gives information regarding sources and application of cash and cash equivalents for a specific period so that it becomes easier to plan investments, operating and financing needs of an enterprise.

(ii) **The Cash Flow helps understand Liquidity and Solvency :** Solvency is the ability of the business to meet its current liabilities. Quarterly or monthly Cash Flow Statements help ascertain liquidity in a better way. Financial institutions, like banks prefer the Cash Flow Statement to analyse liquidity.

(iii) **Efficient Cash Management :** The Cash Flow Statement provides information relating to surplus or deficit of cash. An enterprise, therefore, can decide about the short-term investments of the surplus and can arrange the short-term credit in case of deficit.

(iv) **Comparative Study :** A comparison of the Cash Flows for the previous year with the budgeted figures of the same year will indicate as to what extent the cash resources of the business were generated and applied according to the plan. It is, therefore, useful for the management to prepare cash budgets.

(v) **Reasons for Cash Position :** The Cash Flow Statement explains the reasons for lower and higher cash balances with the enterprise. Sometimes, a lower cash balance is found in spite of higher profits or a higher cash balance is found in spite of lower profits. Reasons for such situations can be analysed with the help of the Cash Flow Statement. Sometimes in spite of high profits gone? Answers to such questions can be found from the Cash Flow Statement.

(vi) **Test for the Management Decisions :** It is a general rule that fixed assets are purchased from the funds raised from long-term sources, and the best way to repay the long-term debt is out of profits. The Cash Flow Statement shows clearly whether the cash inflows from operations have been used for the purchase of fixed assets or whether these assets have been purchased from cash inflows from long-term debts. Similarly, it also explains whether the debentures have been redeemed out of profits or not. Thus, the Cash Flow Statement fan be used to test the credibility of the management decisions.

LIMITATIONS OF CASH STATEMENT

Though the Cash Flow Statement is a very useful tool of financial analysis, it has its limitations which must be kept in mind at the time of its use. These limitations are :

(i) **Non-cash Transaction are ignored :** The Cash Flow Statement shows only inflows and outflows of cash. It does not show non-cash transactions like the purchase of buildings by the issue of shares or debentures to the vendors or issue of bonus shares.

(ii) **Not a substitute for an Income Statement :** An income statement shows both cash and non-cash items. The income statement shows the net income of the firm whereas the

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Cash Flow Statement shows only the net cash inflows or outflows which do not represent the net profits or losses of the enterprise.

(iii) **Historical in Nature :** It rearranges the existing information available in the income statement and the balance sheet. It will become more useful if it is accompanied by the projected Cash Flow Statement.

(iv) **Ignorance :-** It ignores basic accounting concept, i.e., accrual concept.

IMPORTANT DEFINITIONS AS PER ACCOUNTING STANDARD-3 (REVISED)

(i) **Cash** comprises cash on hand and demand deposits with banks.

(ii) **Cash Equivalents** are short-term, highly liquid investments that are readily convertible into the known amount of cash and which are subject to an insignificant risk of change in value. An investment normally qualifies as cash equivalent only when it has a short maturity of, say, three months or less from the date of acquisition Examples of cash equivalents are : (a) treasury bills, (b) commercial paper, (c) money market funds and (d) Investments in preference shares and redeemable within three months can also be taken as cash equivalents if there is no risk of the failure of the company.

(iii) **Cash Flows** are inflows and outflows of cash and cash equivalents. AS-3 requires a Cash Flow Statement to be prepared and presented in a manner that it shows cash flows from business transactions during a period classifying them into :

(i) Operating Activities; (ii) Investing Activities ; and (iii) Financing Activities.

(iv) **Operating Activities :** Operating activities are the principal revenue-producing activities of the enterprise and other activities that are not investing or financing activities.

(v) **Investing Activities** : Investing activities are the acquisition and disposal of long-term assets and other investments not included in cash equivalents.

(vi) **Financing Activities** : Financing activities are the activities that result in change in the size and composition of the owners' capital (including preference) share capital in the case of a company) and borrowing of the enterprise.

Classification of Cash Flows :

As discussed earlier, the Cash, Flow Statement shows the cash inflows (sources) and cash outflows (uses or applications) of cash and cash equivalents during an accounting period. Hence, it is essential to know about the various items of **sources (or inflows of cash) and uses (outflows of cash) of cash.** As per **the Accounting Standard-3 (AS-3**) the changes resulting in inflows and outflows cash and cash equivalents arise on account of three types of activities, i.e., operating, investing and financing as discussed below :

Operating Activities :

Operating Activities are the principal revenue producing activities of the enterprise and other activities that are not related to investing or financing activities. The examples are :

(a) Cash receipts from the sale of goods and rendering of services.

(b) Cash receipts from royalties, fees, commission and other revenue.

(c) Cash payments to suppliers of goods and services.
(d) Cash payments to and on behalf of employees for wages, etc.
(e) Cash receipts and payments of an insurance enterprise for premiums and claims, annuities and other policy benefits.
(f) Cash payments or refunds of income taxes unless they can be specifically identified with financing and investing activities.
(g) Cash receipts and payments relating to future contracts, forward contracts, option contracts, and swap contracts, when the contracts are held for dealing or trading purposes.

The principal revenue producing activity of an enterprise is the main activity (business) carried on by it to earn profits. Examples of a financial enterprise; giving loans and dealing in securities is the principal revenue producing activity. Similarly, for an insurance company accepting premium and payments of claims is the principal revenue producing activity.

The net effect of the operating activities on the flow of cash is reported as cash flow from or cash used in Operating Activities in the Cash Flow Statement.

Investing Activities

Investing activities are the acquisition and disposal of the long-term assets and other investments, not included in cash equivalents, These activities include transactions involving purchase and sale of the long-term productive assets like machinery, land and buildings, etc., which are not held for resale. The cash flow from investing activities are:

(a) Cash payments to acquire fixed assets (including intangibles) and also payments for capitalized research and development costs and self constructed fixed assets.
(b) Cash receipts from the disposal of fixed assets (including intangibles).
(c) Cash payments to purchase (acquire) shares, warrants, or debt instruments of other enterprises and interests in joint ventures (other than payments for those instruments considered to be cash equivalents and those held for trading or dealing purposes).
(d) Cash receipts from sale (disposal) of shares, warrants, or debt instruments of other enterprises and interest in joint ventures (other than receipts from those instruments considered to be cash equivalents and those held for dealing or trading purposes).
(e) Cash receipts from sale (disposal) of shares, warrants, or debt instruments of other enterprises and interest in joint ventures (other than receipts from those instruments considered to be cash equivalents and those held for dealing or trading purposes).
(f) Cash receipts from repayments of advances and loans made to third parties (other than advances and loans of financial enterprises).
(g) Cash receipts relating to future contracts, forward contracts, option contracts and swap contracts except when the contracts are held for trading purposes, or the receipts are classified as financing activities.
(h) Cash payments relating to future contracts, forward contracts, option contracts and swap contracts except when the contracts are held for trading purposes, or the payments are classified as financing activities.

Financing Activities

Financing activities are the activities which result in changes in the size and composition of the owner's capital (including preference share capital in the case of a company) and borrowings of the enterprise from other sources. The cash flow from financing activities are :

(a) Cash proceeds from the issue of shares or other similar instruments.
(b) Cash proceeds from the issue of debentures, loan notes, bonds and other short term borrowings.
(c) Buy-back of equity shares.
(d) Cash repayments of the amounts borrowed including redemption of debentures.
(e) Payments of dividends both equity and preference dividends.
(f) Payments for interest on debentures and loans.

Illustration 1. State a transaction a part of which is classified as an Investing Activity and another part is classified as a Financing Activity.

Solution :

Payment of installments of an asset purchased on Hire-Purchased on Hire-Purchase basis. The installment has two components, i.e., principal and interest. Principal is classified as an Investing Activity and interest as a Financing Activity.

Classification of Business Activities as per AS-3, showing the inflow and Outflow of Cash

- **Operating Activities**

Cash Inflow	**Cash Outflow**
(i) Cash Sales	(i) Cash Purchases
(ii) Cash received from debtors	(ii) Payment to Creditors
(iii) Cash received from Commission and Fees	(iii) Cash Operating Expenses
(iv) Royalty	(iv) Payment of Wages
	(v) Income Tax
In the case of Financial Companies	**In the case of Financial Companies**
(v) Cash received for interest and dividends	(vi) Cash paid for interest
(vi) Sale of securities	(vii) Purchase of Securities

- **Investing Activities**

Cash Inflow	**Cash Outflow**
(i) Sales of fixed Assets	(i) Purchase of Fixed Assets
(ii) Sale of Investments	(ii) Purchase of Investments
(iii) Interest Received	
(iv) Dividends Received	

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- **Financing Activities**

Cash Inflow

(i) Issue of Shares in Cash
(ii) Issue of Debentures in Cash
(iii) Proceeds from Long-term Borrowings

Cash Outflow

(i) Payment of Loans
(ii) Redemption of Preference Shares
(iii) Buy-back of Equity Shares
(iv) Payment of Dividend
(v) Payment of Interest
(vi) Repayment of Finance/Lease Liability

Why is it important to disclose the cash flows from each activity separately?

A student will appreciate the importance of separate disclosure under each activity from the following :

Operating Activities	Investing Activities	Financing Activities
The amount of the cash flow arising from operating activities is a key indicator of the extent to which the operations of the enterprise have generated cash, i.e., whether the cash generation is adequate to maintain operating capability of the enterprise, pay dividends, repay loans, and make new investments. It is also helpful in forecasting future cash flows from operations.	The amount of the cash flow arising from investing activities represents the extent to which expenditure has been incurred to generate future income and cash flows.	The amount of the cash flow arising from financing activities is useful in assessing claims on future cash flows by providers of funds to the enterprise.

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Illustration 2.

Identify the transactions as belonging to (i) Operating, (ii) Investing, (iii) Financing Activities, and (iv) Cash Equivalents.

1. Cash Sales; 2. Issue of Share Capital; 3. Issue of Debentures; 4. Purchase of Machines; 5. Sale of Machines; 6. Cash received from Debtors; 7. Commission and Royalty received; 8. Purchase of Investments; 9. Redemption of Debentures and Preference Shares; 10. Repayment of a Long-term Loan; 11. Interest paid on Debentures or long-term loans by (a) Finance company, and (b) Non-finance company; 12. Office Expenses; 13. Dividend received on Shares by (a) Finance company, and (b) Non-finance company; 14. Interest received on Investments by (a) Finance company, and (b) Non-finance company; 15. Manufacturing Expenses; 16. Rent received by a company whose main business is (a) real estate business, (b) manufacturing; 17. Selling and Distribution Expenses; 18. Sale of Investment by (a) Finance company, and (b) Non-finance company; 19. Purchase of Goodwill; 20. Dividends paid; 21.

Cash Purchases; 22. Cash paid to Creditors; 23. Sale of Patents; 24. Income Tax refund received; 26. Bank Balance; 27. Cash Credit; 28. Short-term deposits in Banks; 29. Investment in Marketable Securities (Short-term); 30. Rent paid and 31. Buy-back of Equity shares.

Solution :

Operating Activities : 1,6, 7, 11 (a) 12, 13 (a), 14(a), 15, 16(a), 17, 18(a), 21, 22, 24, 25,30.
Investing Activities : 4, 5, 8, 13(b), 14(b), 16(b), 20, 31.
Financial Activities: 2, 3, 9, 10, 11b, 18b, 19,23.
Cash Equivalents : 26, 27, 28, 29.

Illustration 3

From the following details, calculate cash from operations :

	Rs.
Sales	2,50,000
Purchases	1,25,000
Wages	30,000

Assume that all the above transactions were in cash.

Solution :

Cash from operations = Cash inflow – Cash outflow
= Sales – (Purchases + wages)
= Rs. 2,50,000 – (Rs. 1,25,000+ Rs. 30,000)
= Rs. 2,50,000 – Rs. 1,55,000 = Rs. 95,000

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Illustration 4 (Calculation of Cash Inflow from Debtors). Calculate the Cash Inflow from Debtors from the following information :

	Particulars	Rs.
(a)	Total Sales	4,00,000
	Cash Sales	1,20,000
	Opening Debtors	40,000
	Closing Debtors	60,000
	Sales Returns	10,000
(b)	Credit Sales	2,00,000
	Bad Debts	15,000
	Discount Allowed	5,000
	Opening Debtors	14,000
	Closing Debtors	25,000
	Sales Returns	10,000
(c)	Opening Debtors	10,000
	Closing Debtors	25,000
	Opening Bills Receivables	12,000
	Closing Bills Receivables	15,000
	Total Sales	2,40,000
	Cash Sales	20% of Credit Sales
	Discount Allowed	8,000
	Bad Debts	10,000
	Sales Returns	12,000

Solution

(a) CASH INFLOW FROM DEBTORS

Particulars		Rs.
Opening Debtors		40,000
Add : Credit Sales (Total Sales – Cash Sales) (Rs. 4,00,000 – Rs. 1,20,000)		2,80,000
		3,20,000
Less : Sales Returns	10,000	
Closing Balance of Debtors	60,000	70,000
Cash Inflow from Debtors		**2,50,000**

CASH FLOW FROM INVESTING ACTIVITIES

Investing Activities of an enterprise are acquisition and disposal of the long-term assets and other investments not included in cash equivalents. Accordingly, the cash inflow and outflow

relating to the fixed assets, share and debt instruments of other enterprises, interests in joint ventures, advances and loans to third parties and also their repayments are shown under Investing Activities in the Cash Flow Statement. The Cash Flow from Investing Activities is ascertained by analyzing the changes in Fixed Assets and Long-term Investments in the beginning and at the end of the year.

Ascertaining Missing Amounts regarding Fixed Assets or Depreciation

Case 1 : When the fixed asset is shown at the written down value.

Fixed Assets Account (At written down value)

Dr. Cr.

Particulars	Rs.	Particular	Rs.
To Balance b/d	....	By Bank A/c	....
To Bank A/c (Purchases)	....	Profit and Loss A/c	....
To Profit and Loss A/c	....	(Loss on Sale of Fixed Asset)	....
(Profit on Sale of Fixed Asset)	....	By Depreciation A/c	....
		By Balance c/d	....
	.....		....

Notes : 1 Generally, the purchase of fixed assets is a balancing amount on the debit side of the account and depreciation or the sale of fixed asset on the credit side of the account.

2. Information regarding depreciation is generally given in the question. Students are required to find out only the sale or the purchase/sale of asset.
3. If both sale and depreciation are not given, then assume it is either sale or depreciation and give your assumption.
4. In the case of land, it should be assumed sale as depreciation is not charged on land. In the case of patents, goodwill and trade marks, it should be assumed sale as depreciation is not charged on land. In the case of patents, goodwill.

Illustration 7. X Ltd. has plant and machinery whose written down value on 1st April, 2006 was Rs. 8,60,000, and on 31st March, 2007 was Rs. 9,50,000. Depreciation for the year was Rs. 40,000. At the beginning of the year, a part of plant was sold for Rs. 5,000 which had a written down value of Rs. 20,000. Calculate the Net Cash Flow from Investing Activities.

Solution :

CASH FLOW FROM INVESTING ACTIVITIES

Particulars	**Rs.**
Cash Payment to acquire Plant and Machinery (Note)	1,50,000
Cash Receipts from Sale of Plant and Machinery	25,000
	(1,25,000)

Note :

PLANT AND MACHINERY ACCOUNT

Dr. Cr.

Date	Particulars	Rs.	Date	Particular	Rs.
2006			2006		
Apr 1	To Balance b/d	8,60,000	Apr 1	By Bank A/c	25,000
	To Profit and Loss A/c	5,000	2007	By Depreciation A/c	40,000
	(Profit on Sale of Plant)		Mar 31	By Balance c/d	9,50,000
	To Bank A/c (Purchases Balancing Figure)	1,50,000			
		10,15,000			10,15,000

Case 2 : When the fixed assets are shown at cost and accumulated depreciation (the provision for depreciation) is separately is separately maintained .

Under this case, (in contrast to the above case), depreciation is not directly charged to the Assets account. The depreciation for the period is debited to the Depreciation Account (transfer to the Profit and Loss Account) and credited to Accumulated Depreciation Account. In the Balance Sheet, asset appears at its original cost and the accumulated depreciation is shown as a deduction from the Assets Account. In such cases, we prepare separate accounts for fixed assets and accumulated depreciation or provisions for depreciation. Depreciation for the year can be ascertained from Provision for the Depreciation Account.

Fixed Assets Account (At Cost)

Dr. Cr.

Particulars	Rs.	Particular	Rs.
To Balance b/d	....	By Bank A/c (Sale of Fixed Asset)	....
To Profit and Loss A/c	....	By Accumulated Dep. A/c	....
Profit on Sale of Fixed Asset)	....	(Accumulated Dep. on Fixed Asset Sold)	....
To Bank A/c (Pur. of Fixed Asset)	....	By Profit and Loss A/c	....
		(Loss on Sale of Fixed Asset)	.....
		By Balance c/d	.....
	.....		.....

Note : Normally, the purchase of fixed asset is a balancing amount on the debit side of the account and the sale of fixed asset on the credit side of the account.

ACCUMULATED DEPRECIATION ACCOUNT

Dr. Cr.

Particulars	Rs.	Particular	Rs.
To Fixed Asset A/c	....	By Bank A/c (Sale of Fixed Asset)	....
To Profit and Loss A/c	....	By Accumulated Dep. A/c	....
Profit on Sale of Fixed Asset)	....	(Accumulated Dep. on Fixed Asset Sold)	....
To Bank A/c (Pur. of Fixed Asset)	....	By Profit and Loss A/c	....
		(Loss on Sale of Fixed Asset)	.....
		By Balance c/d	.....
	.....		.....

Note : The Accumulate depreciation on the fixed asset sold or depreciation charged for the current accounting year may not be given, which shall be the balancing amount.

CASH FLOW FROM FINANCING ACTIVITIES

Financing Activities of an enterprise are those activities that result in change in the size and composition of owners' capital and borrowing of the enterprise. It includes proceeds from issue of shares or other similar instruments, issue of debentures, loans, bonds, other short-term or long-term borrowings and repayments of amounts borrowed. Accordingly, receipts and payments on account of the above are disclosed in the Cash Flow Statement as the Cash Flow from Financing Activities.

Dividends paid (in all enterprises) and interest paid (in the case of non-financing enterprises) are also included in financing activities.

It is important to note that an increase in share capital due to bonus issue will not be shown in the cash flow statement, since it is a capitalization of reserves. When shares are issued at a premium, the cash flow statement reflects the total cash generated by the issue (i.e., Face Value of Shares + Premium).

The Cash Flow from Financing Activities is ascertained by analyzing the change in Equity and Preference Share Capital, Debentures and other borrowings.

Illustration 8. From the following information, calculate the Cash Flow from Financing Activities :

Particulars	31.3.2006 Rs.	31.3.2007 Rs.
Equity Share Capital	4,00,000	5,00,000
10% Debentures	1,50,000	1,00,000
Securities	40,000	50,000

Additional Information : Interest paid on debentures Rs. 10,000

Solution :

Calculation of Net Cash Flow From Financing Activities

Particulars		**Rs.**
Cash Proceeds from the Issue of Shares (Including Premium)	1,10,000	
Interest paid on Debentures	(10,000)	
Redemption of Debentures	(50,000)	
Net Cash Flow from Financing Activities		**50,000**

Illustration 9. XYZ Ltd. provides the following information. Calculate the Net Cash Flow from Financing Activities :

Particulars	31.3.2006 Rs.	31.3.2007 Rs
Equity Share Capital	10,00,000	15,00,000
10% Debentures	1,00,000	.....
8% Debentures	.....	2,00,000

Additional Information :

(i) Interest paid on Debentures Rs. 10,000

(ii) Dividend paid Rs. 50,000

(iii) During the year 2006-2007, XZY Ltd. issued bonus shares in the ratio of 2 : 1 by capitalising reserve.

Solution :

Calculation of Net Cash Flow from Financing Activities

Particulars	Rs.
Cash Proceeds from the Issue 8% of Debentures	2,00,000
Redemption of 10% Debentures	(1,00,000)
Interest paid	(10,000)
Dividend paid	(50,000)
Net Cash Flow from Financing Activities	**40,000**

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Note : Bonus shares is not to be shown in the Cash Flow Statement because there is no cash flow.

Illustration 10. From the following information, calculate the Cash Flow from Investing Activities and Financing Activities :

Particulars	Opening	Closing
Furniture (At Cost)	20,000	28,000
Accumulated Depreciation on Furniture	6,000	9,000
Capital	1,00,000	1,40,000
Loan from Bank	25,000	15,000

During the year, furniture costing Rs. 4,000 was sold at a profit of Rs. 3,000. Depreciation on furniture charged during the year amounted to Rs. 5,000.

Solution :

Cash Flow from Financing Activities

Particulars	Rs.
Inflow from Issue of Fresh Capital (Given) (Rs. 1,40,000 – Rs. 1,00,000)	40,000
Outflow on Repayment of Bank Loan (Given) Rs. 25,000 – Rs. 15,000)	(10,000)
Net Cash from Financing Activities	**30,000**

Cash Flow from Investing Activities

Particulars	Rs.
Inflow from Sale of Furniture (3)	50,000
Outflow on Purchase of Furniture(1)	(12,000)
Net Cash from Investing Activities (4)	**7,000**

PREPARATION OF CASH FLOW STATEMENT

Having discussed how the Cash Flow Statement is prepared for each activity, let us now discuss the Cash Flow Statement as a complete statement as follows :

1. Compute the Cash Flows from Operating Activities.
2. Compute the Cash Flows from Investing Activities and Financing Activities.
3. The Cash Flows under each activity (Operating/Investing/Financing) are shown in the Cash Flow Statement. Aggregate of these three activities will be either an increase or a decrease in cash equivalents.
4. Cash and Cash Equivalent balance at the beginning will be added to the net increase or decrease in Cash Equivalents (Step 3). Resulting figure will be Cash and Cash Equivalents at the end.

The formats for calculating Cash Flow from Operating Activities by Direct Method and Indirect Method are given below :

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DIRECT METHOD

FORMAT FOR CASH FLOW STATEMENT
for the year ended ....
[As per Accounting Standard-3 (Revised)]

	Particulars		Rs.
1.	Cash Flow from Operating Activities		
A.	Operating Cash Receipts, e.g.,		
	– Cash Sales	....	
	– Cash received from Customers	....	
	– Trading Commissions received	....	
	– Royalties received	....	.....
	(B) Operating Cash Payments, e.g.,		
	– Cash Purchases	(...)	
	– Cash Paid to the Suppliers	(...)	
	– Cash Paid for Business Expenses like Office Expenses, Manufacturing Expenses, Selling and Distribution Exp. Etc.	(...)	(...)
	(C) Cash generated from Operations (A – B)		...
	(D) Income Tax Paid (Net of Tax Refund received)		(...)
	(E) Cash Flow before Extraordinary Item		....
	(F) Extraordinary Items (Receipt / Payment)		(+/-)....
	(G) Net Cash from (or used in) Operating Activities		....
II.	Cash Flow from Investing Activities (Same as under Indirect Method)		...
III.	Cash Flow from Financing Activities (Same as under Indirect Method)		...
IV.	Net Increase / Decrease in Cash and Cash Equivalents (Same as under Indirect Method - I + II + III)		...
V.	Add Cash and Cash Equivalents in the beginning of the year (Same as under Indirect Method)		...
VI.	Cash and Cash Equivalents in the end of the year		...

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1.9.2 INDIRECT METHOD

FORMAT FOR CASH FLOW STATEMENT
for the year ended ….
[As per Accounting Standard-3 (Revised)]

Particulars		Rs.
1. **Cash Flow from Operating Activities**		
Net Profit and Loss A/c or Difference between Closing Balance and Opening Balance of Profit and Loss A/c		…
Add : (A) Appropriation of funds.		
Transfer to reserve	…	
Proposed dividend for current year	…	
Interim dividend paid during the year	…	
Provision for tax made during the current year	…	
Extraordinary item, if any, debited to the Profit and Loss A/c		…
Less : Extraordinary item, if any, credited to the Profit and Loss A/c		(…)
Refund of tax credited to Profit and Loss A/c		(…)
Net Profit before Taxation and Extraordinary Items	….	
(B) Add : Non operating Expenses :		
– Depreciation	…	
– Preliminary Expenses / Discount on Issue of Shares and Debentures written off	…	
– Goodwill, Patents and Trade Marks Amortized	….	
– Interest on Borrowings and Debentures	….	
– Loss on Sale of Fixed Assets	….	
….		
(C) Less : Non Operating Incomes:		
– Interest Income	…	
– Dividend Income	…	
– Rental Income	…	
– Profit on Sale of Fixed Assets	…	…
(D) **Operating Profit before Working Capital Changes (A+B–C)**		…
(E) Add : Decrease in Current Assets and Increase in Current Liabilities		
– Decrease in Stock/ Inventories	…	
– Decrease in Debtors/ Bills Receivables	…	
– Decrease in Accrued Incomes	…	
– Decrease in Prepaid Expenses	…	
– Increase in Creditors /Bills Payables	…	
– Increase in Outstanding Expenses	…	
– Increase in Advance Incomes	…	

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	– Increase in Provision for Doubtful Debts.	...	
			...
(F)	**Less : Increase in Current Assets and Decrease in Current Liabilities**		
	– Decrease in Stock/ Inventories	...	
	– Decrease in Debtors/ Bills Receivables	...	
	– Decrease in Accrued Incomes	...	
	– Decrease in Prepaid Expenses	...	
	– Increase in Creditors / Bills Payables	...	
	– Increase in Outstanding Expenses	...	
	– Increase in Advance Incomes	...	
	– Increase in Provision for Doubtful Debts.	...	
(G)	**Cash Generated from Operations (D+E–F)**		...
(H)	**Less : Income Tax Paid (Net of Tax Refund received)**		...
(I)	**Less : Income Tax Paid (Net of Tax Refund received)**		...
(J)	**(+/-) Extraordinary Items**		
(K)	**Net Cash from (or used in) Operating Activities**		...
II.	**Cash Flow from Investing Activities**		
	– Proceeds from Sale of Fixed Assets	...	
	– Proceeds from Sale of Investments	...	
	– Proceeds from Sale of Intangible Assets	...	
	– Interest and Dividend received (For Non-financial companies only)	...	
	– Rent Income	...	
	– Purchase of Fixed Assets	(...)	
	– Purchase of Investments	(...)	
	– Purchase Intangible Assets like Goodwill	(...)	
	Net Cash from (or used in) Financing Activities		...
III.	**Cash from Financing Activities**		
	– Proceeds from Issue of Shares and Debentures	...	
	– Proceeds from Other Long-term Borrowings	...	
	– Final Dividend Paid	(...)	
	– Interest and Debentures and Loans Paid	(...)	
	– Repayment of Loans	(...)	
	– Redemption of Debentures / Preference Shares	(...)	
	Net Cash from (or used in) Financing Activities		...
IV.	**Net Increase / Decrease in Cash and Cash Equivalents (I+II+ III)**		...

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V.	**Add : Cash and Cash Equivalents in the beginning of the year**		
	– Cash in Hand		
	– Cash at Bank (Less : Bank Overdraft)	...	
	– Short-term Deposits	...	
	– Marketable Securities	...	...
VI.	**Cash and Cash Equivalents in the end of the year**		
	– Cash in Hand	...	
	– Cash at Bank (Less : Bank Overdraft)	...	
	– Short-term Deposits	...	
	– Marketable Securities	...	...

Note : Amounts in brackets indicate negative amounts, i.e., amounts that are to be deducted.

Illustration 11. From the following information, prepare the Cash Flow Statement for the year ended March 31, 2017 :

Particulars	Rs.
Opening Cash Balance	10,000
Closing Cash Balance	12,000
Decrease in Debtors	5,000
Increase in Creditors	7,000
Sale of Fixed Assets	20,000
Redemption of Debentures	50,000
Net Profit for the year	20,000

Solution :

Cash Flow Statement

for the year ended 31st March, 2017

Particulars	Rs.	
A. Cash Flow from Operating Activities		20,000
Net Profit for the year before tax		
Add : Increase in Creditors	7,000	
Decrease in Debtors	5,000	12,000
Net Cash provided by Operating Activities		32,000
B. Cash Flow from Investing Activities	20,000	
Proceeds from Sale of Fixed Assets		20,000
Net Cash from Investing Activities		
C. Cash Flow from Financing Activities		
Redemption of Debentures		(50,000)
Net Cash used in Financing Activities		(50,000)
D. Net Increase in Cash (A +B+C)		2,000
Add : Cash at the beginning of the period		10,000
Cash at the end of the period		**12,000**

Illustration 12. From the following particulars , prepare the Cash Flow Statement for the year ended 31st March, 2017 by the Direct Method :

1. Cash sales Rs. 65,86,000.
2. Cash collected from debtors during the year amounted to Rs. 33,23,400.
3. Cash paid to suppliers was Rs. 79,36,810.
4. Rs.9, 87, 500 was paid to and for employees.
5. Furniture of the book value of Rs. 18,500 was sold for Rs. 11,000 and a new furniture costing Rs. 83,160 was purchased.
6. Debentures of the face value of Rs. 3,00,000 were redeemed at a premium of 2 per cent interest on debentures. Interest on debentures, Rs. 84,000 was also paid.
7. Dividend, Rs. 4,50,000 for the year ended 31st March, 2017 was distributed in May, 2017.
8. Cash in hand and at bank as on March 31, 2016 and March 31, 2017 was Rs. 51,070 and Rs. 5,74,000 respectively.

Solution :

CASH FLOW STATEMENT (DIRECT METHOD)

for the year ended 31st March, 2017

Particulars		Rs.
Cash Flow from Operating Activities		
Receipts – Cash Sales	65,86,000	
Cash receipts from customers	33,23,400	
	99,09,400	
Payments –Payments for purchases and to suppliers	79,36,810	
Payments to and for employees	9,87,500	
	89,24,310	
Net Cash from Operating Activities (Receipts – Payments)		9,85,090
Cash Flow from Investing Activities		
Purchase of Fixed Assets	(83,160)	
Proceeds from Sale of Fixed Assets	11,000	
Cash Flow from Financing Activities		(72,160)
Redemption of debentures at a premium [Rs. 3,00,000 + Rs. 6,000]	(3,06,000)	
Interest paid on debentures	(84,000)	(3,90,000)
Net Cash used in Financing Activities		(3,90,000)
Net increase in cash and cash equivalents		5,22,930
Cash and cash equivalents as on 31st March, 2017 (Closing Balance)		51,070
Cash and cash equivalents as on 31st March, 2017 (Closing Balance)		5,74,000

Notes : Dividend for the year ended 31st March, 2017 was paid in May 2017. Hence, it is not an outflow of cash for the year ended 31st March, 2017.

Illustration 13. From the summary cash account of X Ltd. prepare the Cash Flow Statement for the year ended 31st March, 2017 by Direct Method.

CASH BOOK

Dr. for the year ended March 31, 2017 Cr.

Particulars	Rs.	Particular	Rs.
To Balance on April 1,2006	50,000	By Payment to Suppliers	20,00,000
To Issue of Equity Shares	3,00,000	By Purchased of Fixed Assets	2,00,000
To Receipts from Customers	28,00,000	By Overhead Expenses	2,00,000
To Sale of Fixed Assets	1,00,000	By Wages and Salaries	1,00,000
		By Income Tax Paid	2,50,000
		By 'Dividend Paid	3,00,000
		By Re payment of Bank Loan	3,00,000
		By Balance on March 31, 2007	1,50,000
	32,50,000		32,50,000

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Solution :

CASH FLOW STATEMENT OF X LTD. (DIRECT METHOD)

for the year ended 31st March, 2017

	Particulars		Rs.
A.	**Cash Flow from Operating Activities**		
	(i) Operating Cash Receipts :		
	Cash Received from Customers		28,00,000
	(ii) Operating Cash Payments :		
	Cash Paid to Suppliers	20,00,000	
	Wages and Salaries	1,00,000	
	Overhead Expenses	2,00,000	(23,00,000)
	Cash Generated from Operations		5,00,000
	Less : Income Tax Paid		2,50,000
	Net Cash from Operating Activities		2,50,000
B.	**Cash Flow from Investing Activities**		
	Purchase of Fixed Assets	(2,00,000)	
	Proceeds from Sale of Fixed Assets	1,00,000	
	Net Cash Used in Investing Activities		(1,00,000)
C.	**Cash Flow from Financing Activities**		
	Proceeds from Issue of Equity Shares	3,00,000	
	Payment of Bank Loan	(3,00,000)	
	Dividend Paid	(50,000)	
	Net Cash Used in Financing Activities		(50,000)
D.	**Net Increase in Cash and Cash Equivalents (A+B+C)**		1,00,000
E.	**Cash and Cash Equivalent at the beginning of the year**		50,000
F.	**Cash and Cash Equivalent at the End of the year**		1,50,000

Illustration 14. The financial position of ABC Ltd. as on 31st March was as follows :

Dr. **Cr.**

Liabilities	2016 Rs.	2017 Rs.	Assets	2016 Rs.	2017 Rs.
Current Liabilities	72,000	82,000	Cash	8,000	7,2000
Loan from Z Ltd.	....	40,000	Debtors	70,000	76,800
Loan from Bank	60,000	50,000	Stock	50,000	44,000
Share Capital	2,00,000	2,00,000	Land	40,000	60,000
Profit and Loss A/c	96,000	98,000	Buildings	1,00,000	1,10,000
			Machinery	2,14,000	2,44,000
			Provision for Dep.	(54,000)	(72,000)
	4,28,000	**4,70,000**		**4,28,000**	**4,70,000**

During the year. Rs. 52,000 were paid as dividend. Prepare Cash Flow Statement.

Solution :

CASH FLOW STATEMENT

for the year ended 31st March, 2017

Particulars		Rs.
Cash Flow from Operating Activities		
Net profit before tax and extraordinary items		
(See Working Note)	54,000	
Add: Depreciation	18,000	
Operating Profit before Working Capital Changes	72,000	
Add: Decrease in Stocks	6,000	
Increase in Current Liabilities	10,000	
Less: Increase in Debtors	(6,800)	
Net Cash from Operating Activities		81,200
Cash Flow from Investing Activities		
Purchase of Building	(10,000)	
Purchase of Land	(20,000)	
Purchase of Machinery	(30,000)	
Net Cash used in Investing Activities		(60,000)
Cash Flow from Financing Activities		
Proceeds of Loan from Z Ltd.	40,000	
Repayment of Bank Loan	(10,000)	
Payment of Dividend	(52,000)	
Net cash used in Financing Activities		(22,000)
Net Decrease in Cash and Cash Equivalents		(800)
Cash and cash equivalents at the beginning		8,000
Cash and cash equivalents at the end of the period		7,200

Working Note :

Closing Balance as per Profit and Loss A/c (on 31st March, 2007)	98,000	
Less: Opening Balance as per Profit and Loss A/c as on 1st April, 2006	96,000	
Profit for the year	2,000	
Add: Dividends Paid	52,000	
Net Profit before Tax	54,000	

Illustration 15. From the following particulars of XYZ Ltd. prepare the Cash Flow Statement.

Dr. Cr.

Liabilities	March 31 2016 Rs.	March 31, 2017 Rs.	Assets	March 31, 2016 Rs.	March 31 2017 Rs.
Equity Share Capital	3,00,000	3,50,000	Fixed Assets (Net)	5,10,000	6,20,000
12% Pref. Share Capital	2,00,000	1,00,000	10% Investment	30,000	80,000
10% Debentures	1,00,000	2,00,000	Cash in Hand	20,000	35,000
Profit and Loss A/c	1,10,000	2,70,000	Cash at Bank	20,000	40,000
Creditors	70,000	1,45,000	Debtors (Good)	1,00,000	2,00,000
Provision for Doubtful Debts	10,000	15,000	Stock	1,00,000	90,000
			Discount on Deb.	10,000	15,000
	7,90,000	**10,80,000**		**7,90,000**	**10,80,000**

You are informed that during the year :

(i) A machine with a book value of Rs. 40,000 was sold for 25,000.

(ii) Depreciation charged during the year was Rs.70,000.

(iii) Preference shares were redeemed on 31st March, 2017 at a premium of 5%.

(iv) An Interim Dividend @ 15 per cent was paid on equity shares on 31st March, 2017. Preference Dividend was also paid on 31st march, 2017.

(v) New shares and debentures were issued on 31st March, 2017.

Solution :

CASH FLOW STATEMENT

for the year ended 31st March, 2017

Particulars			**Rs.**
(A) Cash Flow from Operating Activities			
Closing Balance as per Profit and Loss A/c	2,70,000		
Less : Opening Balance as per Profit and Loss A/c	1,10,000	1,60,000	
Add : Appropriation of Fund			
Preference Dividend	24,000		
Interim Dividend	45,000		
Increase in Provision for Doubtful Debts (Since all debtors are good) (Note 1)	5,000	74,000	
Net Profit before tax			2,34,000
Add : Non operating Expenses :			
Depreciation	70,000		
Interest on Long Term Borrowings (Debentures)	10,000		
Loss on Sale of Machinery	15,000		
Premium Payable on Redemption of Preference Shares	5,000	1,00,000	
3,34,000			
Less : Non operating Incomes :			

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Interest on Investment			3,000
Operating Profit before Working Capital Changes			3,31,000
Add : Decrease in Current Assets and Increase in Current Liabilities			
Decrease in Stock		10,000	
Increase in Creditors		75,000	85,000
4,16,000			
Less : Increase in Current Assets and Decrease in Current Liabilities			
Increase in Debtors			1,00,000
Net Cash from Operating Activities			3,16,000
B.	**Cash Flow from Investing Activities**		
	Purchase of Fixed Assets		(2,20,000)
	Proceeds from Sale of Machinery		25,000
	Interest on Investment		3,000
	Purchase of Investments		(50,000)
Net Cash Used in Investing Activities			(2,42,000)
(C)	**Cash Flow from Financing Activities**		
	Proceeds from Issue of Share Capital		50,000
	Proceeds from long-term borrowings (Debentures)		95,000
	[Rs. 1,00,000 – Rs. 5,000 (Discount on Issue of Debentures) (Note 2)]		
	Redemption of Preference Shares (Rs. 1,00,000 + Rs. 5,000)		(1,05,000)
	Interest Paid on Long-Term Borrowings		(10,000)
	Interim Dividend paid		(45,000)
	Preference Dividend Paid during the year		(24,000)
Net Cash Used in Financing Activities			(39,000)
Net Increase in Cash and Cash Equivalents (A+B+C)			35,000
Cash and Cash Equivalents in the beginning of period			40,000
	(Cash in Hand and Cash at Bank)		
Cash in Cash Equivalents at the end of period			75,000
	(Cash in Hand and Cash at Bank)		

Working Notes :

a. Increase in Provision for Doubtful Debts (if all debtors have been considered as good) represents transfer of the Profit from Profit and Loss Account. It is added back to the current year's profits to find out cash from Operating Activities.

b. Increase in Discount on the Issue of Debentures (or shares) is deducted from increase in Debentures (or shares) to ascertain the net amount of issue.

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FIXED ASSETS ACCOUNT (AT W.D.V)

Dr. Cr.

Particulars		Rs.	Particulars	Rs.
To	Balance b/d	5,10,000	By Bank A/c	25,000
To	Bank A/c (Purchase)	2,20,000	By Profit and Loss A/c	
	(Balancing Figure)		(Loss on Sale)	15,000
			By Depreciation A/c	70,000
			By Balance c/d	6,20,000
		7,30,000		7,30,000

Illustration 16. The summarized Balance Sheets of XYZ Ltd. as on 31st March, 2016 and 2017 are given below :-

Dr. Cr.

Liabilities	March 31 2016 Rs.	March 31, 2017 Rs.	Assets	March 31, 2016 Rs.	March 31 2017 Rs.
EShare Capital	4,50,000	4,50,000	Fixed Assets	4,00,000	3,20,000
General Reserve	3,00,000	3,10,000	Investment	50,000	60,000
Profit and Loss A/c	56,000	68,000	Stock	2,40,000	2,10,000
Creditors	1,68,000	1,34,000	Debtors	2,10,000	4,55,000
Provision for Taxation	75,000	10,000	Bank	1,49,000	1,97,000
Mortgage	....	2,70,000			
	10,49,000	**12,42,000**		**10,49,000**	**12,42,000**

Additional Information :

(i) Investments costing Rs. 8,000 were sold during the year 2016-17 for Rs. 8,500.

(ii) Provision for tax made during the year was Rs. 9,000.

(iii) During the year, part of the fixed assets costing Rs. 10,000 was sold for Rs. 12,000 and the profit was included in the Profit and Loss Account.

(iv) Dividends paid during the year amounted to Rs. 40,000

You are required to prepare a Cash Flow Statement.

Solution :

CASH FLOW STATEMENT

For the year ended 31st March, 2017

Particulars		Rs.
(A) Cash Flow from Operating Activities :		
Closing Balance as per P & L A/c (31.3.2017)	68,000	
Less : Opening Balance of Profit and Loss A/c (31.3.2016)	56,000	
		12,000
Add : Appropriation of Fund :		
Interim Dividend	40,000	
Provision for Tax	9,000	
Transfer to Reserve	10,000	59,000
Net Profit before tax and extraordinary items		71,000
Add: Non Operating Expenses :	70,000	
Depreciation (Note 1)		
Less : **Non Operating Incomes :**	(500)	
Profit on Sale of Investments	(2,000)	67,500
Operating Profit before Working Capital Changes		1,38,500
Add : Decrease in Current Assets and Increase in Current Liabilities :		
Decrease in Stock (Rs. 2,40,000 – Rs. 2,10,000)		30,000
Less : Increase in Current Assets and decrease in Current Liabilities :		
Increase in Debtors (Rs. 4,55,000 – Rs. 2,10,000)	(2,45,000)	
Decrease in Creditors (Rs. 1,68,000 – Rs. 1,34,000)	(34,000)	(2,79,000)
Cash Generated from Operations		(1,10,500)
Less : Income tax Paid		(74,000)
Net Cash used in Operating Activities (A)		(1,84,500)
(B) Cash Flow from Investing Activities		
Purchase of Investment		(18,000)
Sale of Fixed Assets		12,000
Sale of Investments		8,500
Net Cash from Investing Activities (B)		2,500
(C) Cash Flow from Financing Activities		
Mortgage Loan		2,70,000
Dividend Paid		(40,000)
Net Cash from Financing Activities (C)		(2,30,000)
(D) Net Increase in Cash and Cash Equivalents (A+B+C)		48,000
(E) Cash and Cash Equivalents at the beginning of the year		1,49,000
(F) Cash and Cash Equivalents at the end of the year		1,97,000

Working Notes :

1 Dr. **Fixed Assets Account** Cr.

Particulars		Rs.	Particulars	Rs.
To	Balance b/d	4,00,000	By Bank A/c	12,000
To	Profit and Loss A/c (Profit on Sale)	2,000	By Depreciation A/c (Bal. Fig.)	70,000
			By Balance c/d	3,20,000
		4,02,000		4,02,000

2 Dr. **Investment Account** Cr.

Particulars		Rs.	Particulars	Rs.
To	Balance b/d	4,00,000	By Bank A/c	8,500
To	Profit and Loss A/c (Profit)	2,000	By Depreciation A/c (Bal. Fig.)	60,000
To	Bank A/c (Balance Fig.)	18,500		
		68,500		68,500

3 Dr. **Investment Account** Cr.

Particulars		Rs.	Particulars	Rs.
To	Bank A/c (Balancing Fig.)	4,00,000	By Balance b/d	75,000
To	Balance c/d	2,000	By Profit and Loss A/c	
To		18,500	(Provision Made)	9,000
		84,500		84,500

Net Profit or Drawings : Sometimes in the case of a sole trader or a partnership firm, capital of the proprietor or partners is given but the amount of drawings or net profits made may be missing. The capital account may be prepared to find the net profits or drawings.

Profit = Capital at the end + Drawings – Capital at the beginning

Drawings = Capital at the beginning + Profit – Capital at the end

Illustration 17. The summarized Balance Sheets of XYZ Ltd. as on 31st March, 2016 and 2017 are given below :-

Dr. Cr.

Liabilities	2016 Rs.	2017 Rs.	Assets	2016 Rs.	2017 Rs.
Creditors	40,000	44,000	Fixed Assets	10,000	7,000
Mrs. A's Loan	25,000	...	Debtors	30,000	50,000
Loan from Bank	40,000	50,000	Stock	35,000	25,000
Capital of A and B	,25,000	1,53,000	Machinery	80,000	55,000
			Land	40,000	50,000
			Buildings	35,000	60,000
	2.30,000	2,47,000		2,30,000	2,47,000

During the year, a machine costing Rs. 10,000 (accumulated depreciation Rs. 3,000) was sold for Rs. 5,000. The provision for depreciation against machinery as on March 31, 2016 and March 31, 2017 was of Rs. 25,000 and Rs. 40,000 respectively.
The Net Profits for the year amounted to Rs. 45,000. You are required to prepare the Cash Flow Statement.

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Solution :

CASH FLOW STATEMENT

For the year ended 31st March, 2017

Particulars		Rs.
(A) Cash Flow from Operating Activities		
Net Profit before Tax		45,000
Add : Non Operating Expenses :		
Depreciation (See Note 3)	18,000	
Loss on Sale of Machinery (See Note 4)	2,000	20,000
Operating Profit before Working Capital Changes		65,000
Add : Decrease in Current Asset or Increase in Current Liabilities:		
Decrease in Stock	10,000	
Increase in Creditors	4,000	14,000
		79,000
Less : Increase in Current Asset or Decrease in Current Liabilities		
Increase in Debtors		20,000
Net Cash from Operating Activities		59,000
(B) **Cash Flow from Investing Activities**		
Purchase of Land	(10,000)	
Purchase of Buildings	(25,000)	
Proceeds from Sale of Machinery	25,000	
Net cash used in Investing activities		(30,000)
(C) **Cash Flow from Financing Activities**		
Proceeds of Loan from Bank	10,000	
Payment of Mrs. A's Loan	(25,000)	
Drawings (Note 1)	(17,000)	(32,000)
Net Cash used in Financing Activities		
(D) Net Decrease in Cash and Cash Equivalents (A+B+C)		(3,000)
(E) Cash and cash equivalents at the beginning of the period		(10,000)
(F) Cash and cash equivalents at the end of the period		7,000

Notes : Drawings = Opening Capital of A and B + Net Profits – Closing Capital of A & B = Rs. 1,25,000 + Rs. 45,000 – Rs. 1,53,000 = Rs. 17,000

Dr. **Machinery Account** Cr.

	Particulars	Rs.	Particulars	Rs.
To	Balance b/d	1,05,000	By Cash A/c	5,000
	(Rs. 80,000+Rs. 25,000)		By Provision for Depreciation	3,000
			By Profit and Loss A/c –	2,000
			Loss on Sale (Note 4)	95,000
		1,05,000		1,05,000

Dr. **Provision for Depreciation Account** Cr.

	Particulars	Rs.	Particulars	Rs.
To	Depreciation on Machinery Sold	3,000	By Balance A/c	25,000
To	Balance c/d	40,000	By Depreciation provided (Balancing Figure)	18,000
		43,000		43,000

*Sometimes, fixed assets are shown **at the written down value (after deducting depreciation) in the balance sheet and the accumulated depreciation is given in the additional information** (as in the present illustration). In such a case, the opening and closing balances in the respective Fixed Assets account will be the total amount of book value shown in the balance sheet plus balance of the accumulated depreciation provided in additional information.

Loss on Sale of Machinery = Cost - Accumulated Depreciation - Selling Price = Rs. 10,000 - Rs. 3,000 - Rs. 3,000 - Rs. 5,000 = Rs.2,000

Illustration 18. From the following Balance Sheets of M/s Gupta & Co., prepare the Cash Flow Statement for the year ended March 31 :

Liabilities	2016 Rs.	2017 Rs.	Assets	2016 Rs.	2017 Rs.
Creditors	20,000	22,000	Cash	8,000	22,000
Outstanding Expenses	5,000	1,000	Debtors	15,000	11,000
Loan from X	10,000	5,000	Bills Receivable	5,000	...
Capital	1,08,000	1,68,000	Stock	20,000	28,000
			Fixed Assets	95,000	1,35,000
	2.30,000	2,47,000		2,30,000	2,47,000

During the year, the proprietor introduced Rs. 20,000 as additional capital. The net profits for the year, after charging Rs. 5,000 as depreciation on fixed assets, were Rs. 50,000.

Solution :

CASH FLOW STATEMENT

For the year ended 31st March, 2017

	Particulars		Rs.
(A)	**Cash Flow from Operating Activities**		
	Net Profit before Tax		50,000
	Non-Op. Expenses :		
	Depreciation		5,000
	Operating profit before Working Capital Changes		55,000
	Add : Decrease in Current Assets & increase in Current Liabilities :		
	Debtors	4,000	
	Bills Receivables	5,000	
	Creditors	2,000	11,000
			66,000
	Less : Increase in Current Assets & decrease in current liabilities:		
	Stock	8,000	
	Outstanding Expenses	4,000	12,000
	Net Cash from Operating Activities		54,000
(B)	**Cash Flow from Investing Activities**		
	Fixed Assets Purchased (See Working Note 2)		
	Net Cash used in Investing Activities		(45,000)
(C)	**Cash Flow from Financing Activities**		
	Repayment of Loan from X	(5,000)	
	Additional Capital Introduced	20,000	
	Drawing (See Working Note-1)	(10,000)	
	Net Cash used in Financing Activities		5,000
(D)	**Net Increase in Cash and Cash Equivalents(A+B+C)**		(14,000)
(E)	**Cash Balance on April 1, 2006**		(8,000)
(F)	**Cash Balance on March, 31, 2007**		22,000

Working Notes :

1 Dr. **CAPITAL ACCOUNT** Cr.

	Particulars	Rs.	Particulars	Rs.
To	Cash A/c	10,000	By Balance b/d	1,08,000
	(Rs. 80,000+Rs. 25,000)		By Cash A/c	
			(Additional Capital)	
			By Profit and Loss A/c	50,000
			Loss on Sale (Note 4)	95,000
		1,78,000	(Net Profit)	1,78,000

2 Dr. **FIXED ACCOUNT** Cr.

	Particulars	Rs.	Particulars	Rs.
To	Balance b/d	95,000	By Depreciation	5,000
To	Bank A/c		By Balance c/d	1,35,000
	(Purchase – Balancing Figure)	45,000		
		1.40,000		1,40,000

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